



Q fact

● Yellow

High



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P 16.9 – 16.10

9 10:34 cause. So the conclusion on this is Gazprom countersigned the 1st April letter under
10 10:34 duress and PPD validly awarded

Note: cause. So the conclusion on this is Gazprom countersigned the 1st April letter under duress and PPD validly awarded

● Orange

Medium



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P 1.23 – 1.25

23 10:01 MR TALANOV: Our hard copies have been printed.
24 10:01 PRESIDENT: Hold on one 2nd. Just hold on one 2nd.
25 10:01 MR TALANOV: Our hard copies have been printed. They

Note: MR TALANOV: Our hard copies have been printed. PRESIDENT: Hold on one 2nd. Just hold on one 2nd. MR TALANOV: Our hard copies have been printed. They

● Orange

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P 1.14 – 1.16

14 09:21 one. Claimant. Mic two. Claimant
15 09:21 mic three. Claimant. Mic four.
16 10:00 MS LIM: Good morning. We will resume to

Note: one. Claimant. Mic two. Claimant mic three. Claimant. Mic four. MS LIM: Good morning. We will resume to



Fact

● Orange

Critical



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P 10.10 – 10.12

10 10:21 ware, and the 2nd relevant principle is the
11 10:21 observance of practices that have been established
12 10:21 between the parties. And o

Note: ware, and the 2nd relevant principle is the observance of practices that have been established between the parties. And o



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P 10.2 – 10.6

- 2 10:20 provides for the purposes of this convention,
3 10:21 statements, statements made by and other conduct of a
4 10:21 party are to be interpreted according to his
5 10:21 intent.
6 10:21 Where the other party knew or could not have been unaware what

Note: provides for the purposes of this convention, statements, statements made by and other conduct of a party are to be interpreted according to his intent. Where the other party knew or could not have been unaware what

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P 16.16 – 16.17

- 16 10:35 principles to bear in mind when interpreting article 11. First, parties may derogate from
17 10:35 article 79 CISG regulating hardship and, as Prof

Outgoing DocLink

Transcript of the Case Management Conference

Exhibit No. CMC Transcript

Ref: 1-118 | Bundle: A2

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P 16.1 – 16.2

- 1 10:33 German state. And of course, the threat was the
2 10:33 cause for

Outgoing DocLink

Claimant's Opening Submissions Presentation

Ref: 1-355 | Bundle: A1

**Quick Mark**

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P 1.8

MS LIM: Good morning. Day 10 of the hearing. This is

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P 1.6

MS MAYDANIK: Yes. Last day. Let's pull this back a

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P 1.5

MS LIM: Good. How are you?

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P 1.4

MS MAYDANIK: How are we? All?

01 09:18:16

02 09:18:16 MS LIM: Hello, hello, hello. Last night, ma'am. Even.

03 09:18:42 Good morning. Morning.

04 09:18:47 MS MAYDANIK: How are we? All?

05 09:18:49 MS LIM: Good. How are you?

06 09:18:50 MS MAYDANIK: Yes. Last day. Let's pull this back a

07 09:18:54 little bit. There we go. Yeah. Oh.

08 09:20:23 MS LIM: Good morning. Day 10 of the hearing. This is

09 09:20:25 the mic testing tribunal. Mic number 1. Madam Chair.

10 09:20:33 Mike. Tribunal. Mic

11 09:20:37 number 2. Respondent

12 09:20:41 mic one. Respondent mic two.

13 09:20:48 Respondent mic three. Witness mic one. Witness mic two. Claimant mic

14 09:21:12 one. Claimant. Mic two. Claimant

15 09:21:18 mic three. Claimant. Mic four.

16 10:00:47 MS LIM: Good morning. We will resume today. With the

17 10:00:56 party's closing oral closing submissions. We have received

18 10:01:00 the party's demonstrative. Thank you very

19 10:01:03 much. And we also have received the hard copy of the

20 10:01:08 claimant's presentation. Claimant, you have the floor

21 10:01:11 and you reserve 90 minutes.

22 10:01:15 MS MAYDANIK: Presentation for.

23 10:01:18 MR TALANOV: Our hard copies have been printed.

24 10:01:19 PRESIDENT: Hold on one 2nd. Just hold on one 2nd.

25 10:01:22 MR TALANOV: Our hard copies have been printed. They

01 10:01:24 will be here shortly.

02 10:01:25 PRESIDENT: Have. Have they been exchanged between the

03 10:01:27 parties already?

04 10:01:28 DR REINER: Yes. By email.

05 10:01:28 MS SOLDATENKOVA: I mean by email. Yes. And we will

06 10:01:31 have copies for claimant as well. Thank you.

07 10:01:42 PRESIDENT: Members of the tribunal, Madam President, it

08 10:01:47 is a special privilege to address you again. In

09 10:01:51 closing, together with Mr Hollande, who will conclude

10 10:01:56 our submissions. In this closing statement, we will

11 10:02:05 try to answer those questions that are relevant to

12 10:02:11 decide the case. We have modeled these questions on

13 10:02:21 the questions that have been submitted to the

14 10:02:24 tribunal, albeit in abbreviated form. The 1st

15 10:02:28 question that I'm going to address is, was PPD obliged

16 10:02:35 to comply with the new payment mechanism under article 50 4cg? It is useful to

17 10:02:50 recall the wording of

18 10:02:58 article 54. I quote the buyer's obligation to pay the

19 10:03:03 price includes taking such steps and complying with

20 10:03:09 such formalities as may be required under the contract or

21 10:03:10 any laws and

22 10:03:18 regulations to enable payment to be made.

23 10:03:18 3 points. Can already be

24 10:03:22 made based on the text of article 54. First article 54 is

25 10:03:33 not the mechanism to

26 10:03:35 amend the contract. It seeks to

01 10:03:40 enable the performance of

02 10:03:43 the

03 10:03:43 contract. It does not. Allow the parties to modify

04 10:03:51 the contract. As is already clear from the text of

05 10:03:57 the provision, which says as.

06 10:04:07 MS MAYDANIK: My screen doesn't work. So that's. Thank

07 10:04:15 you.

08 10:04:17 MR HAUGENEDER: As may be required under under the

09 10:04:21 contract or any laws and regulations to enable

10 10:04:25 payment. So under the contract and it is clear, as

11 10:04:32 already Prof Perner has pointed out, this is not

12 10:04:38 something that allows to change the payment mechanism,

13 10:04:42 which is part of the contract, not even a change of

14 10:04:48 currency. This is not a formal step to enable

15 10:04:53 payment, such as opening bank accounts, sending

16 10:04:59 transferring money, taking the necessary steps to

17 10:05:03 transfer the money. And that is crystal clear when

18 10:05:11 one reads the authorities party agreement is decisive

19 10:05:18 for the determination of currency. This authority

20 10:05:23 refers to currency, but of

21 10:05:27 course that refers to any steps and

22 10:05:31 formalities to enable payment agreement is paramount. And this position has

23 10:05:45 particular force in our

24 10:05:51 contract. Our contract specifically provides for a

25 10:05:59 payment mechanism and a currency, and it specifies

that the change of the currency requires mutual

01 10:06:05 consent. So already from the text of the contract, it

02 10:06:11 is clear that the payment mechanism that was imposed

03 10:06:16 with the 1 April letter. Could not be imposed by

04 10:06:24 relying on article 54

05 10:06:26 of the CISG because article 54 CISG does

06 10:06:31 not allow to modify the contract. Second article 54

07 10:06:40 only concerns steps and

08 10:06:42 formalities such as governmental procedures,

09 10:06:48 banking

10 10:06:48 procedures. It seeks to enable payment not to change

11 10:06:57 the agreement on how payment is to be made, and

12 10:07:02 even Prof Klicka, who seems to see this

13 10:07:07 otherwise concedes that article 54 cannot impose an

14 10:07:12 unreasonable burden on the buyer as he stated in

15 10:07:20 relation to the the currency of payment. And when we look at the facts, the payment

16 10:07:37 mechanism did impose unreasonable burdens. The. And it

17 10:07:43 amounted to a change of contract. According to the

18 10:07:47 new payment mechanism, payment was only deemed to be

19 10:07:54 made upon

20 10:07:56 receipt of payment in Russian roubles, as the 1 April

21 10:08:01 letter said, and that was a clear departure from the

22 10:08:05 contract. And that, contrary to

23 10:08:11 what the respondent has submitted, that

24 10:08:14 was also confirmed by the testimony during this

25 10:08:18 hearing, Mr Barash has confirmed the payment duty by

01 10:08:25 the buyer is only deemed fulfilled when
02 10:08:31 roubles are
03 10:08:33 credited to the account. So he confirms, was the
04 10:08:38 letter what the letter already says. And the
05 10:08:44 consequence of not transferring roubles to Gazprom accounts on the payment date
was an immediate
06 10:08:58 cut off. As we can see here from the correspondence
07 10:09:04 with Mr Barash, he confirms payment in euros on the
08 10:09:10 "K" type account
09 10:09:12 had already been received. Nevertheless,
10 10:09:16 end of May the gas was cut off. And again on 31st
11 10:09:30 August 2022, gas was again cut off and again. In an
12 10:09:35 email to Ms Ivancic, he said that the resumption of
13 10:09:44 deliveries will resume. I quote from
14 10:09:48 the email depending on the date of crediting roubles
15 10:09:52 to our account in Gazprombank. So clearly, so
16 10:10:00 clearly
17 10:10:01 the mechanism departed from the contract and
18 10:10:06 it also went far beyond steps and formalities. In
19 10:10:14 addition,
20 10:10:15 there were compliance delays because
21 10:10:18 European banks had doubts about the compliance of this mechanism
22 10:10:25 with
23 10:10:25 sanctions. Now, we've heard that according to
24 10:10:31 Gazprom, the conversion, the conversion to from euros to gas to to
25 10:10:39 roubles took only two days. But there were additional delays based on

01 10:10:45 the compliance procedures by European banks, and those

02 10:10:49 delays amounted to up to 14 days. Ms Ivancic has said five to

03 10:10:58 six or seven days now. The respondent says that's not that's not our sphere. But in
actual fact,

04 10:11:09 these compliance delays

05 10:11:10 did not exist before. They were a direct consequence of

06 10:11:17 the

07 10:11:17 change of payment mechanism and the risk that the new

08 10:11:25 payment mechanism would be in breach of sanctions.

09 10:11:29 So, of course, these compliance delays are directly

10 10:11:37 attributable to the to the change of the payment

11 10:11:42 mechanism. And on the on the next slides, you will see abundant and

12 10:11:54 credible evidence that the the payment the new payment

13 10:12:02 mechanism caused delays and disruptions which in certain cases

14 10:12:09 led to the interruption of gas supplies. All

15 10:12:15 this did

16 10:12:16 not exist under the previous. Under

17 10:12:19 the contract, where PPD simply had to transfer

18 10:12:26 euros

19 10:12:27 to a. To the account of Gazprom. The. The new payment mechanism also shifted
further

20 10:12:41 risks and burdens to PPD, so there were significant

21 10:12:48 financing costs because payment had to be made before

22 10:12:55 the contractual due date. That was. Set out by Mr Way, and this has not at

23 10:13:03 all been addressed by Gazprom. The payment mechanism exposed PPD to the

24 10:13:11 jurisdiction of the Russian courts regarding their

25 10:13:14 type "K" bank account. And remember, these were

01 10:13:19 considerable sums that were transferred to this
02 10:13:21 account. Again, this was not addressed by Gazprom during
03 10:13:27 this hearing, and the Russian administrative
04 10:13:31 authorities had the power to decide on the suspension
05 10:13:35 of supplies of gas
06 10:13:36 deliveries if gas was not made in roubles. Again, this change of the payment
mechanism is not
07 10:13:50 covered by the contract. And finally, the 1 April letter also purported to give
08 10:13:57 the CBR the power to change the payment mechanism in
09 10:14:00 the future. And the 3rd point that can be made with in
10 10:14:06 relation to article 54 is. Article 54 concerns payment
11 10:14:17 of the contract price by the buyer, not impediments in
12 10:14:24 the sphere of the seller. So. The buyer needs to comply with steps and formalities.
What has happened
13 10:14:38 here is of course, PPD could
14 10:14:44 easily transfer euros to a Gazprombank account. The
15 10:14:51 payment mechanism did not concern PPD's obligation to
16 10:14:57 pay the the price it concerns is concerned the
17 10:15:02 performance of Gazprom under the contract and that is not
18 10:15:09 covered by
19 10:15:11 article 54 of the CISG
20 10:15:14 because the entire. This entire part of the. CISG 5354 concerns
21 10:15:21 obligations of the buyer. Here. The invoked steps and formalities concerned
22 10:15:36 Gazprom's performance under the contract. Because the
23 10:15:44 decree and the mechanism prohibited Gazprom from
24 10:15:49 performing the contract, PPD was still able and
25 10:15:54 willing to make payments in euros. So that

01 10:16:00 concludes

02 10:16:00 this point. PPD had no obligation to comply with

03 10:16:03 the

04 10:16:04 payment mechanism under article 54 CISG. The next point can be brief.

05 10:16:17 Was PPD obliged to agree to a new payment

06 10:16:21 mechanism under the principle of good

07 10:16:22 faith? Respondent made this

08 10:16:32 argument based on Prof Klicka's

09 10:16:35 testimony, and Prof Klicka relied on article 71 CISG.

10 10:16:42 If you look at that article, that

11 10:16:43 article has nothing to do with an obligation to agree

12 10:16:50 to contract changes based on the on on the principle of good faith, it concerns the

13 10:16:59 interpretation of the convention, the

14 10:17:01 interpretation of the cisc. There is no legal

15 10:17:06 authority for the proposition that a party has to

16 10:17:09 accept amendments to the contract that are requested

17 10:17:13 by the other side, even if that request is reasonable. This would be fundamentally.
Against the

18 10:17:27 principle of the sanctity of contracts and party

19 10:17:29 autonomy.

20 10:17:30 Party autonomy means parties can make binding

21 10:17:34 agreements, and once these agreements are made, they

22 10:17:39 are binding on them. So there is no right of a party to request an

23 10:17:49 amendment of the contract and the corresponding

24 10:17:53 obligation of the other side to accept that request.

25 10:18:02 The obligation to negotiate or renegotiate the

01 10:18:08 contract in situations of hardship is sometimes
02 10:18:13 discussed, and it is primarily denied under the CISG.
03 10:18:19 So the prevailing view is that there is no such
04 10:18:23 obligation. But even if you assume that there is such an
05 10:18:28 obligation, this is only an obligation to negotiate,
06 10:18:36 which as the authorities, including the CISG advisory
07 10:18:42 counsel opinion say, must be based on willingness and
08 10:18:45 trust. There cannot be and there is not a duty to achieve
09 10:18:56 a specific outcome in these negotiations. And even
10 10:19:05 even Prof Klicka concedes that the obligation
11 10:19:12 could only go as far as an obligation to negotiate,
12 10:19:18 but not an obligation to agree to a request from one
13 10:19:23 side. And here, as the facts have shown, there. There
14 10:19:37 wasn't any negotiation and Gazprom's witnesses have that
15 10:19:42 may have made that clear. There was no point to to
16 10:19:46 negotiate. There was a choice to sign or not to sign the letter.
17 10:19:51 As
18 10:19:51 Mr Averkin said, that is not negotiation. That's an
19 10:19:55 ultimatum. So. In conclusion, on that point. There is no legal
20 10:20:11 authority supporting Gazprom's view that there could
21 10:20:13 have been an obligation of PPD, under good faith or
22 10:20:17 otherwise, to agree to the amendments they
23 10:20:23 requested
24 10:20:24 on 1st April. I move now to the next question. Dede PPD accept
25 10:20:38 an offer to modify the contract. The standard. For

01 10:20:46 this is contained in article 8 CISG and article 81, which is relevant in our case,
02 10:20:58 provides for the purposes of this convention,
03 10:21:01 statements, statements made by and other conduct of a
04 10:21:06 party are to be interpreted according to his
05 10:21:10 intent.
06 10:21:11 Where the other party knew or could not have been unaware what
07 10:21:16 that intent was. So the primary rule is one looks at
08 10:21:24 the actual intention of the parties. If the other side knew
09 10:21:29 what this intention was, or could not have been
10 10:21:34 unaware, and the 2nd relevant principle is the
11 10:21:43 observance of practices that have been established
12 10:21:47 between the parties. And once
13 10:21:56 these practices have been
14 10:21:58 established with a certain frequency, and usually one
15 10:22:03 looks at three or four previous instances, these
16 10:22:09 practices are binding. Now,
17 10:22:14 in our case, there was unambiguous testimony from
18 10:22:21 all
19 10:22:23 witnesses that all previous amendments of the contract
20 10:22:31 were contained in formal amendments called
21 10:22:37 amendment. But significantly, there were intense
22 10:22:44 negotiations and exchanges of views before these
23 10:22:48 amendments were
24 10:22:52 agreed. There was never practiced to send a one-sided
25 10:22:59 letter requesting the other side to simply agree. As

01 10:23:06 Mr confirmed and as was also confirmed by Gazprom's
02 10:23:10 witnesses, now having these two principles in mind, actual intent of the parties and
03 10:23:22 practices established between the
04 10:23:27 parties. I'm going to look now at what has
05 10:23:36 happened on 1st April, and it is striking that Gazprom's own witnesses do
06 10:23:41 not call this an offer to amend the contract. They
07 10:23:52 call this an information, a notification. Template.
08 10:24:00 Notice instructions. Informing the counterparties.
09 10:24:04 That's how they call it. And visibly that was also
10 10:24:09 how it was understood by PPD. In addition.
11 10:24:14 Importantly, if you look at Gazprom's
12 10:24:20 letter five May. So that was the letter with which
13 10:24:30 Gazprom communicated the the the decree 254 and the
14 10:24:39 clarifications from the CBR. Gazprom itself refers to the 1 April letter as
15 10:24:44 notification, not as an offer. And it also doesn't
16 10:24:51 refer to a contract amendment that has been concluded.
17 10:24:53 As previously stated in the notification. And that
18 10:24:58 refers. And that's even defined here as the 1 April
19 10:25:06 letter. And that this understanding was
20 10:25:11 also confirmed by Mr Averkin. Who said, we are just
21 10:25:19 informing. About decree
22 10:25:23 paragraphs and so on. So the conclusion
23 10:25:24 from
24 10:25:28 this is Gazprom did not
25 10:25:30 offer to amend the contract, and when there is no
offer, there can be no acceptance. What Gazprom in

01 10:25:35 fact did, it informed PPD about
02 10:25:42 its request to abide by the new payments mechanism.
03 10:25:46 That's a request. That's not an offer. And you will remember the answer to the
04 10:25:55 question of
05 10:26:01 of, Madam President, when I think Mr. Mr Barash was
06 10:26:01 asked
07 10:26:05 and what what happened when they didn't sign that
08 10:26:05 didn't
09 10:26:06 matter to Gazprom, because all that mattered was that
10 10:26:11 the
11 10:26:11 counterparties complied with the new payment
12 10:26:15 mechanism, the 1 April letter does refer once to to a change
13 10:26:26 of contract, but when one looks at the overall context,
14 10:26:31 what was meant and what was clearly understood by PPD
15 10:26:38 was a request to abide by the new payment mechanism.
16 10:26:47 And then if one looks further, there were two further
17 10:26:52 amendments of the payment mechanism. First, the the
18 10:26:57 clarification of the Central Bank and then the five May
19 10:27:02 letter. And these were only notifications
20 10:27:06 this time. Gazprom didn't even ask to
21 10:27:12 confirm agreement. It was simply a notification and a
22 10:27:15 request to abide and significantly, with its letter. 26 May 2022, PPD affirmed that
23 10:27:26 there had
24 10:27:26 been no
25 10:27:27 modification of the contract clearly, and Gazprom did
26 10:27:34 not object. Had there been any amendment of the
27 10:27:38 contract, Gazprom could be expected to object to that

01 10:27:44 statement, which was which was not lacking in clarity.

02 10:27:49 And finally, there is no basis for reliance on PPD

03 10:27:54 conduct or a counterfactual opprobrium as a professor,

04 10:27:59 Schleicher argued, because reliance is can only be

05 10:28:09 based on trust. But in our case, it is clear that on

06 10:28:16 26 may 2022, PPD expressly stated that it did not

07 10:28:21 agree to any contract amendment and Gazprom left that

08 10:28:30 statement

09 10:28:30 unanswered and Mr Averkin confirmed he had received

10 10:28:35 and understood the letter. So there cannot be any

11 10:28:40 amendment or any obligation to agree to an

12 10:28:43 amendment based on subsequent conduct. Prof Schroeter argued this, but in fact, his

13 10:28:51 conclusions were based

14 10:28:52 on a wrong factual assumption, namely that there

15 10:28:56 had

16 10:28:57 not been any such communication in which PPD made its

17 10:29:03 position clear. So the conclusion on this is PPD did

18 10:29:09 not accept any offer to amend the contract. I move

19 10:29:13 now to duress. Was there duress? And this. This

20 10:29:21 question only needs to be answered. If you come to

21 10:29:24 the conclusion that there was an amendment. The

22 10:29:33 parties are largely in agreement about the legal test,

23 10:29:39 duress. There is duress. If there is an unjust or

24 10:29:43 unlawful threat, reasonable fear, and a causal

25 10:29:48 link

01 10:29:48 between the threat and the agreement to the
02 10:29:53 amendment
03 10:29:54 of the contract. Now,
04 10:29:57 1st, was there a threat? Of course there was a
05 10:30:01 threat. If one looks at the 1 April letter, Gazprom
06 10:30:08 wrote, and there are many, you shall you must. In
07 10:30:15 this letter, Gazprom clearly conditioned the further
08 10:30:23 performance of the contract on the. Compliance with the requests to change the
09 10:30:34 payment mechanism. So
10 10:30:35 that
11 10:30:35 is a threat. And this was also how Mr Averkin understood
12 10:30:43 it. He said there was no
13 10:30:47 point to negotiate, but there was a choice to sign or not to sign the letter. So that is a
threat
14 10:30:53 because not
15 10:30:54 signing meant cutting off the gas. And the case law
16 10:31:02 and the legal literature on
17 10:31:03 this point are unanimous. The threat of
18 10:31:07 a breach of a contract is unlawful, per
19 10:31:10 se. So there cannot be any argument
20 10:31:17 that this threat was not unlawful. And that was also
21 10:31:26 confirmed by Prof Schroeter, who, after some
22 10:31:32 hesitation conceded that the Supreme Court had
23 10:31:39 said
24 10:31:41 certainly the threat of not continuing contract
25 10:31:44 performance is unlawful. And that's also

01 10:31:51 what Prof

02 10:31:52 Perner testified. Of course,

03 10:31:56 the threat was unjust

04 10:31:58 because there was no obligation to agree by PPD. Was there reasonable fear? Of course there was.

05 10:32:10 There is

06 10:32:12 abundant and credible testimony of Mr Vujnovac and Ms Measic that

07 10:32:21 they were afraid. If they did not sign the letter,

08 10:32:28 gas would be cut off

09 10:32:31 and

10 10:32:32 they described these moments of stress because of

11 10:32:39 fears about the security of supply, but also fear

12 10:32:43 about the

13 10:32:45 financial survival of

14 10:32:46 PPD, because not getting

15 10:32:51 gas

16 10:32:52 from Gazprom would mean

17 10:32:54 having to to procure gas at spot markets, at at

18 10:33:00 untenable prices at the time. As Mr Vujnovac says, this would have been

19 10:33:13 the death of the company and this. This fear was

20 10:33:21 reasonable because,

21 10:33:26 as the example of Uniper showed, not signing

22 10:33:31 the letter and

23 10:33:32 not abiding by the by the payment mechanism had dramatic

24 10:33:38 financial consequences. And in the case of Uniper, who

25 10:33:44 resisted. This resulted in insolvency and forced administration by the

01 10:33:51 German state. And of course, the threat was the
02 10:33:55 cause for
03 10:33:57 countersigning the 1st April letter. So that is
04 10:34:00 really that that is
05 10:34:02 that was really the only reason
06 10:34:06 why PPD would sign this letter. Gazprom didn't even
07 10:34:11 suggest any other reason. So that clearly was
08 10:34:14 the
09 10:34:14 cause. So the conclusion on this is Gazprom countersigned the 1st April letter under
10 10:34:22 duress and PPD validly awarded
11 10:34:25 the claimed amendment of the contract. I move to the next
12 10:34:42 question. Was there force
13 10:34:45 majeure? Which is regulated in article 11 of the
14 10:34:50 contract? There are
15 10:35:00 three legal
16 10:35:00 principles to bear in mind when interpreting article 11. First, parties may derogate
17 10:35:13 from
18 10:35:13 article 79 CISG regulating hardship and, as Prof
19 10:35:19 Schwenzer says, this. This is actually quite common in international trade
20 10:35:25 and such derogation is, of course, binding on the
21 10:35:32 parties. Second, the provisions of a contract in
22 10:35:39 general and of course also also this provision must be
23 10:35:44 construed according to their purpose. And this
24 10:35:49 interpretation. Must be based on the presumption that
25 10:35:56 the parties wanted to conclude a meaningful contract,
26 10:36:01 so that every clause of it has actually an effect.

01 10:36:09 And of course, the principle of of contra proferentem.

02 10:36:15 So the party that drafted the contract or provided the

03 10:36:22 formulation of that specific provision must bear the

04 10:36:27 risk of possible ambiguity and that therefore it must be

05 10:36:34 interpreted against that

06 10:36:36 party. The the testimony of

07 10:36:43 Mr Averkin confirmed. That the the contract draft came

08 10:36:52 from Gazprom. And that's also what the what the

09 10:36:55 record shows. So if one were to conclude that

10 10:37:01 article 11 is ambiguous, the meaning that is more favourable to PPD

11 10:37:08 must prevail. Article 11 therefore defines and

12 10:37:22 exhaustively

13 10:37:23 regulates force majeure events and

14 10:37:29 article 114 provides for an

15 10:37:31 obligation of the party affected by

16 10:37:35 □202603270017 force majeure to immediately notify the

17 10:37:38 other party of the occurrence and the expected

18 10:37:43 extent and duration of these circumstances. And there

19 10:37:47 is also, in the case of the seller, Gazprom, the

20 10:37:52 obligation to confirm force majeure by the Chamber of

21 10:38:00 Commerce and Industry of the Russian federation.

22 10:38:07 Now, Gazprom says this. This does not. Even if this

23 10:38:10 notification was not made, this should not have any

24 10:38:16 consequences. But that would simply leave these

25 10:38:23 contract provisions without any meaning, because

01 10:38:28 whether these provisions are in in the contract or not,
02 10:38:35 Gazprom's position is exactly the same. It has no
03 10:38:39 consequence, and that is not a reasonable
04 10:38:43 interpretation. In particular, in view of the in view
05 10:38:49 of the clarity that is needed in relation to force majeure events. As Prof Perner
06 10:38:59 confirmed. In fact, there was no force
07 10:39:09 majeure notification. Mr Averkin confirmed that
08 10:39:14 the 1st April letter was no such notification.
09 10:39:19 And also, if one looks at the content
10 10:39:22 of that letter, that letter doesn't speak
11 10:39:24 about the hindrance to the performance. The letter
12 10:39:28 says. You must abide by.
13 10:39:32 You must abide by the new payment mechanism. That does
14 10:39:38 not say I'm unable to perform because there is this specific event. And Gazprom also
15 10:39:59 did not provide a certificate of
16 10:40:04 the Chamber of Commerce and Industry and made no
17 10:40:04 contemporaneous attempt to attain one. As Mr Averkin
18 10:40:10 confirmed in his testimony. So the conclusion on this is Gazprom cannot rely
19 10:40:16 on force majeure. It made no notification. It cannot
20 10:40:25 now say that the decree was force majeure. In
21 10:40:30 addition, and independently of this, Gazprom
22 10:40:36 was required to prevent any impediment to its
23 10:40:41 performance in a situation of events. To its
24 10:40:47 performance, it was under obligation to prevent the
25 10:40:55 event with due care of a reasonable and prudent
26 10:40:59 operation, and it was obliged to take all reasonable

01 10:41:03 measures, which may be useful to ensure the resumption of the normal performance
of the
02 10:41:08 contract.

03 10:41:11 Now, if one looks at the facts, Gazprom was over
04 10:41:16 compliant with Decree 172, as the testimony showed,
05 10:41:22 there was an instruction by President Putin to
06 10:41:26 change the currency. Gazprom did nothing, although
07 10:41:32 it
08 10:41:33 was evident even from media, that this would have a
09 10:41:39 very significant impact on their contracts with
10 10:41:45 foreign buyers, including PPD and Mr Averkin in his testimony, confirmed, in fact,
11 10:41:53 that he did nothing. We have to wait and then. On the evening of 31 March 2022,
Gazprom.
12 10:42:12 Acted in an over compliant way in a few hours in one
13 10:42:16 evening. If one believes the testimony, they drafted
14 10:42:24 letters requesting all its customers to
15 10:42:29 abide by the
16 10:42:30 new payment mechanism, clearly no consideration whatsoever was
17 10:42:36 given to any steps that could be taken
18 10:42:39 to prevent the interference and to allow the
19 10:42:44 continuation of the performance. And there were ways to continue the performance
20 10:42:57 that it was Gazprom's burden to look for such
21 10:43:03 possibilities. But there are some obvious ones.
22 10:43:06 Gazprom controlled subsidiaries outside Russia, which
23 10:43:10 it could have used to fulfil its obligations, not to
24 10:43:14 assign the contract simply to allow payment in euros
25 10:43:21 under the contract to be forwarded to Gazprom under

01 10:43:27 the mechanism, but then the subsidiary would comply
02 10:43:31 with the mechanism and not the foreign buyer itself.
03 10:43:35 And it also did not seek any exemption for the decree.
04 10:43:41 It was said that there was no such possibility, but we
05 10:43:44 don't even see any attempt to change the situation.
06 10:43:48 Any letter, any petition, nothing so clearly. So clearly. Gazprom promoted, in fact,
07 10:44:05 the implementation of the decree. And finally, there
08 10:44:07 was no impediment outside the
09 10:44:11 sphere of Gazprom. And that is inherent in the notion
10 10:44:17 of force majeure itself. The relevant test is whether
11 10:44:23 any government regulation is based on general considerations not
12 10:44:28 connected with the contract. The inquiry is not, in
13 10:44:33 hindsight. What specific benefits did Gazprom have
14 10:44:39 from this? The question is, as Bruner states here,
15 10:44:44 parties concluding a contract with the state
16 10:44:46 enterprise may reasonably expect that the state will
17 10:44:50 not prevent
18 10:44:51 the state enterprise from effecting performance under the
19 10:44:54 contract, except if the state intervention is not
20 10:44:57 connected with the contract and
21 10:44:59 based on general considerations. And that was clearly
22 10:45:02 not the case here, because Decree 172 had the specific
23 10:45:10 purpose of interfering with
24 10:45:11 contractual relationships of Gazprom and with
25 10:45:14 specific contracts under the legal test, Gazprom had

01 10:45:20 the burden to demonstrate prima facie that the decree
02 10:45:24 was based on general considerations, but clearly it
03 10:45:28 cannot actually, the evidence shows that Gazprom has
04 10:45:32 promoted the decree, so there was no impediment
05 10:45:37 outside the sphere of Gazprom. Gazprom cannot rely on
06 10:45:43 force majeure. And finally, who was in breach of
07 10:45:47 contract. And here I can be brief. It is a clear
08 10:45:54 that the threat of suspending performance, unless the
09 10:46:00 other side agrees to a modification of the contract,
10 10:46:03 is a fundamental breach under the CISG, the suspension
11 10:46:09 of deliveries under the supply contract is without a
12 10:46:13 doubt a breach of
13 10:46:15 contract. On 31st October 2022, PPD asserted its rights to pay in
14 10:46:24 accordance with the terms of the
15 10:46:26 contract, and it confirmed its willingness to fulfil
16 10:46:30 its obligations under the contract. So PPD was not
17 10:46:36 in
18 10:46:36 breach. PPD required performance of the contracts in
19 10:46:42 accordance with its terms, and that's also what
20 10:46:45 Mr Vujnovac confirms in his testimony. However, Gazprom responded we are
21 10:46:53 suspending deliveries unless you pay in accordance
22 10:46:59 with the payment mechanism.
23 10:47:02 Therefore, Gazprom was in breach. Gazprom. The
24 10:47:10 refused deliveries under the contract
25 10:47:12 and. Insisted on, on, on, on a payment not foreseen

01 10:47:18 in the contract. Of course, this does not allow
02 10:47:24 Gazprom to rely on article 71 CISG to suspend the the
03 10:47:29 contract because it was in breach of contract, and
04 10:47:33 that's also confirmed by the testimony of Prof Perner.
05 10:47:44 In January 2023, Gazprom informed PPD
06 10:47:48 about Decree 992, allowing the payment of past debts
07 10:47:54 in euros. But in the same letter, it continued to request
08 10:47:59 payment in
09 10:48:00 Russian roubles for future
10 10:48:01 deliveries. So again, it made the
11 10:48:04 performance of the contract conditional upon
12 10:48:10 compliance with the payment request. PPD paid for past
13 10:48:17 deliveries by way of set
14 10:48:19 out set off. But even without this payment, Gazprom would be in breach
15 10:48:25 of contract because it made the continuing
16 10:48:29 performance of the contract conditional upon the
17 10:48:34 payment in roubles under the payment mechanism. And
18 10:48:37 that is a fundamental breach, which is a prerequisite
19 10:48:42 for contract avoidance and PPD in consequence, validly
20 10:48:47 awarded. The contract by its letter dated eight March
21 10:48:51 due to Gazprom's fundamental breach of contract. So
22 10:48:56 these are all the elements you need to find Gazprom liable
23 10:49:04 for the damages suffered in relation to replacement costs.
24 10:49:13 Mr Holland will now
25 10:49:15 set out the other basis of liability.

01 10:49:32 DR REINER: Members of the tribunal respectfully, we next
02 10:49:36 address sanctions and why the risk of payment under
03 10:49:40 the payment mechanism was such that whatever you find
04 10:49:45 under the contractual and Austrian law principles, PPD
05 10:49:51 was right to stop payment and it was right to resist Gazprom's
06 10:49:56 claims. And that is because
07 10:49:58 this hearing has been bookended at the start and at
08 10:50:05 the finish by two decisions that make this position
09 10:50:10 absolutely clear. We will talk about them
10 10:50:15 shortly.
11 10:50:16 But in summary, the 1st days before the
12 10:50:21 hearing ended held that it was part of public policy
13 10:50:26 that the prohibition to make funds available to
14 10:50:30 sanctioned entities is breached where there is a
15 10:50:36 reasonable risk that a sanctioned entity could be
16 10:50:42 allowed to access all or part of the funds. And
17 10:50:49 the
18 10:50:50 2nd days before the start of
19 10:50:54 this
20 10:50:55 hearing held that it was part of public policy, that a
21 10:51:00 claim made under a contract modification affected by sanctions was automatically
22 10:51:09 not satisfied. So for all
23 10:51:11 of us sitting here in the middle of these rulings, the
24 10:51:17 situation could not be clearer and nor could the obvious direction
25 10:51:23 of travel or development of these

01 10:51:28 mandatory principles. So you saw and heard about
02 10:51:34 the
03 10:51:35 payment mechanism. I will make three points on how
04 10:51:39 the evidence developed. But if any other aspect of
05 10:51:44 the operation of the payment
06 10:51:45 mechanism is not clear, please ask questions after. Now. Now
07 10:51:52 .1 relates to the
08 10:51:54 unquestionable, undeniable participation by PPD. In this scheme. It was forced
09 10:52:03 to do this on the 1st of April 2022.
10 10:52:08 Gazprom required gas buyers to give an irrevocable
11 10:52:15 order pre
12 10:52:17 authorisation instructions to Gazprombank, and that
13 10:52:21 was in Gazprombank's letter. And why is this
14 10:52:26 important? It made PPD
15 10:52:30 responsible for the euros made available. And what
16 10:52:36 did it require of PPD that was not pay
17 10:52:43 your euros into your euro account. It was also
18 10:52:50 convert them exactly how Gazprom want and where we
19 10:52:56 want and when we want. You let your euros go out to to moex to someone you
20 10:53:04 don't know and you get their roubles and you put
21 10:53:09 them
22 10:53:10 in your rouble "K" account, and then you pay them
23 10:53:14 to
24 10:53:15 Gazprom each step of the whole payment procedure
25 10:53:20 was controlled. The entire process, not just the 1st

01 10:53:26 step, took place because the gas buyer
02 10:53:30 authorised it to
03 10:53:31 happen. .2 relates to the unquestionable and
04 10:53:37 undeniable
05 10:53:39 fact that PPD's participation went right
06 10:53:42 through to the end of the payment mechanism. Now,
07 10:53:46 Gazprom's witnesses confirmed this. And why
08 10:53:49 is it important? PPD responsibility for the euros
09 10:53:56 that were made available is stretched. It's
10 10:54:01 stretched across to everything that the payment
11 10:54:05 mechanism did. The gas buyer would only pay Gazprom
12 10:54:11 in in roubles.
13 10:54:13 So it mattered how it sold the euros, how it
14 10:54:18 bought the roubles and .3 relates to the unquestionable and
15 10:54:26 undeniable fact that PPD could not blame its
16 10:54:31 intermediary. Now to a banker, PPD gave carte blanche for
17 10:54:39 Gazprombank to act on its behalf. And why is this
18 10:54:45 important? It's because PPD's
19 10:54:50 responsibility for the euros that were made available
20 10:54:55 cannot be shifted. The payment mechanism operated under PPD's
21 10:55:04 instructions from the 1st step to the last. And
22 10:55:08 this is again because of the irrevocable order that
23 10:55:15 PPD had to give. And so, with these facts established, what of the
24 10:55:24 risk of sanctions violation? Now, there was at the
25 10:55:30 very least, a substantial

01 10:55:34 risk that payments via the mechanism would breach
02 10:55:39 EU
03 10:55:39 sanctions law. And that is because sanctioned
04 10:55:44 entities and the CBR traded euros on Moex and Gazprom
05 10:55:51 cannot deny this. And it can't because the CBR,
06 10:55:58 the
07 10:55:58 sanctioned bank, VTB Bank, and also the only experts that you heard from
08 10:56:07 say that euros were available to be bought by
09 10:56:11 sanctioned entities. And that is the reality of
10 10:56:16 the
11 10:56:17 flow of payments. Any trader on Moex could access the
12 10:56:24 funds. The funds were made available. Second, the
13 10:56:31 gas buyers only means of defence.
14 10:56:36 Your duty to do obligatory sanctions checks was
15 10:56:42 taken
16 10:56:42 away from it. The Russian buyer of your euros
17 10:56:47 was deliberately concealed and for sanctions it
18 10:56:53 seems that it is simple. You need to know the
19 10:57:00 recipient of the euros. And even if you could have done sanctions checks,
20 10:57:09 which you absolutely cannot. This was a totally
21 10:57:15 unnecessary and complex scheme. And that
22 10:57:19 separately raises red flags. You heard variously that
23 10:57:26 it was sophisticated, unnecessarily complex and very risky. And the only
24 10:57:36 experts you heard from told you about the risks that
25 10:57:41 they saw. You heard that a banker could never

01 10:57:47 participate in the payment mechanism, and that was the
02 10:57:53 case if there was even a chance that you could
03 10:57:59 transact with a sanctioned entity. Next, the standard of risk to be applied.
04 10:58:09 And for this, we look more on the risk that
05 10:58:13 the experts saw. The standard of risk for sanctions
06 10:58:17 is zero tolerance. There is no de minimis limit. So that means that there is
07 10:58:26 an intense risk of violation.
08 10:58:29 These provisions are so broad, it's an unmovable.
09 10:58:37 Restriction. And two points on the test that you are
10 10:58:42 mandated to apply. The 1st is that the
11 10:58:46 governing test is only whether a sanctioned entity would be allowed to access the
12 10:58:54 funds. And 2nd, this needs you to prove only a reasonable
13 10:59:04 risk. And that was clarified this week. It's the 1st
14 10:59:10 of the new decisions. And that related to the Yemen sanctions.
15 10:59:21 But you will see at the top of this slide that the language is tentacle, and it was held in
16 10:59:30 that
17 10:59:37 decision of the advocate general. The article 2.2 of
18 10:59:42 the same regulation is to be interpreted as
19 10:59:45 meaning that the existence of a reasonable risk that a
20 10:59:51 designated person will benefit from all or part of the
21 10:59:56 funds triggers the application of the prohibition laid
22 11:00:04 down in that provision, and the same opinion confirmed that such a risk has to be
23 11:00:08 established on the basis of available public
24 11:00:15 information. And on this, if it is difficult for you to get
25 11:00:19 evidence because of the actions of a foreign state
like here with Russia, account is taken of this.

01 11:00:26 It's

02 11:00:27 also confirmed that once the risk has been

03 11:00:28 established, it is Gazprom's burden to prove that the

04 11:00:33 requisite legal standard of risk did not exist. So, I

05 11:00:38 repeat, Gazprom must prove that there is no

06 11:00:43 risk. See the bottom quote and this is an essential

07 11:00:51 point. So even on a normal standard of proof, not one

08 11:00:55 of zero tolerance, not one of reasonable risk, the

09 11:00:59 evidence of a risk of violation is overwhelming. And

10 11:01:02 remember, if you would like to understand more about

11 11:01:06 who got the euros, this is being kept from you on purpose by the Russian

12 11:01:13 State and Gazprom have clearly

13 11:01:17 failed to rebut any any burden of proof.

14 11:01:21 It's not

15 11:01:22 called any evidence from the CBR, the NCC or any other relevant

16 11:01:28 organisation to disprove with to

17 11:01:32 disprove the clear evidence and submissions on

18 11:01:35 behalf

19 11:01:35 of PPD. It's called upon no evidence from Gazprombank, which it

20 11:01:42 owns. And please remember all

21 11:01:45 of this when you hear Gazprom's only technical position.

22 11:01:50 And remember when you hear that that you heard that

23 11:01:55 foreign laws must

24 11:01:56 obviously be ignored when

25 11:01:59 considering EU sanctions. And also there is an even

01 11:02:07 lower standard of proof and
02 11:02:09 risk of circumvention, which is a separate ground of
03 11:02:12 illegality. And that is because circumvention is so
04 11:02:15 much wider than the scope of a violation itself. It
05 11:02:20 applies where you have not met the elements needed for
06 11:02:23 a
07 11:02:24 direct violation. You have. You have not
08 11:02:27 infringed the violation itself, but you have. By avoiding these elements,
09 11:02:34 circumvented the provision. Now, in the
10 11:02:36 middle of the screen, you can see the words. It
11 11:02:41 follows that circumvention must be taken to cover not only the
12 11:02:49 activities that actually frustrate the
13 11:02:52 objectives of the restrictive measures, but also those intended
14 11:02:58 to make them fail independently of the actual of
15 11:03:04 their actual results. So the test for
16 11:03:08 circumvention is whether the activity had the object
17 11:03:14 or the effect of circumventing sanctions, whether or not an independent of the actual
18 11:03:23 result and the payment mechanisms object was a powerful
19 11:03:27 deception. It was attacking the EU sanctions and
20 11:03:33 their objectives. And think about it this way there
21 11:03:38 was no legitimate object or effect of the decrees because the mechanism was
22 11:03:46 simply not needed to pay for gas. There was no
23 11:03:52 legitimate reason that makes any sense. And in
24 11:03:56 truth,
25 11:03:58 the payment mechanism moved safe

01 11:04:02 payments into deliberate yet concealed contact with
02 11:04:07 sanctions. So whether or not. There is a direct violation, it
03 11:04:15 does not matter. The payment mechanism was a clear
04 11:04:21 circumvention and the result is exactly the same. And
05 11:04:29 PPD therefore had was right and had the right to cease
06 11:04:34 payments in November 2022. Regardless of the position
07 11:04:40 under the contract. Now on Gazprom's
08 11:04:47 counterclaim, there are two articles. First
09 11:04:49 article 10, which
10 11:04:51 provides for no liability where funds are
11 11:04:55 withheld
12 11:04:56 without negligence. The standard is, I quote, quite low. This is again from the
13 11:05:07 decision
14 11:05:07 from this week and it's very im
15 11:05:11 important.
16 11:05:11 Also, you need a risk based approach. And PPD did
17 11:05:19 this PPD refusal to make funds available was not negligent in light of all the
18 11:05:27 conflicting
19 11:05:32 information which it received throughout 2022, not
20 11:05:32 least the view expressed
21 11:05:34 subsequently by the Croatian Ministry of
22 11:05:37 Foreign Affairs and also PPD and Mr Vujnovac. Doubts
23 11:05:43 grew over time as PPD faced genuine regulatory
24 11:05:50 uncertainty. And he explained this to you all in
25 11:05:54 person. And finally, article 11 protects EU operators from
26 11:06:03 having to satisfy any type of damages
27 11:06:08 claim in connection with any contract or

01 11:06:11 transaction, the performance of which has been affected directly or indirectly by
regulation. 833

02 11:06:25 and this was the other

03 11:06:27 new case that came in, and that is rebel, which sets

04 11:06:31 out the broad application of article 11. And that

05 11:06:36 case also made absolutely clear that article 11 is

06 11:06:41 part of EU public policy. So the consequence of the

07 11:06:47 application of article 11 is that no favourable

08 11:06:51 response must be given to Gazprom's

09 11:06:54 counterclaim, and it's an

10 11:06:58 automatic autonomous.

11 11:07:01 Right. And it's irrelevant that the claim was later able to

12 11:07:06 be satisfied or not without

13 11:07:08 breaching sanctions. The burden of proof under article 11 is on Gazprom to show the
requisite legal standard that the contract was not

14 11:07:22 affected by sanctions, and Gazprom has failed

15 11:07:25 to meet this standard. So when you apply article 11 to the facts of this

16 11:07:33 dispute, the conclusion is the payment mechanism

17 11:07:40 impacted the contract, which meant that it was

18 11:07:43 affected by EU sanctions. Continued payment via the

19 11:07:49 payment mechanism would be a breach of sanctions

20 11:07:52 provisions, and also that the payment mechanism was

21 11:07:56 imposed as a direct reaction to EU sanctions. That

22 11:08:04 concludes our submission on sanctions. And

23 11:08:10 we move next to a further separate claim, which

24 11:08:14 calls out for your determination. And these are PPD market manipulation claims,
and

25 11:08:22 we move to them next.

01 11:08:24 And a component of these claims is the question of
02 11:08:27 Gazprom's dominance. Now, as you will have seen
03 11:08:32 and
04 11:08:33 heard from the experts, your for your dominance
05 11:08:37 assessment, you need a market and you need a market share. A market share is a
06 11:08:44 percentage. You do a sum. Gazprom's gas volumes is
07 11:08:50 the numerator at the top and the total market size or
08 11:08:57 the volume in total is the denominator at the bottom.
09 11:09:02 And I'm going to talk more
10 11:09:04 about this some. I do realise that we need a
11 11:09:07 relevant market, but to help things that does not
12 11:09:12 matter. If only you get this sum right. So
13 11:09:19 looking 1st at the total market size. If
14 11:09:25 you make that bigger on purpose, then Gazprom's share will
15 11:09:31 be false. It will be smaller. And gas is traded in Croatia. As you heard,
16 11:09:40 a
17 11:09:40 molecule of gas can be traded many times before it's
18 11:09:43 used. And so adding these traded volumes on top
19 11:09:49 of the gas that is later used increases
20 11:09:54 the total market size and
21 11:09:57 trading
22 11:09:57 forms. A separate market to wholesale supply. And
23 11:10:01 this is in line with EU decisional practice and is also
24 11:10:07 logical. And
25 11:10:10 Prof Hildebrand wrongly includes trading, but only if

01 11:10:14 there is not
02 11:10:16 very much trading. There is some arbitrary undefined
03 11:10:23 point at which trading
04 11:10:25 is not included. And as you can see from the
05 11:10:28 graph on the slide, this is totally
06 11:10:31 wrong. It cannot be right
07 11:10:35 because if so, as
08 11:10:38 trading increased in Croatia, Gazprom's market
09 11:10:42 share would be diluted down to near
10 11:10:47 zero and then trading suddenly becomes a different
11 11:10:51 market and its market share springs back up again.
12 11:10:55 And looking at it another way, this graphic shows that
13 11:11:02 somehow Gazprom's market share could be interrupted by
14 11:11:06 trading. If there is no trading, it's 100 per cent. And if
15 11:11:15 there is trading three trades, it would go down to
16 11:11:20 33 per cent. Now, Prof Hildebrand was unable to point
17 11:11:24 to any
18 11:11:26 authority for that, and it was not in any of her
19 11:11:30 reports. And Prof Hildebrand had agreed with
20 11:11:34 Dr Riechmann that gas trading is separate to the
21 11:11:39 wholesale gas
22 11:11:41 supply market, and it was even in the joint experts'
23 11:11:45 statement which you directed to be exchanged only one week
24 11:11:51 before the hearing. So this approach has all
25 11:11:54 the

01 11:11:54 signs of a party taking measures to bend reality. And its impact is, of
02 11:12:01 course, that it wrongly lowers Gazprom's market
03 11:12:04 share. And worse. When looking at Gazprom supplies
04 11:12:16 traded volumes that were included in the market size
05 11:12:22 and not
06 11:12:23 included in Gazprom's market share. Indirect supplies
07 11:12:27 of gas traded volumes are considered not part of
08 11:12:30 Gazprom's market share, and that's completely contrary
09 11:12:34 to the Gazprom decision and the gas decisions, where
10 11:12:39 indirect sales through intermediaries are to be
11 11:12:41 counted. And you just cannot do all of this. If
12 11:12:44 you did, you could never be found dominant.
13 11:12:47 Or you would need to do is just add an intermediary.
14 11:12:50 And the impact, of course, is that this wrongly lowers
15 11:12:55 Gazprom's market share even more. And it's also
16 11:13:00 strikingly inconsistent. And yet further worse for
17 11:13:09 Gazprom's market share. Prof Hildebrand also include
18 11:13:14 also avoids including Gazprom's direct supply.
19 11:13:19 Under
20 11:13:20 the contract. And this is despite accepting that imports
21 11:13:25 include both physical and commercial i
22 11:13:31 imports,
23 11:13:31 with the commercial term under the
24 11:13:34 contract being delivery in Croatia. And as things developed, you
25 11:13:38 heard of the new concept of swap

01 11:13:42 agreements that actually double swap the contracts

02 11:13:45 volumes. Prof Hildebrand makes an exception to her normal

03 11:13:52 principles for the swap agreements, and says

04 11:13:54 that you do not include commercial flows for them, and that's after

05 11:14:00 accepting that commercial

06 11:14:01 delivery of the gas was in Croatia. Now somehow it's

07 11:14:07 allocated back to Hungary due to the swap agreements,

08 11:14:10 and that clearly cannot be right. Dr Riechmann is

09 11:14:15 correct to fully take account of the

10 11:14:17 effect of the swap agreements and to allocate Gazprom

11 11:14:21 share to Croatia. That's because

12 11:14:23 commercially PPD

13 11:14:26 helped deliver the gas on Gazprom's behalf to Croatia,

14 11:14:29 and there is no reason to then take any other step. You should

15 11:14:34 not swap that gas back again.

16 11:14:37 And so the correct methodology is on the left

17 11:14:40 of this graphic, and the wrong one is on the

18 11:14:45 right.

19 11:14:45 It's a it's a manipulation of the data. If you reduce

20 11:14:49 the top and

21 11:14:50 increase the bottom, the market is smaller and

22 11:14:53 that lacks any credibility or support from authority. On

23 11:15:00 next, on product market, Dr Riechmann is right to say

24 11:15:03 that you should find LNG is left open, but this doesn't

25 11:15:08 matter. As I said before, if you get the sum

01 11:15:11 right above and note that the threshold was 5 per cent
02 11:15:15 or 10 per cent. And if you look at the 5 per cent
03 11:15:18 line, we put a little
04 11:15:21 arrow. There's lots of prices above
05 11:15:23 that. So that fails this SSNIP test. Sophisticated
06 11:15:28 players will not pay more to buy LNG unless it's
07 11:15:32 reliably cheaper over a long time. And
08 11:15:34 Mr Averkin also said that LNG was a bit different
09 11:15:38 product. He said. Next geographic market. This also
10 11:15:43 doesn't matter if you get your sum right. Earlier,
11 11:15:48 Prof Hildebrand spoke to
12 11:15:50 you about cultural differences and
13 11:15:53 branded
14 11:15:53 products like diet Pepsi, but
15 11:15:55 neither of these apply to gas. It's. It's
16 11:15:58 invisible. Gas doesn't vary across cultures. You
17 11:16:01 can't tell
18 11:16:03 Croatian gas from anyone else's gas. And
19 11:16:05 given that Gazprom was an unavoidable trading partner,
20 11:16:08 it's all Russian gas anyway. So what gas buyers want
21 11:16:13 they need is this gas to be readily available at the
22 11:16:17 best price. And on price. The price differences that
23 11:16:23 Prof Hildebrand alleges are absolutely astonishing to
24 11:16:28 anybody in the gas industry. It can't be found in any
25 11:16:31 evidence on the record, and if it was true, then everybody would be

01 11:16:35 buying gas in

02 11:16:36 Croatia, nobody would be buying gas in Hungary, and that was clearly not the case.
And so Dr Riechmann, when he

03 11:16:47 applied the market definition, noticed steps,

04 11:16:51 said that Gazprom said that the market was Croatia and

05 11:16:54 Hungary. And if he had gone further to add Slovenia,

06 11:16:58 which was totally possible, but conservatively was not

07 11:17:02 done, then Gazprom would be even more dominant.

08 11:17:07 Next,

09 11:17:07 from this position of dominance, Gazprom manipulated the

10 11:17:11 market in 2021 and 2022. Little was done to

11 11:17:17 challenge the world gas model. You don't have any

12 11:17:20 other model. They do exist. Gazprom likely has one

13 11:17:26 now. The WGM

14 11:17:28 is widely used. Gazprom's limited challenge to it as

15 11:17:32 a model misunderstood its purpose. It was not being

16 11:17:37 used as a predictive model, and the results were that prices

17 11:17:41 were 43 per cent higher than

18 11:17:42 they would have been. That's a decisive result. And

19 11:17:47 you also heard from Dr Riechmann that TTF price can be

20 11:17:50 manipulated, and

21 11:17:52 that Gazprom had both the ability and

22 11:17:55 the incentive to do so. And you heard that the

23 11:17:58 perfect storm ended around the beginning of quarter

24 11:18:03 421. Numerous

25 11:18:04 independent sources help you

01 11:18:06 with that end date, but it doesn't matter when the end
02 11:18:09 date is. Remember that everything can happen at the
03 11:18:12 same time. That's the whole point. If the market is
04 11:18:18 tight and in that state, Gazprom cut supplies even
05 11:18:22 more, then that will lead to the price increase. And
06 11:18:26 when TTF went up, Dr Riechmann showed us that prices
07 11:18:30 in Croatia and Hungary went up the price in the
08 11:18:34 relevant market is linked both by the fact that when
09 11:18:38 TTF prices rose, other
10 11:18:40 prices rose.
11 11:18:42 And because TTF is in the contract and that hit
12 11:18:47 PPD in
13 11:18:48 the relevant market and the huge price increase
14 11:18:53 dwarfed the price reduction that Gazprom gave in the
15 11:18:57 price review. And that was a breach of article 102. Gazprom barely challenged
16 11:19:07 that it
17 11:19:07 that it imposed unfair selling
18 11:19:10 prices or imposed unfair trading terms. The
19 11:19:17 price is it's its production price was less than
20 11:19:22 15 euros and prices reached 150 euros without any
21 11:19:26 evidence that its costs rose. An unfair trading terms were
22 11:19:34 imposed as Gazprom's withholding and reduction of gas to
23 11:19:38 the EU met the test. In apple streaming all
24 11:19:42 are met. In particular, Gazprom's 1st April letter
25 11:19:47 was unfavourable and detrimental. Obviously, it

01 11:19:50 didn't have any objective economic justification. Next REMIT dominance is not
02 11:19:57 required for REMIT. Gazprom withheld available gas, sending
03 11:20:04 signals of a false and misleading scarcity as to supply and demand, and
04 11:20:11 met the other tests for a breach of REMIT. And
05 11:20:15 so, moving on to the governing law and the
06 11:20:19 consequences of the standard of proof for causation,
07 11:20:24 the parties selected the governing law for tort claims
08 11:20:28 in article 14. They expressly selected Austrian law
09 11:20:33 as a substantive law, and that choice is applied
10 11:20:38 directly rather than through Austrian
11 11:20:41 conflict
12 11:20:41 rules. Rome II does not apply to arbitration, and
13 11:20:45 it's not public policy. In opening, we showed you
14 11:20:49 what bourne said,
15 11:20:50 confirming that and Prof Kalla explained
16 11:20:54 to you that the principle of effectiveness under EU
17 11:20:59 law means that Rome II, which Gazprom is trying to use
18 11:21:04 to obtain a higher standard of proof on PPD in order
19 11:21:11 to evade liability, can't be used in that way, because
20 11:21:15 doing that would use Rome II to hinder enforcement.
21 11:21:19 And it was designed to prevent the invasion of
22 11:21:22 enforcement. And Prof Klicka provided no
23 11:21:27 opinion rebutting PPD's position on Austrian governing
24 11:21:31 law itself. And so there is only a prima facie duty
25 11:21:37 to establish causation on PPD, and then the burden to

01 11:21:41 show that it was not the cause is passed to Gazprom, and
02 11:21:45 that is relevant when you evaluate the link between
03 11:21:50 the manipulated TTF price and PPD's losses. So
04 11:21:57 if in doubt, as long as this is just shown on a
05 11:22:03 prima facie basis by PPD, the claim succeed as
06 11:22:07 Gazprom
07 11:22:08 has not rebutted causation. Moving on to quantum. PPD
08 11:22:22 has
09 11:22:22 shown that Gazprom was in breach of the contract and
10 11:22:25 as to PPD's remedies, the burden of proof under article 74 is
11 11:22:30 reasonable certainty. Mr Gilbey
12 11:22:33 and his team have visited PPD's offices on several
13 11:22:38 occasions. They've spent weeks with PPD, and
14 11:22:41 during that time they got to understand PPD's data systems. They were able
15 11:22:47 to talk with PPD's employees and
16 11:22:51 make all the enquiries that they wished about matters
17 11:22:55 relevant to their task. And you heard
18 11:22:58 Mr Gilbey explain during his evidence that
19 11:23:00 he has checked every line item in the dataset
20 11:23:06 to an
21 11:23:06 underlying document. And in addition, when he could
22 11:23:11 do, he drew a straight line from the dataset through to
23 11:23:18 PPD's independently audited financial statements. Mr Gilbey refers to this
24 11:23:23 as the gold standard, and by contrast, Mr Dev has not seen a single document
25 11:23:32 in this arbitration. Next, under the contract,

01 11:23:39 PPD had flexibility to nominate on a
02 11:23:44 daily basis between what is known as the min DCQ
03 11:23:50 and the DCQ. Mr dev confirmed that yesterday,
04 11:23:56 so PPD paid a premium for that flexibility. Mr Way explained during cross that if
PPD had
05 11:24:07 negotiated a flat contract with Gazprom, the same
06 11:24:10 amount of gas every day, the contract price would have
07 11:24:15 been cheaper. And that's
08 11:24:17 because PPD would have had to pay to store the
09 11:24:21 gas which it had taken, but not used under the contract.
10 11:24:30 So flexibility had to have a
11 11:24:34 value to PPD. Mr Nefediev explained to you that this
12 11:24:41 flexibility was actually gold PPD, and it was gold because it gave PPD
13 11:24:50 maximum flexibility as a gas trader, because if
14 11:24:55 the gas on the exchanges was lower than the contract
15 11:24:58 price, it could reduce nominations under the contract and
16 11:25:03 buy more on the exchanges. And if the
17 11:25:06 contract
18 11:25:06 price was lower, it could max, it could do the
19 11:25:10 opposite. So it's not PPD replacing the contract, it's the
20 11:25:19 buyer using the flexibility under the contract to
21 11:25:24 maximise profit from trading operations. And that is
22 11:25:27 entirely rational commercial behaviour and to account
23 11:25:32 for that benefit given to PPD in
24 11:25:34 the contract, you base PPD's losses on what's called
25 11:25:39 the a, c, q and next, another aspect of commodities

01 11:25:49 trading that was highlighted during the hearing was
02 11:25:51 the
03 11:25:52 fact that PPD has
04 11:25:55 a portfolio of gas customers and a trading
05 11:26:00 portfolio. The gas it purchased was used to supply
06 11:26:05 both its customers and to trade for profit. So
07 11:26:09 looking at PPD's gas portfolio as a whole, you
08 11:26:16 would find parallel trades in addition to replacement
09 11:26:21 gas. So in order to account for the fact that PPD has
10 11:26:28 such trading operations, Mr Way excludes transactions
11 11:26:34 on which PPD made a profit from the cost dataset, and that's
12 11:26:41 consistent with rational behaviour. The idea
13 11:26:46 that a commodities trader would only trade for profit,
14 11:26:52 Mr Way says. That's industry standard. And in
15 11:26:55 closing, we will set out some other cases where
16 11:27:00 tribunals have endorsed this approach. Most recently,
17 11:27:04 the tribunal in the case between Galen in next door
18 11:27:09 Slovenia and Gazprom. And so next related party
19 11:27:14 transactions and PPD's position, as you heard
20 11:27:17 yesterday, is that these should be excluded, and
21 11:27:22 that's because they may not have been performed
22 11:27:26 at
23 11:27:26 arm's length. So there would be a distortion of the
24 11:27:31 claim quantum. And I, I stress that
25 11:27:36 as counsel in gas cases, normally you try

01 11:27:40 very hard to prove that you have fully excluded costs
02 11:27:46 that are not incurred by the claimant life destroying
03 11:27:51 amounts of time are spent
04 11:27:56 trying to make that so. And Fidem suggests that the
05 11:28:01 gas purchase costs of the entire PPD Group,
06 11:28:05 which is seven entities based on its
07 11:28:09 definition, should be consolidated, and that will
08 11:28:12 give you the true costs of PPD. Now let's assume that PPD purchased three of
09 11:28:21 Mr AvaDavies tomatoes. From a related party.
10 11:28:27 Mr Nevada says it's necessary to check if those costs
11 11:28:30 were added when gas is sold to PPD by a related party.
12 11:28:35 But when he was asked how he proposed to identify the
13 11:28:41 relevant contract between PPD's related party and
14 11:28:44 the seller on the left or sellers, he said
15 11:28:48 it was not possible to do so and he was pressed on. This counsel asked.
16 11:28:52 The tribunal asked and that was wise because
17 11:28:56 we need to know where was all this noise going?
18 11:29:00 And Mr Nevado gave no solution. So instead
19 11:29:05 of
20 11:29:06 simply eliminating the three tomatoes, which
21 11:29:10 PPD says,
22 11:29:11 he suggests that you should take into account all
23 11:29:16 tomatoes purchased by all the related parties from
24 11:29:18 everyone, even though most of them were never sold to
25 11:29:23 PPD. And the only thing that

01 11:29:25 would achieve is causing substantial amounts of
02 11:29:28 irrelevant data. Next, the GTA there's a dispute
03 11:29:33 whether they can be recovered under the contract, and Prof caller assisted with this.
04 11:29:41 And. But there is a. The way
05 11:29:44 Prof Cole explained it on day 6 was that the damages
06 11:29:47 arise not because of breach of the gas
07 11:29:47 transportation
08 11:29:48 agreement, but because of breach of the contract. And
09 11:29:51 he explained this using an example of a timber
10 11:29:55 seller and a furniture producer.
11 11:29:59 So
12 11:29:59 that's the top illustration. Looking at the top
13 11:30:02 one.
14 11:30:03 First, the blue arrows show what was supplied.
15 11:30:06 Contractually, the red cross is the breach and the red
16 11:30:10 lines are the claims. Red dotted lines are the losses. So if the timber seller failed to
17 11:30:18 supply
18 11:30:18 timber to the furniture
19 11:30:20 producer under the timber sales agreement, the
20 11:30:24 furniture producer can't make the furniture and can't
21 11:30:28 sell it to the retailer. So it's clear that you have
22 11:30:32 no right to make a claim against the retailer. Under the
23 11:30:37 furniture sales agreement, of
24 11:30:39 course. Instead, the loss of sales under the
25 11:30:42 furniture sales agreement, that's the red dotted
26 11:30:45 line at the top there recovered under the
27 11:30:48 timber sales agreement. Now, if the timber seller and

01 11:30:52 the retailer are one and the same, the principle is still the same. And that's the
bottom

02 11:30:57 picture. The failure to supply timber

03 11:31:00 results in the loss of the furniture seller, and such

04 11:31:04 loss can be recovered under the timber sales

05 11:31:09 agreement. Next. These losses were also foreseeable

06 11:31:14 because the contract was amended after the date of

07 11:31:20 knowledge that there was no

08 11:31:25 physical transportation.

09 11:31:26 So those are my submissions on the claim and I will

10 11:31:29 come to the quantum of the counterclaim. So according to

11 11:31:35 Gazprom, it's a lost volume seller because it has

12 11:31:39 supply capacities that on a commercial sale, can be treated as unlimited.

13 11:31:44 During her testimony yesterday, miss

14 11:31:48 Mitnik confirmed that the

15 11:31:49 ability to supply gas is subject to the availability of pipeline capacity, and

16 11:31:55 she also confirmed that as at today, K2 is the

17 11:32:00 bottleneck for gas sales to

18 11:32:02 Hungary. And since, as we've seen from the graph on the screen,

19 11:32:08 Gazprom cannot further

20 11:32:09 increase its sales to Europe through K2. And that's

21 11:32:14 even if it did have willing buyers. So there is it is

22 11:32:18 clear that Gazprom is not a lost volume seller. I

23 11:32:21 have about two minutes, if I may continue. I think

24 11:32:25 I'm on my time. Please to assess damages. Therefore,

25 11:32:31 in the absence of being a lost volume seller, you need

01 11:32:34 to mitigate. So you need to know you
02 11:32:37 need to know if there have
03 11:32:39 been any replacement sales. Ms Maydanik confirmed
04 11:32:43 yesterday that she has not reviewed any of Gazprom's
05 11:32:48 contracts, which used K2. Ms Maydanik had no basis, therefore, to claim that the
06 11:33:01 available capacity at K2
07 11:33:04 was being used to mitigate
08 11:33:08 other losses. And it's also as well as sales
09 11:33:08 volumes
10 11:33:08 necessary to look at costs when assessing Gazprom's
11 11:33:12 damages. And here Ms Maydanik confirmed that she has not reviewed
12 11:33:18 and did not even request any cost data from Gazprom
13 11:33:23 itself.
14 11:33:27 And then Gazprom's experts
15 11:33:31 approach is entirely
16 11:33:33 contradictory. Over days
17 11:33:34 eight and nine of the hearing, you heard Mr never pick apart the process undertaken
18 11:33:44 by Mr Gilbey. He said that certain essential steps
19 11:33:49 were
20 11:33:49 omitted. But when you heard Mr Nefediev and
21 11:33:53 Ms Maydanik in cross-examination, they confirmed to you
22 11:33:58 that they they did not apply any of those steps
23 11:34:02 to
24 11:34:02 data handled by them. They didn't know what the ETRM
25 11:34:06 system was at Gazprom.
26 11:34:08 They didn't review its individual financial

01 11:34:11 statements. And we've just placed the two most striking
02 11:34:19 contrasts on screen. But in conclusion, it's
03 11:34:22 clear that PPD has taken a much more robust approach than Gazprom to
04 11:34:28 quantifying its damages and and and Gazprom's experts. Referred to
05 11:34:36 garbage in, garbage out. We strongly reject that.
06 11:34:41 But the standard which Gazprom has tried to hold PPD to
07 11:34:46 cannot be taken seriously in light of Gazprom's complete failure to apply any of
08 11:34:53 these when quantifying its
09 11:34:56 counterclaim so plainly, what PPD
10 11:34:59 has done is infinitely better
11 11:35:02 than taking the approach of nothing in, nothing
12 11:35:07 out. PPD respectfully
13 11:35:14 maintains its application for the split
14 11:35:16 award, which. To maintain the timetable, we
15 11:35:20 could discuss during questions. Or could be resolved in
16 11:35:27 approximately a minute further.
17 11:35:32 PRESIDENT: I would suggest we stop here and discuss a
18 11:35:39 split award application, which is a matter of
19 11:35:43 procedure later on today, in the tribunal's question
20 11:35:48 time reserved. When we hold a case management
21 11:35:50 conference. Thank you very much. We will now take a 20 minute break. You have
22 11:35:58 used
23 11:36:01 claimant an hour and 33 minutes in
24 11:36:05 my counting, so the same duration will be granted to
25 11:36:10 the will be allowed for the respondent and we will
resume at. 55, 55, 1155. Okay. No. 1155.

01 12:01:32 PRESIDENT: Have you seen this already?

02 12:01:34 MR HOLLAND: If counsel is ready, we will hear. Now the

03 12:01:36 respondent's closing submissions.

04 12:01:38 MS SOLDATENKOVA: Thank you. Thank you. The members of

05 12:01:41 the tribunal. We have had two weeks of lengthy

06 12:01:44 discussions overloaded with various evidence.

07 12:01:49 However, this should not derail the tribunal from the

08 12:01:53 very simple core of the case, which I keep reiterating. Gas for two months has been

09 12:02:00 taken,

10 12:02:02 consumed and never paid for by PPD, full stop. And it

11 12:02:07 is GPE actually that ultimately never received the

12 12:02:12 debt recovery until today. It is GPE who suffered not

13 12:02:17 PPD PPD managed to secure alternative supplies, take

14 12:02:22 two months of gas, sit on it until today for more than

15 12:02:28 three years. So this is the situation we are in and

16 12:02:31 we should be mindful of that. As we have now seen on the four April 2022,

17 12:02:42 PPD without a single question, a

18 12:02:45 single request, a single proposal or

19 12:02:50 demand for

20 12:02:51 clarification and within one business day agrees to introduce changes to

21 12:02:57 the contract to keep reselling the Russian gas. That

22 12:03:01 is also the fact. What was the

23 12:03:05 rush in answering? There is no explanation provided.

24 12:03:10 We only heard about some threats of some cutting off

25 12:03:14 the gas. This mantra of gas being cutting off has

01 12:03:19 been repeated
02 12:03:20 numerous times, but it is totally misleading. There
03 12:03:25 was no imminent threat and there were two months to
04 12:03:29 reply. As said both in the letter and according to
05 12:03:33 the timeline of the payments that the
06 12:03:36 parties have agreed upon. Gas would not be cut off
07 12:03:42 unless the buyer fails to pay. Notice that the very
08 12:03:48 same right to cease supplies
09 12:03:50 is available to the respondent in case of nonpayment
10 12:03:53 under the contract itself. So nothing dramatically
11 12:03:57 different. However, the gas was not cut off if the
12 12:04:03 buyer duly paid what happened several times during the
13 12:04:06 relevant period. As we have seen. What is also
14 12:04:11 important? Just one day before the
15 12:04:13 1st of April, on the 31 March 2026, Ms Ivancic,
16 12:04:20 Ms Measic and Mr Barash have both said the parties have agreed
17 12:04:26 to
18 12:04:26 defer April supplies a day before the event. A lot of
19 12:04:31 informal communication. Both parties characterise
20 12:04:34 these communications as professional and friendly.
21 12:04:37 And then unexpectedly, overnight, everything changes
22 12:04:42 and both Mr Pavao Vujnovac, who has perfect personal
23 12:04:46 relations with the top management of Gazprom
24 12:04:49 Export
25 12:04:49 and Ms Ivancic, who has a very good working

01	12:04:52	relationship with Mr Barash. Become paralyzed
02	12:04:57	with
03	12:04:59	horror and do not even dare to raise a question. Do
04	12:05:03	not even dare to ask what happened? What is the
05	12:05:06	content of the decree and how it is to operate? That is how the story by PPD sounds. Do you recall
06	12:05:16	that Mr Vujnovac said in response to the
07	12:05:18	reasonable question, why did you never reach anyone at
08	12:05:22	Gazprom Export if you had any concerns?
09	12:05:25	Would you expect me to call anyone who threatens to
10	12:05:28	kill you? That was the answer. Well, members of the
11	12:05:32	tribunal, you have now seen the facts. Such
12	12:05:36	letters
13	12:05:36	were. Such letters, like the letter of the 1st of
14	12:05:38	April, were sent and received by dozens of European
15	12:05:42	counterparties, about a dozen of long-term contracts, and also a big number of short-term
16	12:05:49	contracts, so-called fit contracts. And this was a relatively routine issue indeed, and indeed
17	12:05:54	it was a notification. It
18	12:05:56	is not debated. Some counters, some
19	12:06:00	counterparties accepted it, others refused. Others
20	12:06:04	did not sign but paid under the mechanism.
21	12:06:07	Some
22	12:06:07	requests, contractual amendments. Amendments to adapt
23	12:06:12	to the modified rules. Extend the maturity date, give
24	12:06:16	a discount whatever else, it is only the PPD that
25	12:06:23	signs and then afterwards, when it becomes convenient,

01 12:06:26 it tries to recall the signature. The PPD. The
02 12:06:32 PPD's
03 12:06:32 case is inconceivable. A company having the best
04 12:06:36 possible means to communicate concerns and to be heard, as
05 12:06:39 compared to most of the other European
06 12:06:42 buyers having agreed to the deferral of the supplies just a day before is
07 12:06:48 so paralysed with fear of some future potential cut off of gas in no
08 12:06:54 less
09 12:06:54 than two months, that it does not even approach the
10 12:06:58 respondent for any clarifications informal
11 12:07:02 communications continue all clarifications received by
12 12:07:06 Ms Ivancic and they even sent GPE the contact details of
13 12:07:11 people that will be responsible for opening "K"
14 12:07:13 type accounts. And there is never anything to signal
15 12:07:18 the concern of PPD to Gazprom Export, and I emphasise
16 12:07:25 absolutely nothing that is contemporaneous. The offer
17 12:07:30 is accepted, countersigned
18 12:07:32 without any reservations.
19 12:07:34 Now, if we go back to 2022,
20 12:07:38 we understand the context
21 12:07:41 following the events in n February 2022, we all
22 12:07:44 understand there was indeed a period of
23 12:07:48 turbulence, and all market participants did not have clarity as to what happens
24 12:07:52 next. That applies to both
25 12:07:54 parties in the dispute, and we all understand that.

01 12:07:58 Mr Vujnovac,
02 12:07:59 who would have reasonable concerns as a businessman
03 12:08:02 and worry about the future
04 12:08:04 as generally there was indeed no clarity as
05 12:08:06 to what may happen. Will gas supplies be intermitted
06 12:08:10 because of the military operations? Will there be a
07 12:08:14 prohibition on the site of the European Commission?
08 12:08:18 Indeed, all those issues were not clear to all parties
09 12:08:22 and this is all understood and this is all very
10 12:08:24 reasonable. And Mr Vujnovac also explained in his testimony his
11 12:08:31 reasoning politically, it was
12 12:08:32 preferable for him to depart from the Russian gas supplies. And this is also
13 12:08:37 potentially understandable. It is a perfectly
14 12:08:42 understandable rationale of a businessman, and
15 12:08:44 this is
16 12:08:45 what we have started up. I mean, this is what was
17 12:08:53 reasonable to expect from a person in a way, in a period of turbulence. However, the
actions because of
18 12:09:04 this, concerns by Mr Vujnovac started long before the 1st of April.
19 12:09:08 They started in March. In March, prior to any
20 12:09:13 letters, any payment mechanisms, anything. They already
21 12:09:18 book
22 12:09:18 capacities at the Krk LNG terminal to replace GPE in
23 12:09:23 future. Before I go to the substance, I am compelled
24 12:09:29 to say that I'm very sad to have witnessed such cherry
25 12:09:33 picking and obvious manipulation with the statements

01 12:09:35 made by the witnesses and experts, as well as
02 12:09:38 contradictions to the record that have been just made
03 12:09:43 by my learned colleagues on the side of the claimant's
04 12:09:46 counsel. I've never seen this level of manipulation
05 12:09:49 in my whole professional career, to be honest, and I
06 12:09:52 am therefore compelled to ask the
07 12:09:54 tribunal pay particular attention
08 12:09:55 to the analysis of the statements
09 12:09:57 by PPD made in this very presentation, in sense of
10 12:10:01 their accuracy. I'm also puzzled to hear the
11 12:10:05 repeated
12 12:10:05 reference to the Uniper case, given that Uniper did
13 12:10:09 accept the payment mechanism and made payments under
14 12:10:12 the Decree 172. Contrary to what Mr Hoglander claims.
15 12:10:18 For instance, Prof Klicka is not only fully aware of
16 12:10:20 the letter of the 26th of May, 2026, 2022.
17 12:10:27 Prof Klicka, in paragraph 49 of hclca1, specifically
18 12:10:30 addresses it. And he also specifically explained that
19 12:10:36 it could not be deemed the so-called payment under
20 12:10:40 protest. The opinions of advocate
21 12:10:44 general are now
22 12:10:45 labelled as decisions for whatever reason, and there
23 12:10:49 are so many other examples of such statements
24 12:10:51 that
25 12:10:51 they are self speaking. And I think I already

01 12:10:57 explained my request in that context. So what is the
02 12:11:02 dispute in the nutshell that we are witnessing here?
03 12:11:07 Next slide, please. The party's long-term contractual
04 12:11:12 relationship was affected by the decree and
05 12:11:17 required
06 12:11:17 adjustment. That is true. And we have also now, I think,
07 12:11:22 established several important facts. This decree
08 12:11:27 is a law and the respondent
09 12:11:30 indeed
10 12:11:31 had no chance to change it or negotiated. That's the fact. And indeed the
11 12:11:37 respondent, as a Russian legal entity,
12 12:11:40 also had no chance to avoid it or to circumvent it. The
13 12:11:45 decree, as also confirmed by the experts of the claimant,
14 12:11:51 was
15 12:11:51 clearly contrary to the interests of GPE
16 12:11:55 itself. There was no commercial rationale GPE could be achieving through this
17 12:12:04 decree. It was
18 12:12:04 contrary to
19 12:12:04 the interest of GPE. Then PPD creates an impression
20 12:12:11 that it supported the adjustment for the sake of the
21 12:12:15 contract.
22 12:12:17 While earlier it already started secretly looking to replace GPE for political
23 12:12:23 expediency. This is even admitted, though in
24 12:12:27 reality all this
25 12:12:28 started
26 12:12:28 in March, as I said, and

01 12:12:30 Ms Ivancic confirms that we only start the analysis.

02 12:12:36 According to PPD from April events, that is

03 12:12:40 not entirely how the

04 12:12:41 case should be looked at once. PPD manages to do all

05 12:12:47 the replacement that they wanted. It walks away from

06 12:12:50 the contract, having taken two months of fees for gas.

07 12:12:55 And now, even more importantly, what we have found out during this two

08 12:12:59 weeks PPD was trying also to shift the

09 12:13:03 non. Taken April supplies to October. Why? So to

10 12:13:08 have the 3rd month supplied and never paid for. Very

11 12:13:13 impressive. And ultimately after that PPD never

12 12:13:19 gets back to any table of discussions, even when GPE

13 12:13:24 proposes the payment to be made to a euro account,

14 12:13:27 which my learned colleagues claimed to be so safe and

15 12:13:31 transparent that again never happened. As said, one can understand the

16 12:13:37 political environment, one can

17 12:13:39 understand the business rationale of the departure

18 12:13:42 from the Russian gas. However, that could not

19 12:13:46 be done the way it was done. It could be done in

20 12:13:49 accordance with the normal business practice and in

21 12:13:51 accordance with the contractual terms and the

22 12:13:54 applicable law. You can't terminate a contract. But PPD does not want to settle

23 12:14:01 and does not want to agree

24 12:14:02 on termination. The plan is to make most out of GPE and

25 12:14:07 then abandon the

01 12:14:08 relationship with the partner. This is not how things
02 12:14:11 are to be done, and I believe that in that sense. My
03 12:14:16 complaint that GPE suffered is
04 12:14:20 absolutely valid. Why would not PPD want this method
05 12:14:28 of termination to be utilised? Because it
06 12:14:31 will necessarily imply contractual penalties, and it will imply the need to return to to
07 12:14:38 return the payment due for the two months
08 12:14:41 of gas. Supplied. But these two months of gas supplied
09 12:14:45 payment is needed to buy LNG and they simply don't have
10 12:14:51 funds that are available for that. Everything
11 12:14:55 that followed the letters of December and February 2023 avoidance set
12 12:15:01 off claim for contractual damages.
13 12:15:04 Supplemental
14 12:15:05 claim the Anti-suit injunction, the application to the
15 12:15:08 Court of Justice of the European Union. All that has
16 12:15:11 just one purpose to invent a reason or better set an excuse to keep the monies owed to
GPE in the
17 12:15:20 pockets of PPD. To do this, PPD had and
18 12:15:33 did bring a case. And during the case, PPD effectively changed
19 12:15:41 its stance several times and PPD is
20 12:15:46 really caught in. Fraught with inconsistencies and
21 12:15:50 self-contradictions. There are several examples on
22 12:15:53 the slide to begin with. On
23 12:15:56 the 1st of April you have the letter signed, you have k
24 12:15:59 accounts open, but you have no concerns raised and
25 12:16:02 you

01 12:16:03 see payments being made. What could be the reasonable
02 12:16:05 expectation of GPE if there were no questions? If
03 12:16:09 they continue to nominate and if they are still in pretty
04 12:16:15 friendly relationship. Prior to
05 12:16:18 the letter of the 23rd December 2022, PPD never made
06 12:16:24 and there is no contemporaneous evidence on record.
07 12:16:27 Never made any references to duress, EU sanctions.
08 12:16:32 There was not even any legal opinion that was
09 12:16:36 requested by PPD to assess the applicability of
10 12:16:39 sanctions, as has been confirmed by Ms Ivancic. Then the new stand taken in
11 12:16:50 the course of these proceedings
12 12:16:53 is that the Central Bank of Russia. Clarification of
13 12:16:57 the 29th of April, which
14 12:16:59 clearly confirms shifting any
15 12:17:01 possible contractual risk from PPD and clearly is to
16 12:17:06 their benefit because it says that payment to the euro
17 12:17:09 account is the performance has been in fact, accepted.
18 12:17:13 I will show you that in one of the further
19 12:17:16 slides, because in the letter of
20 12:17:19 the 26th of May, which PPD labels as payment under
21 12:17:22 protest, they clearly say that they consider their
22 12:17:25 obligation fulfilled once the funds are transferred to
23 12:17:28 the euro account. That's exactly what the letter of
24 12:17:31 the 5th of May said. So even if you say that for
25 12:17:35 whatever reason, what is contested the 1st of April

01 12:17:40 letter and the 1st of April modification is not to be binding
02 12:17:45 on PPD. What would you do with this exchange
03 12:17:48 of letters then? The competition law issues and
04 12:17:54 the
05 12:17:55 REMIT issues regarding TTF at all arise solely after the counterclaim is filed
06 12:18:02 for the offset and contemporaneous statements by
07 12:18:06 Mr Vujnovac give all
08 12:18:09 other reasons for price fluctuations and emphasise
09 12:18:13 independence from the Russian gas. That is contemporaneous evidence.
10 12:18:19 Then,
11 12:18:20 with respect to some of the matters already mentioned, the relevant market
definition in the
12 12:18:27 request for
13 12:18:28 arbitration, the relevant market for antitrust
14 12:18:30 purposes was determined as Croatia only. While in the
15 12:18:33 statement of the claim, already. Croatia and Hungary.
16 12:18:39 Authorize revision in 2000 and
17 12:18:41 21, LNG is labelled by PPD as the reason
18 12:18:46 for
19 12:18:46 the so-called replacement transactions. LNG purchases
20 12:18:52 are included, but when it comes to the assessment of
21 12:18:55 the products for the antitrust purposes, LNG turns out
22 12:18:59 to be a totally different product. I don't
23 12:19:04 need to mention
24 12:19:07 endless amendments and revisions of witness statements
25 12:19:10 by next to every witness or expert that was

01 12:19:14 brought to these hearings by the claimant. Incorrect

02 12:19:18 statements are identified by the respondent corrections

03 12:19:23 amendments, addenda, errata, however you call it,

04 12:19:28 all

05 12:19:29 that was going on in rows and then strategically, all

06 12:19:34 that is to be filed so that GPE would not have

07 12:19:38 procedural chances to respond. Now, with respect to one more interesting

08 12:19:46 aspect of this dispute that I wanted to draw your

09 12:19:50 attention to, PPD is quite inventive, because they really demand from the tribunal to be a

10 12:19:57 pioneer in a

11 12:19:58 lot of things. So members of the tribunal, you are

12 12:20:04 invited to be the 1st in history of the legal science

13 12:20:10 and practice to do a lot of stuff that has never

14 12:20:14 been

15 12:20:14 seen in practice and heard of in the doctrine resolving a REMIT claim in

16 12:20:19 arbitration, for instance, in circumvention of

17 12:20:23 the

18 12:20:23 national regulatory authorities accusing respondent of breaches of article 11024 and REMIT in essence, in essence, of any decision by the commission or by the

19 12:20:38 national

20 12:20:38 regulatory authority defining the relevant

21 12:20:42 geographical market as

22 12:20:43 exceeding

23 12:20:43 the borders of one country prior to the commission

24 12:20:46 having ever made any conclusive assessment of this

25 12:20:50 kind in validating a commercial contract between a

01 12:20:53 legal entity and the other legal entity for duress
02 12:20:57 under the Austrian law, ahead of the Austrian Supreme
03 12:21:01 Court. And contrary to its rulings, you are invited
04 12:21:06 to extend the scope of the application of article 10
05 12:21:09 of the regulation two, six, nine and article 11
06 12:21:12 of the
07 12:21:13 regulation 83, three beyond their limits and without relying on
08 12:21:18 any Court of Justice rulings, you are
09 12:21:22 invited to invoke the principle of effectiveness under
10 12:21:25 the EU law in order to bypass applicable national law.
11 12:21:33 You are invited to. Determine
12 12:21:37 the payment mechanism
13 12:21:38 to be contrary to the sanctions. Without the decision
14 12:21:41 of the competent EU sanctions authorities. To that
15 12:21:45 extent and despite the contrary policy objectives that the EU was
16 12:21:49 pursuing, so that to keep supplies, you are also
17 12:21:54 invited to declare that article 6 of Rome II
18 12:21:56 regulation is not falling within the scope of
19 12:21:59 the EU
20 12:22:00 public policy. So I believe it's a pretty hard burden
21 12:22:05 to satisfy the demands of PPD in sense of pioneering
22 12:22:12 the. Legal
23 12:22:14 practice. There has been a number of witness
24 12:22:22 statements that really
25 12:22:25 demonstrate that there has been a lot of

01 12:22:29 orchestration in the testimony, and it is also be taken into account. You would recall
02 12:22:35 that
03 12:22:36 there was a an important letter of 31st of October 2022. It is r0108. That is
04 12:22:46 the letter from
05 12:22:47 PPD to g p. Explaining that all previous type "K"
06 12:22:53 special account payments were
07 12:22:55 approved by Croatian Ministry of Foreign and European
08 12:22:58 affairs and due to the recent developments in
09 12:23:01 Croatian
10 12:23:01 politics, there is a lack of political and public
11 12:23:03 support towards further cooperation between GPE and PPD
12 12:23:08 due to political views of the Croatian political
13 12:23:11 establishment. We are not in a position to
14 12:23:12 fulfil our payment obligation now. And then we hear
15 12:23:18 Mr Vojnovic, when confronted with this document
16 12:23:21 requested to explain what is this approval? Because
17 12:23:25 we really believe there was a kind of approval of
18 12:23:29 this
19 12:23:29 kind, he says. When I say it was approved by the ministry, I mean the banks.
20 12:23:36 would
21 12:23:36 you mean the banks saying Croatian Ministry of Foreign
22 12:23:40 and European affairs. And then Ms Ivancic, when
23 12:23:44 confronted with the same question and I emphasise
24 12:23:47
25 12:23:47 Ms Ivancic was not present here when Mr Pavao Vujnovac

01 12:23:50 was giving his testimony. She says the very same
02 12:23:52 thing. We didn't ask for any approval. That was for
03 12:23:57 the banks. They were afraid. That could not be any
04 12:24:03 reasonable
05 12:24:04 conclusion, having read this document, but for an
06 12:24:07 orchestrated testimony. The other
07 12:24:11 example. It
08 12:24:13 has been decided that it is beneficial for Mr Vojnovic
09 12:24:19 and Ms Measic to be saying that PPD is a small, tiny entity
10 12:24:25 suffering from the giant, terrible GPE
11 12:24:30 and
12 12:24:30 however, they keep saying that. But you have seen the scale of the
13 12:24:34 company's operation, you have seen its
14 12:24:36 financial performance, and you now understand how far this is
15 12:24:40 from reality.
16 12:24:43 The narrative, convenient to PPD in this arbitration,
17 12:24:46 is also to portray GPE as unavoidable partner who is
18 12:24:51 dominating, abusing the poor small counterparty as
19 12:24:54 long as it serves the purposes here, however, in his
20 12:25:01 own contemporaneous interview, Mr Vojnovic claims that GPE
21 12:25:05 is responsible for only 20 per cent of the
22 12:25:07 quantities purchased by PPD. All of these
23 12:25:11 statements on the slide cannot be
24 12:25:15 true simultaneously, to put it mildly. You have also
25 12:25:19 heard a lot about the anime language and the

01 12:25:23 influence

02 12:25:24 of politics, and we have also heard of the trauma of

03 12:25:30 2009 gas supply cessation. And I suppose Mr Mazilov,

04 12:25:33 in his testimony, has perfectly explained the reasons

05 12:25:37 behind that historic crisis in

06 12:25:40 2009 and that it had completely nothing

07 12:25:41 to

08 12:25:42 do with GPE. But importantly, there is nothing to do

09 12:25:47 with politics in this very dispute. This is a commercial dispute. However, given that

10 12:25:53 there is no chance for PPD to win this case

11 12:25:55 as a commercial case, all of these public issues

12 12:25:59 start

13 12:25:59 arising. And are being put in the mouth of the

14 12:26:04 witnesses. The same orchestration is with respect

15 12:26:08 to

16 12:26:08 the allegations of the gas cut off. As said, there

17 12:26:12 was no risk of gas cut off in the coming two months and there was ample time to

18 12:26:20 discuss

19 12:26:21 and understand both the content of the payment

20 12:26:23 mechanism and the risks related to it.

21 12:26:27 Ultimately,

22 12:26:29 PPD has six chapters of reasons why not to

23 12:26:34 pay back. They claim that there were numerous changes

24 12:26:37 to the payment mechanism, and all of them

25 12:26:40 clearly onerous for PPD, and none of them as if

01 12:26:43 ever accepted.

02 12:26:44 They also claim that PPD was subject

03 12:26:46 to duress because GPE is a Russian State and nothing

04 12:26:49 more, and the decree

05 12:26:51 was not prepared by the

06 12:26:54 government, but was self-induced used to pressure GPE

07 12:26:57 counterparties and hence no force

08 12:27:01 majeure could apply.

09 12:27:03 Then they claim that PPD feared the EU sanctions.

10 12:27:07 There is also a claim that PPD was under pressure of

11 12:27:11 the GPE's market manipulation and abuse of

12 12:27:15 dominance,

13 12:27:16 and there is also a claim that there was a suspension

14 12:27:19 of supplies that was unlawful and

15 12:27:21 unexpected. So PPD has claimed for

16 12:27:25 damages, which it sets off with the undisputed.

17 12:27:31 Gazprom Export claim. As for those

18 12:27:37 changes, I think we have spent a lot of time in

19 12:27:41 the April 1st letter and therefore the tribunal needs no longer details about that, but

20 12:27:47 and I think it is pretty self speaking,

21 12:27:50 however we treat it. It is a clear acceptance and

22 12:27:53 then a signature is attempted to be withdrawn.

23 12:27:56 But

24 12:27:57 you have also now heard a new development of the

25 12:28:01 argumentation

01 12:28:02 is that the later amendments to the payment mechanism,
02 12:28:05 which were to the benefit of PPD, say, the instruction
03 12:28:08 of the Central Bank, which clarified that there will
04 12:28:11 be no risks when the
05 12:28:13 funds reach the euro. Account of
06 12:28:15 PPD should have also been agreed as a separate
07 12:28:18 amendment, necessarily in a form of amendment. Well,
08 12:28:22 this form requirement clearly has absolutely no ground
09 12:28:26 to be taken into account because, as I said one day
10 12:28:33 prior to the 1st of April in an email correspondence,
11 12:28:37 they agreed to defer the supplies. So there were
12 12:28:40 indeed
13 12:28:40 letters, side letters, email agreements and other
14 12:28:44 forms of communications. Those side letters were referred to
15 12:28:46 by Mr Barash as well.
16 12:28:50 However, even putting that into account, once there
17 12:28:54 was this instruction issued and GPE understanding that
18 12:28:59 there
19 12:28:59 could be a concern on the side of PPD with respect to
20 12:29:03 the understanding of of the legislation, informs PPD
21 12:29:06 with
22 12:29:07 the letter of the 5th of may 2022 saying that here is the
23 12:29:12 instruction of
24 12:29:13 the Central Bank, the clarification of the Central
25 12:29:15 Bank, and if you transfer timely in good faith, you will

01 12:29:20 have no risk. It will be full compliance with the
02 12:29:23 contract. What is the response that would come in 20
03 12:29:26 days? The answer is simple. We consider our
04 12:29:30 payment
05 12:29:30 obligation fulfilled once the invoiced euro amount is
06 12:29:35 credited on our type "K" euro account. Exactly. That is exactly what
07 12:29:40 the instruction says. That was
08 12:29:42 exactly the message of the letter of the 5th of May. And you accept it. How would
09 12:29:49 you then say that there was no acceptance? Then what happened next also matters
10 12:29:57 not to take you through all these events, but we mentioned
11 12:30:01 that many times
12 12:30:03 accounts are open, nominations are made, gas received,
13 12:30:11 money transferred. So as for
14 12:30:14 the
15 12:30:14 decree, even if it did affect anything, we discussed
16 12:30:19 that it only affected the moment of payment, what is
17 12:30:23 admitted and it affected the account to which the
18 12:30:25 transfer is made. And I really see absolutely no
19 12:30:29 reason to claim that there
20 12:30:30 was some change of currency. There was none. The
21 12:30:36 transfer was in euros to the very same Gazprombank
22 12:30:39 account, to the very same Gazprombank, but
23 12:30:40 to a different account. Following the central bank's
24 12:30:46 clarification, it was absolutely clear that risk allocation has been now
25 12:30:53 made in favour of the foreign buyer, and therefore it

01 12:30:59 was even acknowledged and accepted by this letter of
02 12:31:02 the 26th of May, which I have just shown. Then
03 12:31:06 comes the
04 12:31:07 story of the decree 254 that we
05 12:31:10 also discussed. And there is one issue I would like to
06 12:31:15 raise here. There was a question from the tribunal also,
07 12:31:18 whether it was something strange to issue a separate decree to
08 12:31:23 address this particular issue and not amend
09 12:31:25 the previous decree or anything of this kind, so
10 12:31:29 implying that it could have some substantial change in
11 12:31:35 it if we were to see the text of the decree, we would
12 12:31:38 see that it effectively introduces changes to many of
13 12:31:41 these things, many of the regimes. So it is a decree
14 12:31:45 effectively amending the decree. And the only change.
15 12:31:51 Is that now NCC is specifically mentioned, whereas
16 12:31:57 before it was not. And I was also
17 12:32:01 explaining during my opening presentation as to why
18 12:32:03 that was made, that was exactly made. So that to simplify all those
19 12:32:09 compliance checks that were of concern for the
20 12:32:13 Russian side receiving
21 12:32:15 the payment and for the European side sending the payment, so that to make
22 12:32:19 the system totally
23 12:32:21 transparent to the banks and to the foreign regulators, so
24 12:32:25 everyone knows who will be
25 12:32:28 involved in

01 12:32:29 this mechanism. Between the 31 March 2022 and the 26th of May 2022,
02 12:32:47 when all of these changes unfolded, there were no payments
03 12:32:50 under the payment mechanism. So PPD cannot assert
04 12:32:54 that any other payment mechanism was possible. Any
05 12:32:58 alternative was available, but there were nominations
06 12:33:03 in that period of time. There was acceptance of
07 12:33:06 supplies, and there was a number of payment without
08 12:33:09 protest. Later in May, September 2022. In terms of
09 12:33:16 the burdensomeness.
10 12:33:19 We need to make sure we understand what was the
11 12:33:23 burden
12 12:33:24 following the decree. As I said, you still make payment in euros. You just need
13 12:33:29 to do it two days
14 12:33:30 ahead, two days ahead. And Gazprombank has
15 12:33:35 never made any longer conversion than two days.
16 12:33:38 There is no evidence otherwise because that was their risk.
17 12:33:42 They were not willing to
18 12:33:44 violate
19 12:33:44 the decree. Yes, you
20 12:33:46 pay to a different account, but
21 12:33:47 with the very same Gazprombank. And importantly,
22 12:33:52 there are absolutely no charges by Gazprombank for making all this
23 12:33:58 conversion,
24 12:33:59 opening the accounts and whatnot. So effectively, all that pretty
25 12:34:09 much meets the test of the steps under

01 12:34:14 article 54, because, as explained by Prof
02 12:34:16 Klicka, reasonableness is determined
03 12:34:20 on balance of convenience. It was less burdensome for
04 12:34:24 PPD to pay this way
05 12:34:27 than for GPE to find some non-Russian gas and somehow
06 12:34:33 supply it in potential violation of the mandatory rule
07 12:34:38 applicable to it. PPD objection on the actual effect
08 12:34:42 of the payment
09 12:34:43 mechanism are really misleading. As for the
10 12:34:47 delays caused by the European correspondent banks and
11 12:34:52 their compliance checks, and the European Central
12 12:34:54 Bank's well, effectively that applied to any payment
13 12:34:59 destined to Russia, and I pretty. I'm pretty sure
14 12:35:03 that everyone in this room from the personal
15 12:35:05 experience knows that these problems started not on
16 12:35:11 the 1st of April 2022 with all of the payments, there
17 12:35:15 is not a single document on the record demonstrating that
18 12:35:19 these
19 12:35:19 concerns have ever been raised by PPD voiced to GPE,
20 12:35:25 say, with the
21 12:35:27 request to modify the payment timing and the claimant
22 12:35:34 witnesses cannot clearly refute it. They admit that
23 12:35:38 that was the issue of the European banking system,
24 12:35:40 and
25 12:35:40 it has nothing to do with the decree because, as was

01 12:35:44 said, some of the banks completely stopped
02 12:35:47 payments to Russia, irrespective of the regulatory framework
03 12:35:52 under which this payment
04 12:35:53 could be potentially made. Respondent witnesses
05 12:35:58 Mr Barash also confirmed that the problems were before
06 12:36:01 and after, regardless of the
07 12:36:02 decree. And the problems remain. As I was saying in
08 12:36:08 my opening, even during this arbitration, we had
09 12:36:10 issues with payments, but luckily
10 12:36:13 we managed to overcome all that. So at all relevant times risk because relevant
11 12:36:21 times happened when the 1st payment were to be
12 12:36:23 made. Risks passed with crediting of euros to GPB
13 12:36:29 at all
14 12:36:29 relevant times. From the moment of the 1st payment in
15 12:36:31 the end of May 2022, the risk was as provided by the
16 12:36:38 Central Bank on GPE and it was the party's
17 12:36:43 understanding from the very beginning, as explained by
18 12:36:47 Mr Barash and the suspension in may and August also
19 12:36:51 has nothing to do with that, and that was also
20 12:36:54 clearly
21 12:36:55 discussed because the funds reached Gazprombank late
22 12:37:00 and the two days conversion was simply not possible.
23 12:37:06 As for no access to the accounts, there was a
24 12:37:10 statement made by Ms Ivancic
25 12:37:13 that they were very unhappy that

01 12:37:14 the funds became not traceable, and they
02 12:37:17 did not now understand where the funds are. In
03 12:37:22 section 3 of the Gazprombank instruction that
04 12:37:25 is attached to the 1st of April letter. Everything is
05 12:37:30 clearly set out and it is proposed for the buyer to
06 12:37:36 introduce an
07 12:37:36 electronic document exchange system so that to have
08 12:37:40 all the information necessary. And when I
09 12:37:43 confront
10 12:37:44 Ms Ivancic with the question, why
11 12:37:45 did you not do that? Why did you reject this
12 12:37:48 proposal? She says, Russian hackers are
13 12:37:50 everywhere.
14 12:37:52 So my it guys said that would potentially
15 12:37:55 jeopardise
16 12:37:56 our system. So there were mechanisms to trace
17 12:38:02 the
18 12:38:02 funds, but you simply don't want to use those. And there
19 12:38:06 were several options in that instruction
20 12:38:08 proposal. Transcript of the 2nd day, Ms Ivancic specifically says Russian
21 12:38:17 hackers everywhere in the world. So we
22 12:38:20 decided we will. I mean, that was in the
23 12:38:22 media. This was the time, the situation. I
24 12:38:25 think
25 12:38:26 the quotation is self-speaking, the letter of the 1st

01 12:38:32 of April 2022 does constitute a clear, valid amendment
02 12:38:35 to the contract, because the requirements to these
03 12:38:41 amendments are stipulated in the contract itself.
04 12:38:45 Article 161 has clear requirements as to the
05 12:38:51 amendments, and there is no requirement that it should
06 12:38:54 be a separate document labelled amendment. Yes, it
07 12:38:58 happened in practice when it came to issues of price
08 12:39:01 or volumes, but as I said, it could be done otherwise.
09 12:39:08 So this letter of the 1st of April was
10 12:39:11 transferred
11 12:39:11 back by email later, and then
12 12:39:13 replaced
13 12:39:13 with an original, specifically as requested by the
14 12:39:17 contract terms. What definitely constitutes a valid
15 12:39:20 amendment. And there was indeed a discussion between
16 12:39:23 Mr Barash and Ms Ivancic as to delivering it to
17 12:39:28 Russia. Because of the intermission of the courier services in
18 12:39:31 those
19 12:39:32 period of time it was sent through Serbia. So
20 12:39:35 imagine
21 12:39:35 how much effort was put by Ms Ivancic so that to
22 12:39:38 deliver this document to Moscow, to St Petersburg.
23 12:39:43 Actually, that
24 12:39:45 is precisely the Way
25 12:39:46 two amend the contract as envisaged in article 16 of

01 12:39:49 it. This alone suffices to disregard any
02 12:39:52 attempts of PPD to
03 12:39:54 dispute the
04 12:39:55 existence of the amendment. More to come.
05 12:39:58 Contrary to Mr Vujnovac's statements under the oath on
06 12:40:01 the 2nd day of the evidentiary hearing, there was no
07 12:40:05 established practice of entering into binding
08 12:40:08 amendments by other means than signing numbered
09 12:40:12 agreements, as I said. And I refer to the
10 12:40:17 31 March
11 12:40:18 exchange of emails confirmed by both
12 12:40:20 witnesses here last week. With this in mind, it is
13 12:40:28 almost strange to see PPD anyhow challenging the
14 12:40:30 validity of the modification procured by countersignature and strictly
15 12:40:34 according to the formal requirements outlined in the
16 12:40:38 contract and actually, besides the letter of the 1st
17 12:40:40 of April, actually,
18 12:40:43 there was a said a lot of further behaviour on
19 12:40:48 the
20 12:40:48 side of PPD that supported this understanding. Now we
21 12:40:55 come to the 2nd reason not to pay. PPD claims
22 12:41:03 to have been under duress. So as if PPD was threatened by VTP or
23 12:41:12 potentially by
24 12:41:13 Gazprom, the
25 12:41:14 mother company, or by President Putin personally, or

01 12:41:17 by the Russian State or by the evil empire or. This
02 12:41:21 fear
03 12:41:22 is potentially just another excuse. Let's try to
04 12:41:24 understand that the key part of the PPD narrative is that Mr Vujnovac was reasonably
05 12:41:33 feared by GPE while
06 12:41:35 amending the contract in accordance with the decree,
07 12:41:38 reasonably feared by the end of the evidentiary hearing.
08 12:41:41 This point clearly did not withstand any scrutiny. So
09 12:41:45 start with the relationship between GPE
10 12:41:49 and PPD were in no way at a low point by the moment.
11 12:41:55 When the 1st of April events
12 12:41:57 happened few hours before
13 12:41:58 the decree was published in the evening of the
14 12:42:00 31 March, PPD requested GPE to
15 12:42:02 amend the contract, as I said, not to nominate gas in April with
16 12:42:06 no mean DCQ payment incurred and GPE
17 12:42:11 amicably agreed to this. And that became binding
18 12:42:16 despite being enshrined in the email chain and not on
19 12:42:19 the paper that will follow much later. Basically, by
20 12:42:23 mutual agreement, no gas was supplied by PPD either
21 12:42:26 on
22 12:42:27 the 1st or the 4th of April or between these dates
23 12:42:29 and
24 12:42:29 later on until may. So the
25 12:42:32 inference by Mr Pavao

01 12:42:33 Vujnovac that he could be shut off the gas immediately
02 12:42:37 is complete nonsense, even technically. Furthermore,
03 12:42:41 exactly. In the letter it was mentioned that PPD
04 12:42:44 could take its time until the end of May, wait pro and
05 12:42:47 contra before taking a decision. However, Mr Vujnovac
06 12:42:51 seemingly did not need any time
07 12:42:53 to respond, any time to assess, any time to
08 12:42:56 think. So he countersigns and sends it back the next
09 12:43:00 business day. Due to the quite generous month plus 30
10 12:43:05 days payment term, Mr Vujnovac had all the time he
11 12:43:08 needed to get PPD ready to work under the new payment mechanism. In
12 12:43:13 two months after the receipt of the
13 12:43:14 payment, and he successfully did. However, he never
14 12:43:21 tried to discuss the issues he now portrays as frightening with
15 12:43:26 either GPE or any other higher
16 12:43:31 contacts in Croatian ministries, as he now
17 12:43:33 claims, who were also participants of the gas crisis
18 12:43:36 team, which was specifically formed
19 12:43:39 to discuss such issues or with
20 12:43:41 other market players, as he claims, apart from whether
21 12:43:45 they at all received similar letters or not. Truly
22 12:43:53 fearless behaviour of the person who could come,
23 12:43:57 actually, who could have easily called everybody to
24 12:44:00 get any info, he yet decided to go all alone. No
25 12:44:06 consultations held, no clarification sought, no legal opinions requested.

01 12:44:12 Despite the two month period available in conjunction
02 12:44:16 in conjunction with the countersigned letter of the Fourth of April,
03 12:44:21 Mr Vujnovac enhanced his strategy to switch to
04 12:44:23 switch
05 12:44:24 to the LNG. He in fact started arranging, as I said well before, in
06 12:44:30
07 12:44:31 March 2022, Mr Vujnovac's direct acknowledgment that he
08 12:44:34 decided to
09 12:44:35 make some payments. Some payments plainly mirrors his
10 12:44:39 motivation to have reliable gas supplies
11 12:44:43 while finding alternative
12 12:44:44 supply
13 12:44:45 routes through the Krk LNG terminal, however,
14 12:44:50 effectively implemented seven months planning strategy
15 12:44:52 has little to do with the actions you expect from a
16 12:44:56 verified person that is really in fear. Even from the
17 12:45:03 sanctions risk perspective. PPD
18 12:45:04 argument does not look serious, as it is quite strange
19 12:45:07 to expect sanctions as a political
20 12:45:09 instrument to be
21 12:45:11 used against the market player responsible for the
22 12:45:13 key
23 12:45:14 policy goal filling the gas storages. And
24 12:45:17 Mr Vujnovac, as part of this Croatian crisis team was
25 12:45:21 perfectly aware, and he confessed here that the main

01 12:45:25 objective of the Croatian Government was to fill
02 12:45:29 the storages. That was their main concern. So with
03 12:45:34 this respect, no serious business person
04 12:45:36 would believe he could be punished or sanctioned for
05 12:45:41 buying the Russian gas that was so needed to fill the
06 12:45:45 storages, because he is assisting the public
07 12:45:48 government in policy. That is tantamount to the
08 12:45:54 population. As a weapon of last resort. PPD refers to handful
09 12:46:00 of legal doctrines to blur the lines
10 12:46:03 between GPE as a separate legal entity, being a
11 12:46:05 party to the
12 12:46:05 contract. Its parent company, Gazprom PJSC and
13 12:46:10 the
14 12:46:10 Russian State. Though these attempts manifestly
15 12:46:14 fail
16 12:46:14 from the outset, they are either way irrelevant to
17 12:46:19 the
18 12:46:19 question of duress as the standard of section 870
19 12:46:23 of
20 12:46:24 the Austrian Civil Code leaves no room for the legal doctrine piercing the
21 12:46:29 corporate veil or whatever.
22 12:46:33 Anyway, no evidence of this unity has been discovered
23 12:46:37 throughout this evidentiary hearing. Claimants
24 12:46:41 witnesses cannot reliably point to any specific
25 12:46:43 indications of this unity apparent throughout their contractual

01 12:46:48 relationship. Respondents witnesses
02 12:46:51 consistently and unequivocally confirm the opposite.
03 12:46:54 None of the experts, either legal or economic.
04 12:46:58 Mr Boublik and Mr Papadia managed to suggest a
05 12:47:02 plausible explanation of how the Decree 172 could
06 12:47:06 even, in theory, benefit GPE because it could not. As a
07 12:47:12 result, the prongs of
08 12:47:14 duress were not met, as confirmed by PPD
09 12:47:18 appointed
10 12:47:19 legal expert, Dr Pernar, on Monday this week. The criteria to establish duress
11 12:47:26 are cumulative and shall be proven by the
12 12:47:29 claimant. In the case at hand. The situation is
13 12:47:33 pretty peculiar as over the course of this
14 12:47:35 hearing, it
15 12:47:36 became almost obvious that none of the criteria is met. None. No threat by GPE just
or
16 12:47:46 unjust, only the desire to uphold the
17 12:47:48 contractual relationship and continue the supply of
18 12:47:52 gas in the new legal framework until the alternative
19 12:47:57 supplies are secured. No payment via the
20 12:48:01 mechanism
21 12:48:01 would have caused and eventually did cause the
22 12:48:04 prohibition to supply
23 12:48:06 further
24 12:48:06 regardless of GPE's will. After countersigning on
25 12:48:09 the

01 12:48:10 next business day, PPD had two months and not days
02 12:48:14 as PPD's appointed expert
03 12:48:17 doctor claims. I think he was misled to
04 12:48:20 assume
05 12:48:21 that to switch to the new track, which he successfully
06 12:48:24 did. No proof of fear over the weekend
07 12:48:28 between the 1st and the 4th of April 2022, on
08 12:48:32 the side of Mr Vujnovac, there is no proof of fear
09 12:48:36 that was established during these two weeks of
10 12:48:39 the evidentiary hearing. There is
11 12:48:40 not a single piece of evidence showing that
12 12:48:42 Mr Vujnovac was in fear. You saw Mr Vujnovac. He is not easy to be made
13 12:48:53 frightened, and he was perfectly
14 12:48:54 able to make
15 12:48:58 brutal commercial decisions, availing him to switch from PNG
16 12:49:02 to LNG. And just to understand how this letter
17 12:49:03 could
18 12:49:11 be utilised for this purpose. And one should not attribute it to his courage or
19 12:49:11 fortitude, as it
20 12:49:17 was
21 12:49:21 quite hard to fear the immediate seizure of PNG supplies received of
22 12:49:26 PNG supplies. Given that there were no supplies
23 12:49:30 anticipated in the next two months as
24 12:49:30 agreed beforehand, be it as it may, even if there
25 12:49:30 was
26 12:49:30 an unjust threat or even if Mr Vujnovac was anyhow reasonably
27 12:49:34 feared, that fear definitely would not be induced by

01 12:49:40 GPE, which would anyway doom the whole case because
02 12:49:46 section 870 of the Austrian Civil Code is
03 12:49:49 absolutely clear that the counterparty shall be
04 12:49:51 specifically the one who induces fear, which is
05 12:49:56 obviously not the case here GPE. Even if
06 12:50:00 wanted or
07 12:50:00 if it did not want to
08 12:50:03 seize supplies, was not making the
09 12:50:06 decision.
10 12:50:06 According to the direct wording of the 1st of April
11 12:50:08 letter, it was the customs making the decision. So in
12 12:50:12 fact, lack of causality is so manifest that being asked
13 12:50:16 a plain question about whose action must be the
14 12:50:19 cause, so it would apply to our dispute. Dr Perner
15 12:50:25 suddenly changed subject and started talking
16 12:50:27 about section 85875 of the Austrian Civil Code due
17 12:50:31 raised by 3rd party, but this has never been pleaded
18 12:50:35 by PPD in this arbitration. Not in a single
19 12:50:38 submission. Never. Only 870 and Mr Pernar
20 12:50:44 understood that 870 is not tenable. As for the
21 12:50:52 causality under
22 12:50:54 section 870 and the attribution of the acts of state, just one more slide. Throughout
23 12:50:59 its pleadings, claimant was continuously
24 12:51:02 mixing rules of section 870 of the Austrian Civil Code
25 12:51:06 with tests concerning attribution of the acts of state

01 12:51:09 to state owned enterprises for the purposes of force
02 12:51:12 majeure. However, as finally established during the
03 12:51:16 evidentiary hearings, these two concepts shall be
04 12:51:19 clearly and strictly divided. Section 870 of the
05 12:51:24 Austrian Civil Code specifically refers to fear to be
06 12:51:29 induced by the counterparty, in our case
07 12:51:33 by GPE, in
08 12:51:34 order to invalidate the amendment and as
09 12:51:38 confirmed by the PPD appointed expert Dr Perner, this concept could be expanded to
the auxiliaries of employees of GPE
10 12:51:48 persons empowered by GPE to act on their behalf and
11 12:51:52 inducing fear on PPD in this capacity. But anyway, no
12 12:51:55 further. And it is obvious that neither the Russian
13 12:52:01 State nor President Putin, while signing the decree exercising
14 12:52:07 their public powers, acted on behalf of
15 12:52:09 GPE. And anyhow, in the interest or in their capacity,
16 12:52:16 and
17 12:52:17 the contrary. The contrary has never been pleaded by
18 12:52:22 PPD. This alone renders the case of PPD under section 870 of the
19 12:52:29 Austrian Civil Code moot. Now members of the
20 12:52:35 tribunal let me switch to the
21 12:52:37 next reason not to pay so many reasons not to pay.
22 12:52:44 That is
23 12:52:44 the alleged violation of the EU sanctions
24 12:52:47 regime by the so-called new payment
25 12:52:48 mechanism. The key arguments made by PPD are

01 12:52:53 either making funds available to a sanctioned entity or managing the reserves of the
02 12:52:59 Central Bank, or nothing else. If.
03 12:53:01 If this
04 12:53:02 doesn't work, then circumvention of sanctions.
05 12:53:07 Well, members of the tribunal, you have seen the two witnesses who are the only
source of sanctions related
06 12:53:14 conclusions by PPD, and you noticed that both of those
07 12:53:19 witnesses very clearly explained that they
08 12:53:22 have no legal understanding of the sanctions, that
09 12:53:24 they do not make any sanctions related conclusions,
10 12:53:27 and they even never attempted to. The
11 12:53:31 witnesses have
12 12:53:32 shown, unfortunately, complete lack of
13 12:53:35 understanding of some
14 12:53:36 of the most basic legal concepts like agency and
15 12:53:39 distinction between proprietary rights and
16 12:53:43 obligations. And most importantly, they have also
17 12:53:45 managed to convince the counsel to follow this logic.
18 12:53:49 Contrary to any
19 12:53:51 well-established legal theory. Unfortunately,
20 12:53:55 this
21 12:53:55 evidence may not serve any ground for any sanctions
22 12:53:58 related meaningful conclusions. However, what
23 12:54:01 is really important on the record? There is
24 12:54:06 evidence by a professional sanctions legal expert
25 12:54:11 that

01 12:54:11 is the law firm called dull devolve, which is among the top three
02 12:54:15 law firms working in the
03 12:54:16 sanctions cases before
04 12:54:17 the Court of Justice of the
05 12:54:19 European Union. Their opinion is available, and it fully supports the
06 12:54:24 position of the respondent that
07 12:54:25 there were no sanctions risks in the payment
08 12:54:30 mechanism. Notice that PPD decided not to
09 12:54:32 cross-examine legal experts, as clearly there would be
10 12:54:38 little to counter their analysis, so we emphasised to
11 12:54:42 the tribunal that there is a professional legal
12 12:54:45 assessment
13 12:54:46 available on the record, and it was the
14 12:54:49 decision of the claimant not to cross examine the
15 12:54:51 appropriate and
16 12:54:53 qualified legal
17 12:54:55 experts and moreover, so I emphasise once again
18 12:54:58 that
19 12:54:59 the only legal opinion
20 12:55:00 on the EU sanctions that
21 12:55:03 is on record and was prepared by the EU qualified
22 12:55:07 Belgian attorneys, Mr Benteke and Ms Barsanti del de
23 12:55:10 Wolff, one with actual expertise and experience of
24 12:55:16 representation in sanctions related disputes before
25 12:55:18 the European courts, including the Court of Justice of

01 12:55:21 the European Union. It is their. And if one does not
02 12:55:27 flag any risks of violation of EU sanctions by the
03 12:55:30 payment mechanism and I am really puzzled with the
04 12:55:34 advocacy techniques by Mr Holland, who just pretended
05 12:55:37 that this does not exist and even insisted on that.
06 12:55:40 And it was even more puzzled, actually, when
07 12:55:43 listening
08 12:55:43 to the sanctions section by Mr Holland, that
09 12:55:47 Gazprombank has been labelled or called to be owned by
10 12:55:51 the respondent. This is today at 11 oh 142 seconds.
11 12:55:56 This is this was a statement. This is not only
12 12:55:59 completely incorrect, but it is the 1st time this kind
13 12:56:04 of argument. Has it all been raised. And I really
14 12:56:08 regret to witness such level of advocacy. In my
15 12:56:13 opening speech, I explained in detail the nature of the
16 12:56:17 transactions at the Moex and that the involvement of PPD in this
17 12:56:21 mechanism is limited solely to PPD
18 12:56:24 relations with Gazprombank contractual obligations that have been
19 12:56:30 discussed, and
20 12:56:32 therefore there is no way we could speak of some PPD
21 12:56:36 euros from the point of view of applicable law.
22 12:56:40 And
23 12:56:41 you also saw that the
24 12:56:44 decree 254. In essence did not change
25 12:56:47 anything because the national clearing centre

01 12:56:49 was a mandatory central counterparty at most forex
02 12:56:53 trade for decay. The trading rules are
03 12:56:59 very straightforward on that.
04 12:57:00 This is r132, paragraph 213 on page 13 of that file. And it says the clearing centre
05 12:57:08 shall be party to all
06 12:57:09 the trades executed in accordance with these trading
07 12:57:12 rules, full stop.
08 12:57:13 There
09 12:57:14 is simply no other Way two read it. And
10 12:57:18 Mr Boublik
11 12:57:18 statements on negotiated
12 12:57:21 trading by passing as if the clearing centre
13 12:57:25 unfortunately is completely outdated and goes contrary
14 12:57:28 to the plain text of the rules. However, dear members of the tribunal, the
15 12:57:35 argument even
16 12:57:37 evolved in absence of any tenable legal argument. The
17 12:57:40 experts of the claimant and their counsel now state
18 12:57:43 that the rules are too difficult to
19 12:57:45 understand. The
20 12:57:46 mechanism is too complex that PPD can easily get
21 12:57:50 confused because even Mr Papadia got confused somehow,
22 12:57:54 and that is not reasonable to expect from a
23 12:57:58 sophisticated gas trader. To understand how forex
24 12:58:01 trading at an exchange works, I put aside the
25 12:58:05 fact

01 12:58:05 that no explanations were yet again requested and ever called for from GPE, and I
also put

02 12:58:13 aside the fact

03 12:58:14 that the Moex trading rules are perfectly available

04 12:58:17 online in English. Unlike many of the Russian legal

05 12:58:20 acts, and they always were available in English.

06 12:58:24 However, even if PPD management could not understand

07 12:58:28 such a complex idea of trading rules of

08 12:58:32 Moex foreign

09 12:58:33 exchange, could they do at least some of the basics? They could do a basic

10 12:58:40 search on internet.

11 12:58:43 While preparing for today, I did this exercise myself and I have just visited the

12 12:58:48 Wikipedia

13 12:58:50 page devoted to Moex. I understand

14 12:58:52 Wikipedia is not a legal source

15 12:58:54 and the legal argumentation has already been addressed

16 12:58:57 above, but at least this is something anyone would do

17 12:59:00 if you have. If you wish to have even a minimum basic understanding and the
members of the

18 12:59:06 tribunal. You may also repeat this exercise and you

19 12:59:08 will be puzzled to see that the Moex Wikipedia page in

20 12:59:12 English says specifically in the section related

21 12:59:14 to

22 12:59:14 foreign currency trading, it says all transactions spot and

23 12:59:19 swaps on the FX market at Moex are centrally cleared by national clearing centre.
Well,

24 12:59:28 one can be

25 12:59:29 a non-lawyer, but this is so basic and so

01 12:59:33 plainly

02 12:59:33 available that saying anything to the contrary is just

03 12:59:36 unfair. Mr Holland was saying today that no banker

04 12:59:43 would participate in such a mechanism. I would just

05 12:59:46 refer you to rl345. The EU frequently asked questions

06 12:59:52 that specifically say, and I quote, EU firms are still

07 12:59:56 allowed to trade on

08 12:59:58 Russian exchanges. The evidence provided by the

09 13:00:02 so-called sanctions experts is unfortunately

10 13:00:04 useless. Mr Boublik based his

11 13:00:08 conclusions on outdated sources and was unable to

12 13:00:12 point to any sources at all, if not outdated. If the three reports. Well, in his three

13 13:00:22 reports presentation and an hour long

14 13:00:24 cross-examination, I never managed to obtain from

15 13:00:27 Mr Boublik any clear guidance on where in the rules

16 13:00:30 are. Those three modes of transactions are? Be it as

17 13:00:35 it may. He admitted that organised trades at

18 13:00:38 Moex do go through clearing with NCC. The source of

19 13:00:43 his knowledge is always general practice. Dating back

20 13:00:46 to 2008 when Mr Boublik was in Moscow, Moex did not even

21 13:00:51 exist in those days. However, Mr Boublik

22 13:00:56 feels comfortable giving testimony on these issues.

23 13:01:00 He is also trying to make an argument that the

24 13:01:03 mechanism was so inventive, so that the sending

25 13:01:06 bank

01 13:01:06 would not see where the funds go, because the idea was
02 13:01:12 that funds were sent from PPD to PPD, and thus the sending bank in the
03 13:01:17 EU would be deprived of the
04 13:01:19 ability to do proper anti-money laundering and the
05 13:01:22 sanctions checks. That was one of the arguments. So
06 13:01:26 as if the sending bank does not know where the funds
07 13:01:29 are really heading and what is the ground for this
08 13:01:32 transfer if it falls under the decree or not. This is
09 13:01:36 again nothing but yet another misleading
10 13:01:38 statement. My last question to Mr Boublik was whether
11 13:01:43 he ever saw the SWIFT messages underlying the payments,
12 13:01:46 and he said he
13 13:01:47 did. Those are also on the record and those
14 13:01:51 clearly show everyone who processes the payment that the payment is made under
the decree to a special "K" type
15 13:02:01 account. It's there in the SWIFT messages visible to anyone
16 13:02:06 dealing with the payment. I don't even mention the
17 13:02:09 underlying invoices that always mentioned the
18 13:02:12 special t "K" type account, and the procedure of the
19 13:02:15 decree that was shown to Mr Vujnovic on day 2. So all
20 13:02:21 that was specifically inscribed to make
21 13:02:25 everything as clear as possible, as transparent as
22 13:02:29 possible. So either Mr Boublik did not see the SWIFT
23 13:02:33 messages or he has forgotten what he has seen there,
24 13:02:36 or he is intentionally misleading the tribunal to make
25 13:02:38 up the case for the claimant. Mr Papadias findings

01 13:02:43 are based on incomplete and
02 13:02:45 fragmented understanding of how the Decree 172 and
03 13:02:49 Moex trade works, yet he had to perform a very complex
04 13:02:55 and sophisticated macroeconomic analysis in order to
05 13:02:58 conclude that there was a risk. I quote that risk of
06 13:03:03 payment mechanism affecting not even directly
07 13:03:07 amounting to management, affecting the reserves and
08 13:03:10 assets of the Central Bank, and the risk of these PPD
09 13:03:15 euros. As I said, that is legal nonsense. Ending up
10 13:03:18 in the hands of the sanctioned
11 13:03:20 persons. Apparently, Mr Vujnovac
12 13:03:25 and Ms Ivancic clearly did not engage
13 13:03:28 themselves into such an
14 13:03:30 assessment of the risks either before accepting the letter in between the 1st
15 13:03:37 and the Fourth of April, nor ever
16 13:03:39 afterwards.
17 13:03:40 Hardly that could be done over one weekend. And it was not
18 13:03:46 even mentioned in the letter of the 31st of
19 13:03:49 October, where
20 13:03:51 they say all our prior payments were approved.
21 13:03:55 There were no sanctions-related concerns. Hence
22 13:04:00 the story about how dreaded Mr Pavao Vujnovac
23 13:04:03 and Ms Ivancic were by the risks of breaching the EU
24 13:04:06 sanctions is, to say, mildly unconvincing. PPD
25 13:04:10 argues that even if decree one, 72 and letter

01 13:04:16 of the 1st of April 2022 was accepted, the later
02 13:04:19 changes
03 13:04:19 could not be accepted because the altered the payment
04 13:04:22 mechanism in such a way, according to its experts,
05 13:04:25 which posed critical risks from the EU sanctions
06 13:04:28 perspective. However, if the learned experts
07 13:04:32 themselves accept that there is risk was not obvious, how did PPD come to a
08 13:04:36 conclusion that this risk at all existed and it
09 13:04:40 was so onerous it constituted a new modification and
10 13:04:44 it should not be accepted? No contemporaneous
11 13:04:48 document on the record? Nothing. Both the so-called sanctions experts admit that
12 13:04:54 there was no causal link between the stricter
13 13:04:56 compliance checks and delays and the payment
14 13:05:00 mechanism, and these delays are to be assigned to the
15 13:05:03 compliance policies of the EU banks. Mr Boublik also
16 13:05:07 admits that for any euro settlement after clearing in
17 13:05:10 favour of a sanctioned entity, European banks, where
18 13:05:14 the national clearing Center had its
19 13:05:15 correspondent accounts, Deutsche bank
20 13:05:17 and Societe Generale would be doing the sanctions
21 13:05:21 checks and such funds would never reach a sanctioned
22 13:05:23 entity or the Central Bank of Russia. As I also
23 13:05:28 explained during my opening presentation, sanctions
24 13:05:31 circumvention, which is referred to by PPD, is a very
25 13:05:34 specific, legally determined concept. It's not. It's

01 13:05:38 not just anything that goes contrary to the spirit of
02 13:05:41 sanctions. As Mr Holland puts it. And there is
03 13:05:46 nothing in the case to support the application of this
04 13:05:48 particular provision in the given circumstances.
05 13:05:52 However, given the very remote nature of this
06 13:05:56 sanctions expert's knowledge, this point was not even
07 13:05:58 raised in the reports and
08 13:06:00 therefore was not discussed and touched
09 13:06:03 upon during the hearings. But it's in detail
10 13:06:08 addressed in the written submissions. PPD case rests also on
11 13:06:14 two pillars the
12 13:06:15 broad interpretation of the text of
13 13:06:16 the sanctions
14 13:06:17 regulations and the opinions of the Advocate General
15 13:06:20 Biondi in the case, and the
16 13:06:24 recent opinion in the Yemen case. Well, none of these
17 13:06:28 pillars support the weight
18 13:06:30 placed upon them. The provisions of the regulation.
19 13:06:36 833-2014 do not apply to the circumstances of the
20 13:06:38 dispute. And the advocate general in rebel rebel
21 13:06:42 case, let alone being non-binding and factually
22 13:06:45 distinguishable, also cannot rescue a case
23 13:06:48 that
24 13:06:48 otherwise falls outside the scope of
25 13:06:50 the sanctions

01 13:06:51 regime. I will briefly address these points why
02 13:06:54 article 11 does not apply, and why the why the rehabil
03 13:06:58 opinion is irrelevant, and why article 10 does not
04 13:07:00 provide a shield. As for article 11, it prohibits the satisfaction
05 13:07:06 of claims made by a Russian person, where
06 13:07:09 the contract's performance has been affected by the
07 13:07:13 measures imposed under the regulation. The text here
08 13:07:16 is clear as submitted earlier, the Court of Justice
09 13:07:21 already confirmed that affected essentially means
10 13:07:26 prohibited. So the article works only when the EU
11 13:07:30 sanctions make performance of the contract illegal.
12 13:07:33 When it is prohibited under the sanctions rules here,
13 13:07:37 there is no EU measure that prohibited the supply of
14 13:07:41 natural gas to the EU and the subsequent payments, and
15 13:07:45 there remains not until today, the Central Bank of
16 13:07:49 Russia, by the way, is also not subject to sanctions,
17 13:07:53 as individual sanctions blocking sanctions, so-called
18 13:07:58 unlike, say, the Central Bank of Iran, as I was
19 13:08:01 mentioning during the opening presentation, the EU
20 13:08:05 commission itself confirmed repeatedly that energy
21 13:08:08 transactions were not subject to prohibitions under
22 13:08:11 regulation eight, three, three at all the relevant
23 13:08:13 times. And this has already been addressed in detail
24 13:08:17 in the opening presentation and in the written
25 13:08:19 submissions. So if the underlying performance, the

01 13:08:23 delivery of gas and payment thereof was not affected,
02 13:08:26 was not prohibited by the EU sanctions. The
03 13:08:30 foundation for article 11 crumbles PPD incorrect
04 13:08:35 interpretation of law. Well, and as said, not
05 13:08:38 surprisingly, there is no legal expert PPD involved to
06 13:08:41 assist them in preparing this position because I
07 13:08:45 assume there would be none expert
08 13:08:46 willing to
09 13:08:47 take this position with the legal qualification.
10 13:08:52 So PPD is incorrect. Interpretation
11 13:08:53 of law does not transform a
12 13:08:57 voluntary nonperformance into an effect of EU law. As
13 13:09:02 for the opinion of the advocate general, as said, we
14 13:09:07 believe it is completely irrelevant. PPD places
15 13:09:11 extraordinary weight on all advocate general
16 13:09:14 opinions
17 13:09:14 and in this particular case, concerning this dual use helicopter parts, this case
18 13:09:20 is a world apart from ours. First of all, the court
19 13:09:23 has not yet ruled to begin with and the advocate opinions general is a persuasive
20 13:09:29 submission. But it's
21 13:09:29 not yet a judgment and it does not have any force of
22 13:09:32 law. But in any event, in this
23 13:09:36 case, the contract was for the sale of goods that were
24 13:09:40 themselves subject to the EU export ban.
25 13:09:43 The performance of the contract was directly

01 13:09:46 affected because the goods could not be exported
02 13:09:50 without violating EU law. And the advocate general
03 13:09:54 discussion on the automated nature of article 11 must be.
04 13:09:57 Therefore read in this context,
05 13:09:59 and I would agree to the logics proposed by the
06 13:10:02 advocate general. In a way, his statement that
07 13:10:06 article 11 applies irrespective of whether satisfying the claim would entail
infringement of
08 13:10:11 other measures, was made
09 13:10:13 in
10 13:10:13 case where a contractual performance was already
11 13:10:16 impossible because of the direct prohibition on the
12 13:10:20 subject matter. Here. In our case, there is no prohibition on gas.
13 13:10:27 The performance of the contract delivery and payment
14 13:10:30 was never made impossible by any EU measure. The
15 13:10:34 debtor refused to pay not because gas could
16 13:10:37 not be delivered, but because of unsubstantiated
17 13:10:40
18 13:10:42 fears. If we trust that that we're not grounded in
19 13:10:45 any applicable provision or just because of the
20 13:10:48 commercial decision not to do it and the rebel principle,
21 13:10:53 if we
22 13:10:53 could at all consider that such a principle exists,
23 13:10:56 does not extend to any indirect, speculative and
24 13:11:01 self-imposed obstacles. The purpose of article 11 is
25 13:11:05 to ensure that a Russian person cannot use a court or

01 13:11:09 tribunal to recover sums

02 13:11:11 arising from a conduct whose performance

03 13:11:13 was affected by EU sanctions, but where the contract's

04 13:11:17 performance was not

05 13:11:18 affected, where the gas was delivered. There is no

06 13:11:22 circumvention, there is no circumvention to prevent

07 13:11:25 it

08 13:11:25 all. To apply this argumentation here would extend it beyond its rationale

09 13:11:32 and create a windfall for a party that chose

10 13:11:36 not to pay. As for the opinion of the advocate

11 13:11:39 general in the

12 13:11:40 Yemen case, we will have to unfortunately address it

13 13:11:45 in more detail in our Post-hearing brief. However,

14 13:11:48 this is again nothing but detaching the rules from

15 13:11:52 their context and the Yemen sanctions stem from

16 13:11:56 the un sanctions, and that is a very significant

17 13:12:00 difference as compared to the Russian sanctions

18 13:12:03 mechanism. And they target a civil war situation with

19 13:12:07 competing de facto authorities. So the opinion's

20 13:12:09 reasoning on competing influences and reasonable risk

21 13:12:13 is very specific to that very context. And

22 13:12:17 transposing it to the Russian sanctions

23 13:12:20 framework would be just legally unsound. Misreading

24 13:12:24 and applying the Yemen opinion would encourage the

25 13:12:27 tribunal to import concepts such as competing

01 13:12:31 influences and the revised burden of proof based on
02 13:12:34 reasonable risk to the regime. The Russian sanctions
03 13:12:38 to which they are alien. These concepts are alien to
04 13:12:41 the Russian sanctions regime and are not known in any
05 13:12:46 of the interpretations of that regime available. And
06 13:12:51 as for article 10, article 10 of the regulation 269
07 13:12:57 does not really absolve liability. Article 10
08 13:13:04 provides that freezing of funds or refusal to make
09 13:13:07 funds available, if carried out in good faith, shall
10 13:13:10 not give rise to liability. But this is not a
11 13:13:15 provision that is a blank check. PPD claims it faced
12 13:13:21 regulatory uncertainty, but uncertainty does not
13 13:13:24 equate to good faith. Good faith requires a
14 13:13:27 reasonable basis for the belief that compliance required the refusal at the
15 13:13:33 relevant time, the European Commission and the
16 13:13:35 competent national authorities had made it clear that
17 13:13:38 the payment for gas was not prohibited and the
18 13:13:42 payments were made and are still being made under the
19 13:13:45 mechanism. PPD ignored that guidance. A party that
20 13:13:49 chooses the most
21 13:13:50 restrictive possible interpretation, contrary to the
22 13:13:53 official guidance and then withholds payment, can not
23 13:13:56 invoke article 10 as a shield. Article 10 also
24 13:14:01 provides that unless it is proved that the freezing of
25 13:14:05 refusal or refusal was carried out as a result of

01 13:14:08 negligence. Sorry, article 10 also
02 13:14:12 provides that.
03 13:14:16 The burden is on the debtor to show that the conduct was
04 13:14:20 not negligent. My colleagues have not discharged that burden, that they
05 13:14:26 merely point some general opinions of
06 13:14:29 officials, none of
07 13:14:31 which stated that paying for gas would violate
08 13:14:34 sanctions to the contrary. As Mr Vujnovac himself
09 13:14:37 states, they were all worried about only the maintaining supplies and
10 13:14:42 filling up the
11 13:14:43 storages. Negligence is established when a party
12 13:14:46 fails to take reasonable steps to assert its obligations. Here, PPD
13 13:14:52 had access to clear
14 13:14:53 guidance, but it chose to ignore it.
15 13:14:56 That is negligence. I will now hand
16 13:15:00 the floor to Ms Soldatenkova.
17 13:15:03 MR HOLLAND: Thank you.
18 13:15:15 MR TALANOV: Members of the tribunal. I will focus on
19 13:15:17 the supplemental claim and as we have the time limits,
20 13:15:20 I will of course
21 13:15:22 not make this presentation exhaustive, but I will try to focus on
22 13:15:25 the key points. Now on this slide, the tribunal can
23 13:15:28 see a roadmap, a roadmap of the steps that the
24 13:15:32 tribunal has to pass to grant the supplemental claim.
25 13:15:36 It all starts with establishing the jurisdiction over

01 13:15:39 the supplemental claim. Then you need to establish
02 13:15:43 the violation of the competition law provisions or
03 13:15:46 REMIT, and then you have to identify the applicable
04 13:15:50 law. And as I will further
05 13:15:52 demonstrate, claimant struggles at each of
06 13:15:56 these stages. Now, if you can move to the next slide,
07 13:16:00 the 1st
08 13:16:01 point concerns the jurisdiction over the supplemental
09 13:16:03 claim. In general, whether the
10 13:16:05 supplemental claim is covered by the arbitration
11 13:16:08 agreement or not. To clarify from the beginning,
12 13:16:12 respondent and I
13 13:16:13 think we emphasised it also in our legal
14 13:16:15 submissions,
15 13:16:16 does not challenge the tribunal's jurisdiction or one
16 13:16:19 of the invalidity grounds, which is that respondent
17 13:16:24 allegedly abused its dominant position. This is not
18 13:16:27 the part of our documentation. We challenge the
19 13:16:31 tribunal's jurisdiction only with respect to the supplemental claim, which relates to
the rise
20 13:16:36 in the TTF price index. Now, claimant's
21 13:16:40 position in this respect was
22 13:16:42 supported by the expert report of Dr Koller and
23 13:16:47 Dr Koller, inter alia, commented on the criteria of a
24 13:16:51 defined legal relationship which is contained both in
25 13:16:54 Austrian law and in the New York Convention. And what

01 13:16:57 is very important in the present case is that
02 13:17:00 this
03 13:17:01 criterion applies irrespective of the European
04 13:17:04 convention, which indeed does not require the
05 13:17:07 legal relationship to be defined. This is because
06 13:17:11 clause 14 in the contract specifically refers to a
07 13:17:14 need for the arbitral award to be enforceable under
08 13:17:17 the New York Convention. Now, Dr Koller suggested that this test would be
09 13:17:22 met because clause 14 relates to the parties business
10 13:17:26 relationship. Respectfully, this is incorrect.
11 13:17:30 As
12 13:17:30 Dr Koller
13 13:17:31 admitted during his
14 13:17:33 cross-examination, the GTA, which is the gas
15 13:17:36 transportation agreement, also relates to the parties
16 13:17:40 business relationship. Yet the gas transportation
17 13:17:44 agreement includes a
18 13:17:44 totally different arbitration clause in a sense
19 13:17:46 that
20 13:17:46 one of the substantial elements, the seat of
21 13:17:49 arbitration, is different. That is Switzerland. Now
22 13:17:54 the. What claimant would need to determine if
23 13:17:57 you
24 13:17:57 decide that the defined legal relationship cannot be
25 13:18:01 simply a business relationship, claimant would need to

01 13:18:04 determine a connection to the contract. At this
02 13:18:08 stage. Claimant also fails because the doctor
03 13:18:10 caller's report does not support its position in this
04 13:18:13 respect, as acknowledged by Dr Koller during
05 13:18:17 his cross-examination, he bases his position on the
06 13:18:21 understanding of the claimant's claim as referring to
07 13:18:25 the contract price. Nevertheless, claimant's claims
08 13:18:28 do not refer to the contract price when the
09 13:18:31 supplemental claim was filed. Initially,
10 13:18:34 the
11 13:18:34 supplemental claim did mention that the
12 13:18:37 damages that are sought are connected to the
13 13:18:39 difference in the contract price. Nevertheless, it
14 13:18:42 was later abandoned and therefore
15 13:18:45 the current claims as they're currently formulated,
16 13:18:48 have no connection to the contract price or to other
17 13:18:50 provisions of the contract. The authority, which
18 13:18:55 doctor colon mentioned in this
19 13:18:58 respect cw911, which is a decision of the Austrian
20 13:19:00 Supreme Court of 2000 of of 2020, concerned a
21 13:19:08 situation where a party claimed that the abuse
22 13:19:10 of
23 13:19:11 dominance resulted in the conclusion of the contract, and this
24 13:19:14 is manifestly
25 13:19:15 different from the claimant's claims in the present

01 13:19:17 case. If you can move to the next slide. The tribunal
02 13:19:23 heard detailed submissions from the
03 13:19:24 respondent in relation to the REMIT regulation during the opening submission. The
REMIT
04 13:19:30 regulation is distinct from the European
05 13:19:33 competition law, although claimant continues to
06 13:19:36 confuse those two sets of EU law. Now, the only point
07 13:19:41 which I probably need to add is that the claimant's
08 13:19:45 experts actually do concede that there
09 13:19:47 is no case law which would support either
10 13:19:50 the existence of positions of the Court of Justice,
11 13:19:53 which deals specifically with REMIT and which support
12 13:19:57 a possibility of private action, specifically under
13 13:19:59 REMIT, or they do not provide examples of any
14 13:20:04 decisions of arbitral tribunals or national courts on
15 13:20:08 enforcement of on private enforcement of damages
16 13:20:11 connected to the REMIT breach. Absent the decision of
17 13:20:15 the national regulatory authority and in the
18 13:20:18 present
19 13:20:18 case, the respondents breach of
20 13:20:21 REMIT has not been established by any competent and
21 13:20:24 array. Moving to the next slide. Just a brief recap.
22 13:20:32 There are also several layers
23 13:20:34 to establish abuse of dominance under
24 13:20:37 article 102. And if you could proceed further, I will
25 13:20:40 just focus on some points which seem to be most

01 13:20:44 discussed during the evidentiary hearing. So 1st of all, the issue of the
02 13:20:49 relevant geographic market respondent maintains its
03 13:20:52 position that this is Croatia and as
04 13:20:55 explained by Prof Dr Hildebrand during the hearing,
05 13:20:58 there is an
06 13:20:59 established practice of the commission which includes,
07 13:21:03 I think, one of the most popular decisions during
08 13:21:05 those hearings, the Gazprom decision of 2018. There
09 13:21:09 is Dr Riechmann, the claimant's expert, provided no
10 13:21:13 conclusive case law where the commission would reach a
11 13:21:17 conclusion that, in fact, the geographic
12 13:21:20 market would be larger than national. The only case
13 13:21:23 which was referenced by Dr Riechmann in this respect. In that particular case, the
definition of
14 13:21:29 the geographic market was specifically
15 13:21:31 left open. So this case is irrelevant. And in
16 13:21:34 fact,
17 13:21:34 this tribunal is indeed suggested to be the 1st body which reaches reaches a
conclusive
18 13:21:40 finding of a geographic market which is larger than
19 13:21:43 national. With respect to the economic analysis,
20 13:21:46
21 13:21:46 Dr Riechmann accepted that he did not actually see swap
22 13:21:50 agreements
23 13:21:51 between Croatian and Hungarian parties, other than
24 13:21:54 those agreements which were
25 13:21:55 presented to him by PPD. He also admitted that it

01 13:21:59 would not be alone sufficient to integrate the
02 13:22:03 markets. And finally, he admitted that the swap
03 13:22:06 agreement does not add volumes in either country.
04 13:22:11 Further, Dr Riechmann admitted. Can we see the
05 13:22:16 presentation still? Because I can't.
06 13:22:19 MR HOLLAND: See.
07 13:22:19 MS SOLDATENKOVA: Can we please resolve it? Oh, it's back. And the
08 13:22:32 last point, which I probably wanted to make in
09 13:22:35 this respect, is that the dispute between the experts in relation to the pricing of PPD
contracts in Croatia
10 13:22:41 and Hungary hinges on data which was provided
11 13:22:44 by PPD. The data on the difference between different
12 13:22:48 PPD contracts and this data cannot be verified by this
13 13:22:53 tribunal or by respondents experts because the
14 13:22:57 contracts. As with the dataset on which claimant
15 13:23:01 basis damages were not attached to claimant
16 13:23:04 submission. Moving to the next point, which concerns
17 13:23:09 the relevant product market, the key issue in relation
18 13:23:13 to the relevant product market, if you could go to the next slide. The key issue
19 13:23:22 seems to be the application of the
20 13:23:25 SSNIP test and whether there are any other
21 13:23:27 approaches which could be applied instead of the sniff
22 13:23:30 test. Now, the sniff test, which was suggested by
23 13:23:34 Dr Riechmann, is in fact, and Dr Riechmann admitted it, although he
24 13:23:38 later took his words back to a certain
25 13:23:40 extent during the cross-examination. But the SSNIP

01 13:23:42 test can clearly be seen from the market definition.

02 13:23:46 Notice is not the only appropriate evidence to

03 13:23:50 determine the unity between different products. What Dr , Prof Dr Hildebrand
applies is historical

04 13:23:58 substitution between PNG and LNG, and the

05 13:24:02 market definition. Notice clearly says that this approach where

06 13:24:06 you rely on the substitution during different

07 13:24:09 shock events on the market, is one of the

08 13:24:11 types of

09 13:24:11 the

10 13:24:11 acceptable evidence. Dr Riechmann acknowledged that

11 13:24:17 in 2022, the gas market experienced a shock. Now,

12 13:24:22 moving to the next point, even if we consider the SSNIP test conducted by

13 13:24:27 Dr Riechmann, in fact, it

14 13:24:30 supports substitutability between LNG and PNG climate

15 13:24:33 demonstrated the very same figure. Now, what I invite

16 13:24:36 the tribunal to consider is when you look

17 13:24:40 at

18 13:24:41 this line, is the majority of this line under the this

19 13:24:45 blue section on the graph, or is it above? I

20 13:24:49 think the answer to this question is very

21 13:24:50 clear, and this demonstrates that in most situations, prices for

22 13:24:57 LNG were in fact within a margin of 5 per cent

23 13:25:01 difference with PNG, and on many occasions they were

24 13:25:05 even lower than prices for PNG. And this is in fact

25 13:25:09 the key takeaway from this graph. Now, moving to

01 13:25:12 the

02 13:25:13 next point in this respect concerning

03 13:25:16 Dr Reichman's methodology for assessing respondents

04 13:25:18 market share. It was partially touched

05 13:25:23 upon in the claimant's presentation. What is the

06 13:25:26 appropriate size of the market? Because of course, the

07 13:25:28 respondents share would depend on this

08 13:25:31 determination. Now, what Dr Riechmann does he

09 13:25:35 considers the downstream volumes or what appears to be

10 13:25:38 downstream volumes per Prof

11 13:25:41 Dr Hildebrandt's

12 13:25:41 conclusions. Where is Prof?

13 13:25:43 Dr Hildebrand relies on upstream volumes

14 13:25:47 which reflect actual retail demand, plus commercial

15 13:25:51 sales between wholesalers. Now, there was a point

16 13:25:53 raised by

17 13:25:54 the opposing party concerning the alleged speculation, which is inherent

18 13:26:00 in this type of analysis, because the more

19 13:26:02 there are trades, as it suggests, the bigger would be

20 13:26:06 the market size. Well, I would respectfully disagree

21 13:26:09 with this

22 13:26:09 because of course, if you compare the VTT Croatia and

23 13:26:13 TTF price in the Netherlands, the difference would be

24 13:26:17 quite dramatic. And in fact, historically, TTF was

25 13:26:20 not always a separate market. It evolved into

01 13:26:24 becoming a separate trading market when it became the
02 13:26:27 most liquid hub in Europe. It's very hard to
03 13:26:31 compare
04 13:26:31 the most liquid hub in Europe with
05 13:26:35 VTT Croatia, with all due respect, but
06 13:26:38 evolutionary, if you consider the evolutionary
07 13:26:40 approach in the future, maybe if there are more traits
08 13:26:43 in Croatia, at a certain point in time, VTT Croatia
09 13:26:46 could become a separate market. But this is not the
10 13:26:49 current point of development of VTT Croatia and HERA
11 13:26:53 HERA, the national regulator for Croatia, confirms
12 13:26:57 this approach. Now, if we could move, can we go back for a
13 13:27:02 moment? Another issue which is particularly relevant
14 13:27:05 in relation to the dispute between the two experts is reliability
15 13:27:10 of Dr Riechmann's market share
16 13:27:12 calculations. During the cross-examination. Dr Riechmann.
17 13:27:18 Dr Riechmann reviewed the data presented in his exhibit CWS
18 13:27:25 598,
19 13:27:26 which provides information on different sources of
20 13:27:28 supply to Croatia. What
21 13:27:30 appears from this
22 13:27:31 document is that in 2022, gas entered Croatia from 19 different
23 13:27:35 countries via so-called indirect LNG imports and from
24 13:27:39 a further five countries via direct LNG imports. At
25 13:27:42 the same time, the annual report by HERA for 2022

01 13:27:47 shows that LNG in Croatia originated from four sources
02 13:27:51 from four countries, to be precise, so there is a
03 13:27:55 clear contravention between the data which is used. A
04 13:27:58 clear contradiction between the data which is used by
05 13:28:01 Dr Riechmann or the results of the code that he uses,
06 13:28:06 and the position of the national regulator in Croatia.
07 13:28:10 Now, if you can move further, there's the tribunal can
08 13:28:14 see the difference in the market size, which claimant
09 13:28:17 considers to be dramatic. And what I would like to
10 13:28:20 emphasise is that the difference appears in 2021. So following the
11 13:28:24 opening of terminal. And this is
12 13:28:26 exactly what Prof Dr Hildebrand emphasised during her
13 13:28:30 cross-examination. Moving to the next
14 13:28:32 slide. I will briefly address the Dukic decision,
15 13:28:36 which was also relied upon by claimant. Contrary to what claimant
16 13:28:41 suggested, this decision lists four
17 13:28:43 cumulative
18 13:28:44 criteria for the definition of the market for
19 13:28:47 wholesale supplies of gas for Denmark, which was the
20 13:28:49 subject of consideration in
21 13:28:50 that case, and the 4th
22 13:28:52 and most critical criterion in that case was that to
23 13:28:56 be considered supplies of gas for Denmark, those sales
24 13:28:59 were supposed to satisfy the needs of
25 13:29:02 customers in

01 13:29:02 Denmark. And this is exactly the reason
02 13:29:06 why Prof
03 13:29:07 Dr Hildebrand treats the volumes which were
04 13:29:11 swapped,
05 13:29:13 which claimant swapped, which stayed in Hungary as volumes
06 13:29:17 contributing to the
07 13:29:18 supply in Hungary. Because this is exactly in line
08 13:29:20 with the definition in the Don case. And of course,
09 13:29:24 in that case there was no mention of the
10 13:29:27 physical
11 13:29:27 origin of the gas. Moving further, I will just keep those slides
12 13:29:32 because the purpose was just to illustrate the shares
13 13:29:35 as estimated by the experts. Perhaps if we
14 13:29:38 could pause here for a moment, if the tribunal looks
15 13:29:44 into the red box, I think on the right side of the
16 13:29:46 slide, the tribunal would see the results of the
17 13:29:49 calculation of the market share of the respondent,
18 13:29:52 even if Prof Dr Hildebrand adds the swapped amounts
19 13:29:56 artificially to the market share of the respondent in
20 13:29:58 Croatia. And as you can see there below the dominance
21 13:30:02 threshold. And perhaps one last point in this respect
22 13:30:05 is that it is incorrect to suggest that
23 13:30:09 Prof Dr Hildebrand does not take into account the indirect sales. In fact, she does,
24 13:30:13 because she attributes all PGNiG in Croatia to the
25 13:30:16 respondent's market share. So this is a very

01 13:30:19 conservative approach. I would say. Moving further. The key point in relation to the substance

02 13:30:26 of the violation is that claimant allergies,

03 13:30:29 abuse on a different market. Dr Riechmann confirmed

04 13:30:33 in the joint experts' statement that gas

05 13:30:36 trading is a

06 13:30:36 distinct and separate product market. As I mentioned,

07 13:30:39 there is no contradiction in relation to TPH because

08 13:30:42 TPH is certainly much more involved

09 13:30:45 evolved than VTP and Croatia and of course, VP in

10 13:30:48 Croatia can follow the same destiny in the future but quite

11 13:30:52 distant future. And in the present

12 13:30:56 case, Dr Riechmann confirmed that

13 13:30:57 he did not make any determination for Croatia and

14 13:31:00 Hungary. He made a determination for Croatia and

15 13:31:04 Hungary only, but not for Dutch TTF price. So the

16 13:31:07 dominance of the respondent at the Dutch

17 13:31:10 TTF has not been moving further. We can probably skip skip this. Madam

18 13:31:21 Chair, how much time do I have left? 2

19 13:31:24 minutes. Okay.

20 13:31:25 MR HOLLAND: 3. 3.

21 13:31:26 MS SOLDATENKOVA: Yes. I will just briefly address the

22 13:31:30 modification and why modification is not unlawful.

23 13:31:33 If. Even if the tribunal establishes an abuse of

24 13:31:36 dominance. Well, 1st of all, before the tribunal can

25 13:31:40 even establish that abuse of dominance, which claimant

01 13:31:43 allergies the tribunal would need to consider. The
02 13:31:46 state action defence which respondent raised in the
03 13:31:48 present case. Now the doctrine. This doctrine
04 13:31:52 applies under article 102 of the treaty, and it
05 13:31:56 also applies to states outside the European Union.
06 13:31:58 If you move to the
07 13:32:00 next
08 13:32:02 slide. The tribunal can see a brief
09 13:32:04 summary of PPD arguments why this doctrine does not
10 13:32:06 apply, and basically what PPD suggests that there was
11 13:32:09 a margin of discretion with
12 13:32:11 which we disagree, for the reasons which were
13 13:32:13 explained by my colleague. And the same goes to the
14 13:32:16 exemption which was covered during the opening. If we
15 13:32:19 move further, there is also a civil law point, so to
16 13:32:23 say why this argument cannot be raised. The reason for this is that for the 1st
17 13:32:28 time,
18 13:32:29 claimant raised this ground for invalidity
19 13:32:31 of the modification on the 23rd of
20 13:32:35 December 2022. There is, as a tribunal
21 13:32:37 should be now aware, claimant had alternative
22 13:32:40 sources of supply starting from at least
23 13:32:44 November 2022.
24 13:32:45 So even if there was any abuse of
25 13:32:47 dominance with the claimant, certainly

01 13:32:49 claimant was no longer dependent on the respondent. In
02 13:32:54 November 2022. Now, if you can
03 13:32:57 just scroll further. Perhaps one
04 13:33:03 last point before I pause. So Mr Fulvus
05 13:33:05 counterfactual model was something which was heavily
06 13:33:08 relied upon by claimant as claimant suggested,
07 13:33:12 like the only model of the market situation which would show that respondent is for
08 13:33:18 some
09 13:33:18 reason
10 13:33:18 responsible for the price developments on the market.
11 13:33:20 Now, what's really important to consider about that
12 13:33:23 model was in fact admitted by Mr Fulwood is that this
13 13:33:26 is not a counterfactual against respondent.
14 13:33:29 This is a
15 13:33:30 counterfactual with respect to volume deficit on the
16 13:33:33 market in general. So even if 10 bcm would
17 13:33:37 come
18 13:33:37 not from the respondent but from some other parties,
19 13:33:41 say
20 13:33:41 from LNG supplier from Asia, well, the
21 13:33:45 result would be the same because under
22 13:33:48 Mr Fulford's model 10 bcm decreases the
23 13:33:51 prices. And it doesn't matter whether this comes from
24 13:33:54 the respondent or from the claimant. And there is a
25 13:33:57 separate slide. But I will pause here which explains
26 13:34:00 that actually none of the experts which were engaged

01 13:34:03 by claimant on this matter and tasked with different
02 13:34:05 aspects of its supplemental claim, none of those
03 13:34:10 experts established an abuse of dominance or a
04 13:34:12 breach.
05 13:34:13 All of them just considered an impact or an effect of
06 13:34:17 the respondent's conduct on the market. This would end my submission due to time
07 13:34:21 constraints, but further in this
08 13:34:22 presentation, the tribunal can see
09 13:34:24 some additional details on
10 13:34:25 competition law claim and some slides on damages,
11 13:34:28 which I think we discussed so extensively that I
12 13:34:30 wouldn't even go there today.
13 13:34:32 MR HOLLAND: Thank you very much, counsel, for this
14 13:34:35 presentation. We will now take as. Decided to take a. It says
15 13:34:47 20 minutes. Let's. We. We want to have the lunch
16 13:34:57 break. How would the parties want to to continue. Do you
17 13:35:03 want to have a one-hour break before we meet
18 13:35:07 again?
19 13:35:08 As you can see, respondent is of the opinion that
20 13:35:12 lunch break is appropriate now. Claimant.
21 13:35:14 MR HAUGENEDER: We have no objection against that.
22 13:35:16 PRESIDENT: Very good then. And we're very happy to have
23 13:35:19 a lunch break now, but let's make it maybe 45
24 13:35:22 minutes. Okay. 1 hour, one hour, one hour. We will resume at 235. 235.
25 13:35:31 MR HAUGENEDER: Madam President, yes. Before we we we

01 13:35:35 take the break, we would just like to put one thing on
02 13:35:41 the record during Mr c's presentation, there were
03 13:35:46 various statements and accusations about orchestrating
04 13:35:50 witness
05 13:35:50 evidence, manipulating the evidence intentionally
06 13:35:56 misleading the tribunal. We reject these accusations in the
07 13:36:03 strongest terms, and we find the language that was used totally inappropriate
08 13:36:11 and unnecessary.
09 13:36:15 PRESIDENT: Respondents reply and statement is duly
10 13:36:19 noted. Claimants. Claimants. Thank
11 13:36:24 allergies.
12 13:36:25 Thank you. 13235.
13 14:33:05 PRESIDENT: So welcome back. We're now opening a
14 14:33:07 procedural hearing procedural conference. This is
15 14:33:11 mismanagement
16 14:33:11 conference number 3. If I'm not wrong, we have
17 14:33:14 two
18 14:33:14 matters on our agenda. First, tribunals questions. So
19 14:33:20 at this point, the tribunal has no questions to
20 14:33:23 share with the parties.
21 14:33:25 We are going to ask you questions as to
22 14:33:28 procedural matters. And there are two main. Items on
23 14:33:34 our agenda. First claimants, which I
24 14:33:36 used to call option three
25 14:33:38 application. Now it is called it is named

01 14:33:42 split award

02 14:33:43 application. So we will hear the claimant's

03 14:33:46 application in this respect and we'll hear the

04 14:33:50 respondents views. The 2nd point on the agenda is the post

05 14:33:56 post-hearing procedural steps

06 14:33:58 procedural matters. Those are

07 14:34:00 the two main items. But maybe, claimant, you have you

08 14:34:05 would like to add something to the

09 14:34:08 agenda.

10 14:34:08 PRESIDENT: No thank you.

11 14:34:10 MR TALANOV: Responded no thank you.

12 14:34:12 PRESIDENT: Claimant, would you like to start with the

13 14:34:16 split award application?

14 14:34:18 PRESIDENT: Yes.

15 14:34:19 PRESIDENT: You mentioned this morning, which is

16 14:34:21 maintained. We understand.

17 14:34:24 PRESIDENT: The. We refer to the application that we

18 14:34:26 already made and we maintain it. We. We maintain it for the, the, the

19 14:34:35 reasons we set out in, in the

20 14:34:38 application. In addition, we would like to stress the

21 14:34:45 following. If you. If you go to pages 139, 140, 141

22 14:34:57 and 143 of our of our presentation of today, this is the

23 14:35:01 table that we have already shared with the

24 14:35:05 tribunal. You will see how many variables there are. And some of

25 14:35:11 those, many of those

01 14:35:14 have been addressed

02 14:35:16 in the examination of the

03 14:35:18 experts. Now, we believe it is efficient and

04 14:35:29 fair for

05 14:35:29 the parties to allow to address them all aspects of quantum to 1st determine in a in a

06 14:35:40 1st award, which. So to say, on which side you decide for each of these variables,
because

07 14:35:50 otherwise in our post-hearing

08 14:35:52 submissions we will face the quite substantial problem

09 14:35:58 that we will have for any possible combination, we will

10 14:36:04 have to specify quantum because we don't know in

11 14:36:08 which direction you might go on on each of these

12 14:36:11 variables. So the matrix for a

13 14:36:15 decision on

14 14:36:16 quantum is is, is quite complex. And therefore we suggest that

15 14:36:23 it

16 14:36:24 is

17 14:36:25 efficient to 1st plead the. And decides the principles of of quantification

18 14:36:37 which we submit should be these

19 14:36:41 variables that that you see here. And then after that

20 14:36:45 has been determined in an award on liability and on principles of quantum

21 14:36:53 calculation to

22 14:36:56 actually submit the the. Full the full calculation of

23 14:37:04 the,

24 14:37:05 of of the quantum of the party's claims based on, on your decision,

25 14:37:10 because

01 14:37:11 otherwise we would be facing the, the
02 14:37:16 problem
03 14:37:16 that we would have to address all possible sorts of, of
04 14:37:22 combinations of, of quantum, which would take
05 14:37:28 significant time to address in, in post-hearing submissions and,
06 14:37:34 and will also
07 14:37:36 involve a lot of unnecessary work for the experts who
08 14:37:40 will,
09 14:37:41 will have to perform quantum calculations that ultimately will not be retained and
not be used in an
10 14:37:50 award. So we,
11 14:37:52 we suggest and submit that in addition to the
12 14:37:58 fairness and, and due process arguments that we have
13 14:38:01 already submitted, and I'm not going to repeat them
14 14:38:02 here. But in addition, in addition to this efficiency
15 14:38:08 considerations militate in favour of of having this split award
16 14:38:15 and
17 14:38:15 then in a, in a 2nd phase update, the quantum calculations
18 14:38:22 based on the 1st decision, only submit an updated
19 14:38:31 quantum calculation for this 2nd phase and then have an award on quantum, which
we believe will be
20 14:38:41 this. This will involve significantly less effort because it will. It
21 14:38:46 basically only concerns the actual quantification.
22 14:38:49 The experts may still disagree on how to calculate
23 14:38:54 certain parameters, but we believe that the the differences
24 14:39:00 between the experts should be very, very
25 14:39:04 considerably narrowed down. If if this approach is

01 14:39:09 adopted.

02 14:39:13 PRESIDENT: Let me ask you two questions. First

03 14:39:19 question. At this point in time, have those.

04 14:39:24 Have the experts on quantum completed a full determination or

05 14:39:31 assessment of the quantum.

06 14:39:34 MR HAUGENEDER: They have, but not. Of course not. Not

07 14:39:38 for all variables, because the experts have retained

08 14:39:42 those

09 14:39:43 choices which they were of the opinion are

10 14:39:48 appropriate. So if there is a full quantification of our of all

11 14:39:52 our claims on the record, and sometimes there are also

12 14:39:57 alternative calculations. But what is not on the record is

13 14:40:02 a full alternative calculation of all

14 14:40:06 possible combinations, because that is simply too

15 14:40:08 complex.

16 14:40:10 PRESIDENT: The 2nd point is this becomes relevant

17 14:40:15 when the tribunal reaches the point of examining the

18 14:40:22 disputed quantum parameters. That means, in the work

19 14:40:27 of the tribunal, whether

20 14:40:30 it is reasonable or fair or appropriate to split the

21 14:40:36 dispute into two awards, it is to be actually examined

22 14:40:44 upon the determination of any principles or of

23 14:40:52 liability and entitlement to damages. What you're

24 14:40:56 asking us to do, if I understand, is

25 14:40:59 to make a determination on a split award before we

01 14:41:06 receive the posturing submissions and before we

02 14:41:11 actually deliberate on jurisdiction liability and

03 14:41:14 quantum.

04 14:41:16 MR HAUGENEDER: We we suggest that the tribunal makes a

05 14:41:21 decision in principle on, on, on the split award

06 14:41:25 application as soon as possible. And we would suggest within 28

07 14:41:30 days,

08 14:41:33 because that will not not whether not not on the

09 14:41:37 determination of, of, of the the the substance, but simply on whether the post-hearing

10 14:41:48 briefs should deal

11 14:41:49 with

12 14:41:52 issues of

13 14:41:58 liability and principles of quantum, and then leave out the

14 14:41:59 actual

15 14:42:03 calculation, the actual determination, or whether the

16 14:42:07 post-hearing briefs should deal with all aspects of

17 14:42:11 the case, because that would be a quite significant task,

18 14:42:15 because then we would have to not only address all

19 14:42:17 these variables, but we would also have, and the

20 14:42:24 experts would also have to submit a detailed

21 14:42:31 calculation of all possible combinations of, of,

22 14:42:31 of

23 14:42:31 parameters.

24 14:42:44 PRESIDENT: Okay. You have answered my my 2nd question.

25 14:42:46 So I had two questions, but you have answered my 2nd

question. Before we hear the respondent, let me

01 14:42:52 invite my co-arbitrator if they have any questions,
02 14:42:56 because what you're asking us is to make, within the coming weeks,
03 14:43:02 a determination on split of issues to be
04 14:43:08 determined without having examined the posturing
05 14:43:13 submission, without the benefit of the
06 14:43:16 post-hearing
07 14:43:16 submissions, because you need that determination, if I
08 14:43:20 understand your views correctly, to complete to
09 14:43:25 determine whether you are going to deal
10 14:43:27 with this in your post-hearing submissions.
11 14:43:30 MR HAUGENEDER: We are going to deal with the principles
12 14:43:33 of quantum calculation. In any event in the
13 14:43:38 post-hearing submissions, what would be an
14 14:43:44 additional significant effort is
15 14:43:48 not only to decide on the principles, but also to
16 14:43:53 actually calculate the numbers for each possible
17 14:43:58 combination. Because what we have so far is a calculation of
18 14:44:04 our claim, where certain certain of these parameters are
19 14:44:10 decided in one or the other direction, and the parties
20 14:44:13 disagree on those points. So we believe the the actual calculation. If you,
21 14:44:20 for instance, say on this point I go with the
22 14:44:22 respondent
23 14:44:23 on this, I go with the claimant, then it will be
24 14:44:28 very
25 14:44:29 difficult for the tribunal, we believe, to make an

01 14:44:33 actual calculation of the outcome.

02 14:44:36 PRESIDENT: Then this is clear. Let's hear the

03 14:44:38 respondent.

04 14:44:39 MS SOLDATENKOVA: Members of tribunal. We maintain our

05 14:44:41 objection to this application, which should properly

06 14:44:44 be qualified as a bifurcation application, because

07 14:44:46 there is no separate notion of a split award, and

08 14:44:49 □202603270117 there are several points in this respect which give

09 14:44:51 rise to our objection. First of all, just a

10 14:44:54 procedural observation. This is the 2nd bifurcation

11 14:44:57 application which is submitted by the claimant very

12 14:45:01 shortly before before the tribunal proceeds to

13 14:45:04 actually start considering the dispute to render the final award. The previous

14 14:45:09 application, as the

15 14:45:10 tribunal would recall, was made

16 14:45:12 shortly before the CMC on the 17th of February 2026, and

17 14:45:17 the basis was completely different. The basis was

18 14:45:19 that claimant was concerned. Claimant

19 14:45:23 was concerned about the prospects of annulment of the

20 14:45:26 arbitral award, and for that reason, claimant

21 14:45:28 asked the tribunal to render an arbitral

22 14:45:31 award without quantum specifically to be able to seek annulment of that award
without paying

23 14:45:38 an elevated

24 14:45:39 court fee. Now the base is shifted. Now the basis seems to be the issue

25 14:45:43 of quantum solely, and

01 14:45:45 there is quite a detailed submission in the slides
02 14:45:47 in
03 14:45:47 this respect. And this brings me to the 2nd point,
04 14:45:51 which is that this further application still does not
05 14:45:55 meet the grounds for
06 14:45:57 bifurcation, which are primarily cost
07 14:46:00 efficiency and procedural efficiency and time efficiency. And in the present case,
08 14:46:07 these proceedings have been running
09 14:46:09 for quite a lot of time,
10 14:46:14 so to say, and the parties have exchanged substantial number of submissions,
11 14:46:18 and the experts have prepared a joint
12 14:46:20 statement both on the contract limb and in the claim.
13 14:46:23 So the experts had an opportunity to try to reach
14 14:46:23 an
15 14:46:26 agreement. But the experts, as the tribunal could
16 14:46:26 see, could not reach an agreement on many issues.
17 14:46:29 And
18 14:46:29 the problem here is inherent within the claimant's proposal that in every arbitration,
19 14:46:36 the experts would have
20 14:46:36 different views on the methodology and on the
21 14:46:38 quantum. This is completely natural and this is not
22 14:46:41 a
23 14:46:42 reason to bifurcate the proceedings. After all, the
24 14:46:45 associated
25 14:46:45 costs were already incurred
26 14:46:48 and we also we share the concern that if the tribunal
27 14:46:52 is to determine the bifurcation issue before

01 14:46:54 considering the post-hearing briefs, which would definitely reflect the evidence
02 14:46:59 given during these hearings, that would
03 14:47:01 clearly be prejudicial and generally, we do not see a
04 14:47:07 basis here for any split award. Now, as I mentioned,
05 14:47:12 the experts try to reach agreement on methodology.
06 14:47:15 They try to reach agreement
07 14:47:17 on quantum essentially, but the experts hold their views. Maybe
08 14:47:22 my colleague has something to add.
09 14:47:24 MR TALANOV: Yes. There is just one more issue that I
10 14:47:28 think should be relevant and it has has been just
11 14:47:32 emitted already by the counsel for the claimant.
12 14:47:37 There has
13 14:47:38 already been all calculations made and they are
14 14:47:40 already on the record. And therefore, even if the
15 14:47:45 experts would have any guidance as to the same
16 14:47:49 principles as the claimant calls it, it will not change the
17 14:47:53 calculations effectively. And I am afraid
18 14:47:56 that yet again, those issues of economic
19 14:48:02 expertise is
20 14:48:03 not something that the tribunal may
21 14:48:08 decide on itself. I mean, without the assessment
22 14:48:11 of those reports that are already on the record.
23 14:48:15 So
24 14:48:15 to our understanding, both teams of experts
25 14:48:19 have provided all possible evidence and documents and

01 14:48:24 all calculations they considered possible, available.

02 14:48:28 And therefore, in this format, we really don't see any

03 14:48:32 value in doing that to the benefit of the tribunal.

04 14:48:35 MS SOLDATENKOVA: Sorry, I forgot two additional points

05 14:48:37 in this respect. So the tribunal would also recall

06 14:48:40 that there was a

07 14:48:40 bifurcation application from the respondent at the

08 14:48:43 outset of this proceedings, and we believe that that

09 14:48:45 was the appropriate moment to also submit a request to

10 14:48:48 have a split award or essentially bifurcation

11 14:48:52 application. This is usually determined at the

12 14:48:54

13 14:48:55 outset, and in relation to the potential concern

14 14:48:57 that the

15 14:48:57 tribunal would not have a number to include into

16 14:49:00 the award, because the tribunal chooses a methodology which was not calculated, it's

17 14:49:06 not a reason to split

18 14:49:07 the award. The tribunal could potentially invite the parties to make

19 14:49:10 a submission on this very limited

20 14:49:12 basis, to basically provide a calculation that

21 14:49:16 probably ends the points which we wanted to raise.

22 14:49:23 PRESIDENT: Well, I have two questions. The claimant has

23 14:49:27 referred to the table of disputed quantum parameters,

24 14:49:30 which been made available to everyone since the last

25 14:49:35 hearing on February 17. Do you have any comment on on these disputed this list of
disputed quantum

01 14:49:45 parameters. Do you agree or do you
02 14:49:49 disagree on each of these heads of items under each
03 14:49:52 head of claims and counterclaims? Thus, these are relevant
04 14:49:59 disputed parameters.

05 14:50:03 MS SOLDATENKOVA: Members. We did not participate in the
06 14:50:07 so to say, preparation of the table. We did not until
07 14:50:10 today know that that would be the basis basically for
08 14:50:13 the new bifurcation application. So we did
09 14:50:15 not review it. I would say to a sufficient
10 14:50:17 extent to comment on it immediately.

11 14:50:20 PRESIDENT: Because this was submitted together with
12 14:50:23 option three, you remember. So that was a bit
13 14:50:25 understand that on 17 of February it was not you had
14 14:50:31 no chance to review it. Now the the application is
15 14:50:35 maintained today. So what is important at some stage
16 14:50:41 is to the tribunal to know whether on each of these
17 14:50:45 items you agree or you disagree, that these are
18 14:50:49 disputed quantum
19 14:50:50 parameters that needs to be addressed by the tribunal.

20 14:50:52 Now, I understand it was prepared by claimant,
21 14:50:59 but at some point we need some
22 14:51:01 methodology
23 14:51:01 within the tribunal. So you may disagree
24 14:51:04 as to whether these parameters should
25 14:51:06 be decided in

01 14:51:09 later or at a earlier, but you may have a view on what is
02 14:51:15 supporting the
03 14:51:15 claimant's application. Maybe it's too early this
04 14:51:18 afternoon, but so that that is a
05 14:51:23 question the tribunal
06 14:51:24 has.

07 14:51:25 MS SOLDATENKOVA: So we are ready to comment if that is
08 14:51:28 helpful to the tribunal on this table in more detail,
09 14:51:31 but we would prefer to do this in writing if possible.

10 14:51:33 But I I'm actually told by the expert team of a very
11 14:51:37 important point that in relation to the calculation,
12 14:51:39 the general concern that claimant raises, that in
13 14:51:42 fact, those workbooks, the workbooks which experts
14 14:51:46 submit together with their reports, those Excel
15 14:51:48 sheets, they have an option where you can adjust the
16 14:51:51 calculation depending on different parameters. So
17 14:51:54 basically, if the tribunal disagrees, for example,
18 14:51:57 with one element of the methodology, it can simply
19 14:52:00 switch in this Excel sheet, this parameter, it can
20 14:52:03 switch it off, or it can apply an additional parameter. Essentially the workbooks, at
21 14:52:09 least on our
22 14:52:10 side, I understand already provide for this option.

23 14:52:19 PRESIDENT: The 2nd point I would like to ask you has to
24 14:52:23 do with the timing of the tribunal's decision, because
25 14:52:26 the tribunal will have to make a determination on

01 14:52:29 whether to to render a partial award and to split the
02 14:52:35 final decision into one or two award. I mean, to to
03 14:52:38 split it or not. What is your view on the timetable
04 14:52:46 submitted on slide 137? That was just explained to
05 14:52:51 the tribunal.

06 14:52:52 MS SOLDATENKOVA: Just a moment. We will double-check
07 14:52:54 the data.

08 14:52:59 MR TALANOV: So the proposal of the claimant is for that
09 14:53:02 to be determined within 28 days, as we understand.

10 14:53:06 Well, as we said, we believe it would be prejudicial
11 14:53:10 to decide that prior to the post-hearing submissions
12 14:53:14 filed, and we believe that the parties could
13 14:53:19 potentially try to reach some solution or maybe narrow
14 14:53:23 down the issues on that and have that filed together
15 14:53:27 with the post-hearing submissions potentially, and
16 14:53:30 then afterwards, the tribunal, in any case, can make
17 14:53:34 directions to the parties that it deems necessary if
18 14:53:37 something would be missing.

19 14:53:39 So that could
20 14:53:39 be an
21 14:53:42 option.

22 14:53:44 PRESIDENT: Reply. Do you have any questions?

23 14:53:46 MR HAUGENEDER: I'm just not certain if you would be so
24 14:53:49 kind to perhaps re-explain your proposal. I'm not
25 14:53:52 sure I fully understood its content, so.

01 14:53:57 MR TALANOV: I believe that the post-hearing submissions
02 14:54:01 shall be prepared together with the post-hearing
03 14:54:03 submissions, parties can explain further views and
04 14:54:08 proposals with respect to this issue. And in
05 14:54:12 parallel, while preparing the post-hearing
06 14:54:14 submissions, the parties may try to reach some common
07 14:54:18 ground and try propose some common vision of this kind
08 14:54:23 of a table or methodology, as we call it. And then
09 14:54:27 having observed the post hearing submissions and that
10 14:54:30 additional document, the tribunal may call a CMC or
11 14:54:35 decide how to proceed best further.
12 14:54:38 PRESIDENT: Claimant.
13 14:54:39 MS SOLDATENKOVA: Thank you.
14 14:54:40 MR HAUGENEDER: First of all, to to clarify, we have made
15 14:54:45 the application long ago and also this table is long
16 14:54:51 before the tribunal and also the respondent has this
17 14:54:54 table for some time. So this is still the same
18 14:54:57 application. This is not a new application. And and
19 14:55:00 we believe it could have been addressed. And I think
20 14:55:04 that was the initial planning of the tribunal.
21 14:55:11
22 14:55:11 Second, the absence of agreements on the parameters between
23 14:55:19 the experts and the parties is actually, in
24 14:55:23 our view, a reason why the the proposed approach is
25 14:55:29 reasonable, because it is true. Part

01 14:55:34 experts sometimes often disagree on on methods and
02 14:55:39 principles as well as on calculation. But there are few
03 14:55:44 cases where there are so many parameters which are so
04 14:55:50 difficult to determine. Third, there is we do not fully understand how the. How
05 14:56:02 how the respondents proposal should work in practice
06 14:56:05 because if we now make if we now make a submissions on liability and quantum
07 14:56:19 principles and. The tribunal
08 14:56:25 should then give directions what to calculate. This is, in
09 14:56:27 essence a
10 14:56:32 decision on. On the substance of these disagreements between the parties so that we
11 14:56:33 believe
12 14:56:33 can as well
13 14:56:38 be
14 14:56:42 made in an award. And it will then also have the the, the
15 14:56:47 additional benefit that this issue is then
16 14:56:56 determined and may not be reopened because it is
17 14:56:59 Decatur. And lastly, on complexity, we strongly disagree
18 14:57:04 that that it would be possible for the
19 14:57:09 arbitral tribunal to calculate the. The quantum based
20 14:57:13 on the workbooks submitted by the experts and
21 14:57:16 Mr Holland will address you on this point further.
22 14:57:20 MR NEFEDIEV: We have two points to make on complexity in
23 14:57:24 a billion dollar gas dispute. And could we 1st go to
24 14:57:28 one of the documents that the respondent admitted to
25 14:57:34 the record as a demonstrative. During this week's
hearing? It is RED-40. And what that is, is an
updated chart from the quantum

01 14:57:36 experts Fidem. And it was submitted for the purpose of showing what we
02 14:57:43 call a a waterfall. That is a way
03 14:57:52 of
04 14:57:52 showing on a graph the impact of different variables.
05 14:58:11 MR HAUGENEDER: We're trying to show the document.
06 14:58:38 MR HOLLAND: So this is the document to explain what this
07 14:58:40 is. This is an updated
08 14:58:44 worksheet to respondents. Quantum experts. Quantum
09 14:58:51 report. And the worksheet was submitted to allow
10 14:58:58 what
11 14:58:59 appears to be at 1st impression, a helpful way of showing the
12 14:59:07 interrelation between on the left-hand side,
13 14:59:12 Mr Way's calculation of the correct outcome on the
14 14:59:19 right respondents counter to that, and the steps
15 14:59:23 of
16 14:59:24 the different variables in. In order to get
17 14:59:28 there.
18 14:59:29 And I said that this seemed on 1st impression to be
19 14:59:35 helpful. But if you look at the small text underneath
20 14:59:43 this graph, it reads, for the avoidance of
21 14:59:46 double counting, the adjustments are presented with a
22 14:59:50 cumulative effect.
23 14:59:52 Therefore, the effect of each adjustment also includes the results of
24 14:59:56 the previous adjustment and may not
25 14:59:59 correspond to the individual effects, ie, without

01 15:00:04 other adjustments applied which were described in
02 15:00:07 the
03 15:00:08 in paragraphs above. And so this helps to explain how
04 15:00:14 hard it is to isolate the correct number when. In
05 15:00:21 order to arrive at that number, you take a series
06 15:00:25 of
07 15:00:25 decisions, one after the other, where the
08 15:00:29 sequence and
09 15:00:30 outcome of each binary choice is, is impacts on,
10 15:00:35 on,
11 15:00:35 on the other. And so even this table, which is the
12 15:00:41 height of the party's ability to assist you in
13 15:00:46 isolating the economic effect of the choices you must make, is incapable of telling
14 15:00:56 you, without help from
15 15:00:56 the
16 15:01:04 experts. Further, what the outcome of your sequence of
17 15:01:04 choices will be. So and
18 15:01:06 this is common in. In cases like this. And our 2nd
19 15:01:13 submission. By the way, this is that was obviously just one input.
20 15:01:20 It was one
21 15:01:21 element of the case. But if you go back to perhaps
22 15:01:26 the table from the opening this morning, our opening
23 15:01:30 this morning, supporting the split award. And a page 100 and. 40. So what, for
24 15:01:30 example, would be the effect of at row 10, deciding that the volume of gas
25 15:01:57 to calculate PPD's loss would be,
26 15:01:59 let's say, in
27 15:02:00 favour of respondent 86 per cent plus that damage.

01 15:02:07 Looking at row 14. Looking at the date of of assessment and the date of
02 15:02:16 discounting, let's say it was the date of the
03 15:02:20 award, which is what claimant
04 15:02:23 says. Plus, if you go down to row 16, that's on page 1 for 1
05 15:02:33 set of. So
06 15:02:34 let's say the set off applies, but not retrospectively
07 15:02:40 for example. And, and and so on and so forth. So the,
08 15:02:46 the the overall
09 15:02:50 ability to reach a
10 15:02:54 known number, a fee certain in this case,
11 15:02:59 without assistance from the experts and the parties.
12 15:03:06 Should not be underestimated. And we, we challenge respondents view that this part
13 15:03:17 of the
14 15:03:18 case could
15 15:03:22 proceed so smoothly when. For the last four
16 15:03:29 years there has been little agreement between them.
17 15:03:37 PRESIDENT: Let me ask you a question. On the parameters
18 15:03:47 that apply to the counterclaim. Which is on
19 15:03:53 slide 143. Loss of future profit item two
20 15:03:57 whether article 10 and 11 of the regulations are
21 15:04:01 applicable, such as no damage arise or whether the
22 15:04:04 mechanism becomes inoperative on 12 June as a
23 15:04:05 result
24 15:04:08 that no damage apply there. In that table.
25 15:04:09 There is
no reference to any expert quantum determination, is

01 15:04:14 there?

02 15:04:14 MR HOLLAND: Well, let's think about this. So if you

03 15:04:19 were looking at the counterclaim, the tribunal's

04 15:04:22 choice would be that the claimant was in breach of the

05 15:04:25 contract. And and so you would be considering whether

06 15:04:31 the claims were prevented or not to be satisfied. And

07 15:04:36 you would be considering other issues like that. But

08 15:04:40 you would also have, at least on one scenario. A

09 15:04:47 finding that there might be damages due under the

10 15:04:51 separate claims

11 15:04:51 under the market manipulation

12 15:04:54 claims.

13 15:04:54 Then even in that scenario, it would be

14 15:04:58 necessary to establish that amount, whether it

15 15:05:00 should be set off, the date of which set off

16 15:05:04

17 15:05:04 should, should apply, and so on. And so, whilst it

18 15:05:11 may appear that some of these are binary, there are

19 15:05:17 others that are not or force majeure. For example, when was force

20 15:05:21 majeure? The 1st of April is

21 15:05:25 contended

22 15:05:25 for. The 31st of October is contended for. The 19th

23 15:05:30 of January 2023 is contended for. And.

24 15:05:35 PRESIDENT: And that's a factual determination to be made

25 15:05:37 by the tribunal, is it not?

01 15:05:39 MR HOLLAND: It of course, but the quantum impact of that
02 15:05:44 may be relevant because if force majeure took took
03 15:05:47 effect on a certain date, damages would have accrued
04 15:05:51 and interest and on claim on respondent's case
05 15:05:54 penalties would have accrued and interest on the
06 15:05:57 penalties would have accrued and interest on interest.
07 15:06:00 PRESIDENT: Would I hear you on the interest point? But
08 15:06:03 we agree that, for example, on the counterclaim table
09 15:06:07 there's no reference to any expert disagreement on
10 15:06:13 quantum on the calculation of the quantum that might
11 15:06:15 have. There are implications, of course, on interest.
12 15:06:19 But in the table you provided. We don't see this.
13 15:06:23 MR HOLLAND: Well for the counterclaim where you'll have
14 15:06:25 heard our submissions that there is very. There is no
15 15:06:31 evidence on which the counterclaim should succeed.
16 15:06:36 The lost profits counterclaim, it's it's respondent's
17 15:06:40 burden. Were you to be looking at the counterclaim,
18 15:06:43 to have established the reasonable steps to mitigate
19 15:06:47 and to therefore have established the loss which can
20 15:06:51 be claimed under CISG 77 and so were you to find for
21 15:07:00 respondent in the scenario suggest you suggest if you
22 15:07:04 were not able to calculate that amount because of an
23 15:07:08 absence of data, not an absence of of mathematics, but
24 15:07:14 an absence of data, then that is a that is a different
25 15:07:18 matter.

01 15:07:18 PRESIDENT: I think. My, my, what I wanted to point to
02 15:07:22 is to try to identify in that tables disputed points
03 15:07:27 that were a matter of actually disputed quantum that
04 15:07:32 needed further elaboration rather than. Determination
05 15:07:42 of either entitlement or breach or entitlement to
06 15:07:47 quantum. So I try to to see where the fine line goes
07 15:07:51 as I see it, when there is a reference to the expert
08 15:07:55 report, it looks very clear to me. It looks less
09 15:07:59 clear when you refer to submissions, for which it
10 15:08:03 seems that you have not relied either party on quantum
11 15:08:09 expert determination for the calculation of these
12 15:08:11 issues. So that was all my my concern. So it seems
13 15:08:15 to apply for all the claims for historical damages,
14 15:08:21 future damages and GTA damages. If the line is less easy for me to
15 15:08:27 see for the market manipulation claim,
16 15:08:30 in view of the tables provided and the counterclaims that that that's when I when I
look at the references.
17 15:08:39 MR HAUGENEDER: Maybe maybe two observations on that 1st.
18 15:08:41 PRESIDENT: And then I'll invite, respond.
19 15:08:43 MR HAUGENEDER: On, on, on the claims. Of course, we
20 15:08:47 have provided these calculations and the calculations
21 15:08:50 are referenced in our submission. So we have not each
22 15:08:54 time made cross references to the experts position as
23 15:08:58 well. So if you go to the submission there, you will find
24 15:09:03 a
25 15:09:04 reference to the expert reports. And then as, as,

01 15:09:07 as we said before it, there are so
02 15:09:12 many combinations. For instance, if
03 15:09:14 you look at force majeure, the question is what legal
04 15:09:18 consequence it flows from from force majeure is can any party. And from when on,
can a
05 15:09:29 party claim damages. If there is
06 15:09:31 a force majeure
07 15:09:33 event and for which duration. So for
08 15:09:37 that we have. We. It is practically not possible to.
09 15:09:46 To make alternative calculations for all the possible
10 15:09:52 scenarios that could arise from the parties pleadings.
11 15:09:57 PRESIDENT: I have another question because it's a
12 15:10:00 follow-up question. Then we'll hear the respondent in
13 15:10:04 your option three application. I will read it here.
14 15:10:07 It was like 27. Sorry, I thought it was February, but
15 15:10:09 actually the hearing was on January 13. It is stated
16 15:10:14 on slide 27. Option three. The tribunal decides in a 1st award only all
17 15:10:21 liability issues under principles
18 15:10:24 of quantification, but not the actual quantum. The award on quantum is made after a
potential court review of the
19 15:10:34 1st award, and is
20 15:10:36 limited to the quantification of the monetary
21 15:10:41 claims.
22 15:10:41 So do you still maintain this as a ground for your
23 15:10:44 application?
24 15:10:45 MR HAUGENEDER: We still maintain this, but already in in
25 15:10:48 the last procedural hearing, we made the point that

01 15:10:53 this is a possibility to allow the parties to
02 15:11:02 factually make such a court to apply for such a court
03 15:11:05 review at at a reasonable cost, otherwise the costs
04 15:11:10 would be prohibitive. That having said that, nothing.
05 15:11:16 There is. We cannot predict whether any party will
06 15:11:20 make such a. A request to the courts. So this. The.
07 15:11:27 This split award would give the parties the
08 15:11:31 opportunity to make such an application to the courts.
09 15:11:37 But of course, the decision as to whether to proceed
10 15:11:41 with the arbitration and when to proceed is entirely
11 15:11:46 yours and is within your control. But the parties
12 15:11:49 would. Both parties would have the opportunity to make
13 15:11:55 the. To to apply to the courts and not have to pay exorbitant court fees, but that that
14 15:12:05 that is a fairness argument. But we also submit that these
15 15:12:12 efficiency
16 15:12:14 arguments that we
17 15:12:15 have now submitted are
18 15:12:17 also. And on top of that, compelling.
19 15:12:21 PRESIDENT: Thank you. This is clear responded.
20 15:12:24 MR TALANOV: Yes, I would start a few points that I
21 15:12:27 wanted to make in response to the arguments by the
22 15:12:32 learned colleagues. There was a reference to this
23 15:12:36 document Mr Holland was showing. However, I would
24 15:12:40 need to refer to a document called r30380. It is not
25 15:12:46 only that demonstrative that is there, but it also

01 15:12:50 gives. Spreadsheets with individually accounted
02 15:12:56 aspects determined. There are.
03 15:13:01 MS SOLDATENKOVA: Yes, there is a field titled control,
04 15:13:04 namely where you can apply all those filters and see
05 15:13:08 the combinations. So the waterfalls are no more than
06 15:13:10 just an illustrative example, of course, when I was
07 15:13:13 referring to a possibility to determine different
08 15:13:17 quantum modes, I was not referring to that waterfall.
09 15:13:20 I was referring exactly to the control field.
10 15:13:23 MR TALANOV: So the experts have already done that work
11 15:13:25 and it is available. Second, with respect to the
12 15:13:31 interest calculations and some of the other things
13 15:13:32 raised by the claimant, we believe that it is typical
14 15:13:37 of any arbitration and the arbitral tribunal is fully
15 15:13:41 equipped to do that. It does not require any
16 15:13:44 additional involvement of experts. And then there is
17 15:13:49 one more thing that I wanted to make to make clear it
18 15:13:52 has been agreed between the parties and also confirmed
19 15:13:55 by Dr Koller in this arbitration that in accordance
20 15:14:00 with paragraph 273 of the Austrian code of Civil
21 15:14:07 procedure, there is a clear rule with respect to
22 15:14:11 circumstances when the tribunal is called to decide on
23 15:14:15 complex matters of quantification of damages, and it
24 15:14:20 clearly says, I will read it, that if it is
25 15:14:23 established that a party is entitled to compensation

01 15:14:26 for damages or interest, and that it has another
02 15:14:29 claim, but proof of the disputed amount of the damages
03 15:14:32 or interested to be compensated, or the claim itself
04 15:14:35 cannot be provided at all or only with
05 15:14:38 disproportionate difficulty. The court may, upon
06 15:14:41 application or ex-officio, even disregard evidence
07 15:14:45 offered by the party, determine this amount according
08 15:14:47 to its own conviction. So the applicable procedural law
09 15:14:51 is also contrary to the proposal of the claimant.
10 15:14:56 And lastly, we strongly believe that it is. Related to
11 15:15:03 get to this point. Now, given that we already
12 15:15:08 incurred costs on several fee reports, several
13 15:15:12 Mr Way's reports to be reports,
14 15:15:15 and therefore there is
15 15:15:18 no cost efficiency in this approach. And clearly it is
16 15:15:24 in a way, an issue that needs to be also taken into account given the
17 15:15:29 length of the proceedings and the
18 15:15:32 concerns that we raised with respect to the reduction
19 15:15:38 of
20 15:15:38 assets available to the respondent on the side of the claimant. And in any
21 15:15:45 case, it is the burden of
22 15:15:47 proof of every party to demonstrate, with ample evidence, all
23 15:15:55 necessary heads of claims and explain the calculation
24 15:15:59 of it.
25 15:16:00 Therefore, if the parties following so many reports

01 15:16:04 submitted failed to meet this burden of proof, we would not consider it

02 15:16:08 ☐202603270136 prudent to give the parties

03 15:16:10 any further chances to do that, and especially given there is a

04 15:16:16 part of the claim of GPE that is three more

05 15:16:21 than 300 million which is not disputed and it's in any

06 15:16:24 case, there. So we believe that the parties had ample

07 15:16:28 opportunities to present their case.

08 15:16:29 MS SOLDATENKOVA: To be precise, the number is

09 15:16:33 455 million, because that is both the unrepaid debt

10 15:16:36 and the penalties, which are not disputed by the other

11 15:16:39 side in terms of quantum, they are disputed in terms

12 15:16:43 of claimant's reference to other grounds, why those

13 15:16:46 amounts should not be repeated, but not quantum. And

14 15:16:49 one last point perhaps we also do not understand the

15 15:16:52 references of claimant to the need to address quantum

16 15:16:55 exhaustively in the post-hearing briefs,

17 15:16:58 because respondents understanding was that a post-hearing brief is a submission
which

18 15:17:02 does not add anything new

19 15:17:03 to the party submission, but rather, of course, take

20 15:17:06 stock of the hearing. But we did not understand it to

21 15:17:10 be the evolution of the position.

22 15:17:15 MR HAUGENEDER: Could could we please reply on this new

23 15:17:18 point on on additional.

24 15:17:20 PRESIDENT: Yes.

25 15:17:22 MR HAUGENEDER: 237 of the Austrian civil procedure code.

01 15:17:25 First of all, it's not part of the arbitration law.

02 15:17:30 So it does not and certainly not directly apply in

03 15:17:35 this arbitration. And secondly. Second, even if it

04 15:17:38 were to apply, it applies when the quantum of a claim

05 15:17:45 can not be proven or only be proven with

06 15:17:48 disproportionate efforts. And we submit in a

07 15:17:53 (600)000-0000 euros case, parties

08 15:17:58 and tribunals must make efforts to base the the quantum decision not on

09 15:18:06 an estimate, because this is a provision to

10 15:18:09 estimate quantum, but on actual evidence and actual

11 15:18:14 calculations. And we submit that these that these

12 15:18:19 calculations can be made with the

13 15:18:24 support

14 15:18:25 of experts. The 2nd point is on evidence, we do not

15 15:18:30 suggest to open open the the evidentiary record. We

16 15:18:35 submit that the evidence taking should be closed. But

17 15:18:41 still the calculation of quantum is so

18 15:18:48 complex that that it is

19 15:18:52 only with great difficulty possible to calculate all

20 15:18:57 variables, and on. And, Mr Holland, we would just

21 15:19:02 like to make one final point on. On the graph that

22 15:19:06 we've seen from the respondent's.

23 15:19:09 MR HOLLAND: Thank you again, just on the variables. So

24 15:19:14 the waterfall that we were showing to you a moment

25 15:19:19 ago, RED-40 had four parameters. And depending on the

01 15:19:29 sequence in which

02 15:19:31 you select those parameters, there are 24

03 15:19:38 separate outcomes yielding different

04 15:19:41 results depending on the sequence. It's like a

05 15:19:44 combination lock. Furthermore. It is not uncommon

06 15:19:56 in gas contracts to decide principles and for the parties to

07 15:20:06 be asked to find a number.

08 15:20:11 Reporting

09 15:20:11 back to the tribunal whether

10 15:20:15 they can reach agreement. The advantage of

11 15:20:19 that is that the tribunal remains functus after the

12 15:20:23 1st partial award and can continue to control its proceedings, and there is much

13 15:20:42 written in the gas world about

14 15:20:51 numbers coming from lawyers. And one problem is issuing a final award is that

15 15:20:58 the tribunal then leave the parties with with that

16 15:20:58 number

17 15:20:59 and their job is done and it may prove, as the next few weeks develop, there

18 15:21:10 may be outcomes as the tribunal deliberates where the number that they seek is more

19 15:21:20 difficult to

20 15:21:20 find than might be the case here.

21 15:21:26 PRESIDENT: Let me. I see the points in in both parties, I mean

22 15:21:33 views and. And that exchange of views is very useful

23 15:21:36 to the tribunal to plan its work, if you could.

24 15:21:39 The.

25 15:21:40 It's important for us to, to determine if we are going to

26 15:21:44 make a decision, at which point in time in our work,

27 15:21:48 we make that decision and it may be that it is useful for the tribunal

01 15:21:59 to have the hearing submissions in order to make that decision. But it is difficult
02 15:22:08 for the tribunal, maybe, to assess
03 15:22:12 whether
04 15:22:12 there would be a split in the 248 days from this, from this. From, from, from this
05 15:22:24 hearing,
06 15:22:28 because we may need to work together, as you were mentioning, and as
07 15:22:32 we go through the issues let's
08 15:22:36 review the difficulties we may face that would
09 15:22:37 lead us
10 15:22:47 to decide on a split. So reviewing the time table. We have to keep this in mind
11 15:22:47 because
12 15:22:48 it is quite an early determination, a bifurcation.
13 15:22:52 The 2nd element I wanted to raise was in this
14 15:22:57 arbitration. We have already made a decision at
15 15:23:00 the early stage of
16 15:23:02 the proceedings not to bifurcate.
17 15:23:05 So
18 15:23:05 we rejected the respondent's. Objections. I
19 15:23:10 mean, a
20 15:23:11 request for bifurcation. And and it was different
21 15:23:17 grounds, but we requested the parties to
22 15:23:21 submit
23 15:23:22 written submissions and grounds in terms of
24 15:23:27 efficiency, procedural fairness. And we were provided
25 15:23:30 with quite a few legal
26 15:23:33 authorities in support of the applications submitted

01 15:23:36 by the by the respondent and by the claimant. So in all
02 15:23:41 procedural fairness, we would ask the
03 15:23:44 parties to make a written exchange on the application.
04 15:23:48 This time not so much that it would be limited to a
05 15:23:55 technical review or fairness review or. Review oral
06 15:24:03 review with the arguments that are made today by the parties.
07 15:24:06 But we would we would need to determine, under the ICC
08 15:24:11 Rules and under all the same criteria that have been applied
09 15:24:20 for. When reviewing the respondent's application,
10 15:24:22 we
11 15:24:23 would need to review the criteria that are
12 15:24:25 submitted
13 15:24:26 by the claimants in their application. So we would
14 15:24:29 invite the parties to exchange in writing reasonably shortly after this hearing, all the
15 15:24:42 grounds that are submitted and we understand this
16 15:24:46 not to be, as you mentioned, a
17 15:24:49 fresh application, but it's an application that has
18 15:24:51 been on the record since January. All the grounds in
19 15:24:55 support, factual and legal grounds in support. It may
20 15:24:59 be that they're already on record because I checked,
21 15:25:01 there are quite a few legal references on both sides.
22 15:25:04 Just reference back to to the original legal
23 15:25:07 authorities. You may have this is this could be
24 15:25:10 a possibility. And that would make us that would help
25 15:25:15 ☐202603270141 us to determine the criteria and and review. Also

01 15:25:21 ask

02 15:25:22 the respondent to review those criteria and the

03 15:25:25 parameters that are submitted by the claimant in terms

04 15:25:29 of efficiency, in terms of cost and in terms of

05 15:25:32 procedural fairness, when the tribunal will make a

06 15:25:36 decision, would that be agreeable to the party? We

07 15:25:39 may not need another hearing online, just an exchange in

08 15:25:43 writing, of

09 15:25:44 course, if parties wish to have online presentation, we would not

10 15:25:49 we would of course grant it

11 15:25:51 claimant, because you you're the applicant on this

12 15:25:54 question.

13 15:25:55 MR HAUGENEDER: Yes, that would be agreeable to us. And

14 15:25:57 we would mean that the easter break is coming and and

15 15:25:59 we've just checked. So on our side there, there will be quite a few who

16 15:26:07 will will be away for the easter break. So we

17 15:26:09 would

18 15:26:09 ask for two weeks to, to make. From today. From

19 15:26:13 today.

20 15:26:14 MS SOLDATENKOVA: Okay.

21 15:26:15 PRESIDENT: To make short holidays.

22 15:26:21 MR HAUGENEDER: To, to make that application. And we

23 15:26:25 would then ask that we, we discuss after the decision

24 15:26:32 the further timetable because this has quite an impact

25 15:26:35 on the timetable, because the the scope of our

01 15:26:39 post-hearing briefs depends on the tribunal's decision

02 15:26:42 of, of this point.

03 15:26:48 PRESIDENT: What are the respondent's views on, on on

04 15:26:52 what was just discussed?

05 15:26:54 MS SOLDATENKOVA: We support the decision of written

06 15:26:56 comments on the claimant's application, but we do not

07 15:26:59 understand why that should influence the deadline for

08 15:27:01 the submission of post-hearing briefs. So to us,

09 15:27:04 those are two things that can be done in parallel. As

10 15:27:08 to the timeline. 2 weeks, what is your opinion of

11 15:27:12 timeline?

12 15:27:13 PRESIDENT: 2 weeks from the receipt of the respondent's.

13 15:27:15 MR TALANOV: Should be fine. We just need to make sure

14 15:27:17 the dates and not to fall within the May holidays

15 15:27:20 because there will be public holidays, but otherwise

16 15:27:22 we will be happy to accommodate the equal time frame.

17 15:27:27 PRESIDENT: Well, at this point we're going to take a

18 15:27:29 short break and we'll be back in about five, five, 10

19 15:27:34 minutes. The tribunal needs to to consult. So thank you for for waiting for us. We

20 16:24:07 have heard the the parties presentations on the claimant's

21 16:24:14 ☐202603270142 request for a split award. Here is our views and how we

22 16:24:18 would like to process. First, we welcome the claimant's

23 16:24:25 submission within two weeks or any other deadline that may

24 16:24:29 be agreed upon between the parties for a. What we

25 16:24:33 understand is

01 16:24:33 a request for
02 16:24:35 bifurcation.
03 16:24:39 And the request for bifurcation is to
04 16:24:42 bifurcate. So liability issues, which I
05 16:24:52 understand covers also jurisdiction and the
06 16:24:56 principle of the principles of quantification, but
07 16:24:58 not
08 16:24:59 the actual quantum and the respondent's response to
09 16:25:07 that application within two weeks or any other
10 16:25:09 deadlines the parties would like. To agree upon, then, without prejudice to the
tribunal's decision
11 16:25:23 on bifurcation, the tribunal would like the parties to
12 16:25:29 split their post-hearing submissions as to 1st, a
13 16:25:35 simultaneous submission on jurisdiction liability
14 16:25:46 and
15 16:25:47 all liability issues, and the principles of
16 16:25:50 quantification. We would expect this to be submitted within any
17 16:25:59 agreed deadline between the parties, but the
18 16:26:01 preference of the tribunal would be to receive that
19 16:26:06 submission within 10 weeks from now, which is on or
20 16:26:14 around the 5th of June. With this submission, we that would allow us to
21 16:26:22 make a determination of whether or not to bifurcate.
22 16:26:30 We would make a decision to bifurcate later in the
23 16:26:36 year through a procedural order, and we may decide
24 16:26:41 to bifurcate the case and render a partial award that
25 16:26:46 would cover jurisdiction liability or and principles

01 16:26:52 of quantification. Or we may decide not to
02 16:26:55 bifurcate.
03 16:26:57 And when we reach that decision, we would give further
04 16:27:02 procedural directions to the parties. In the
05 16:27:07 meantime, we would like the parties, upon
06 16:27:10 completion of their post-hearing submissions to
07 16:27:19 submit within the time frame. They agree, but I
08 16:27:22 understand which is two weeks after these submissions, their cost submission so that
09 16:27:28 we have we
10 16:27:29 have your
11 16:27:29 cost submission, which would include all your costs,
12 16:27:33 legal costs, administrative costs and the expert costs
13 16:27:37 and any other costs according to the ICC Rules. And we
14 16:27:40 would have two rounds on submissions on this. We feel that in order to make a
15 16:27:40 decision on and
16 16:27:50 determine that difficult split between within damages,
17 16:27:59 between principles of damages and quantum of damages,
18 16:28:02 we would benefit from the submissions of the parties
19 16:28:07 on all these issues that would be covered. But at the
20 16:28:11 same time, to be fair to the parties and to be efficient to the procedure we do not
21 16:28:17 want.
22 16:28:17 If we were to bifurcate, or if we were to need the
23 16:28:21 help of the assistance of the experts to have and
24 16:28:26 decide a partial decision. We don't want the
25 16:28:29 parties
to make that work twice in abstract, 1st and 2nd by
application of the partial award. We also do not want to delay our work because we
have planned, I
would say, months in advance, the work in

01 16:28:46 this case, so as to make a prompt determination of
02 16:28:50 this case to the parties. So this is why we're asking
03 16:28:55 the parties to make
04 16:28:56 submissions in parallel to the applications for
05 16:29:03 bifurcation, without prejudice to our decision, so as
06 16:29:06 not to postpone any final determination of this case.
07 16:29:13 So this is an administrative decision to walk
08 16:29:17 through the path of the post-hearing. Procedure. And
09 16:29:23 with this in mind, we have only one question when
10 16:29:27 can we expect the post-hearing submissions, which
11 16:29:30 is
12 16:29:31 determinative of our work. So I would like to
13 16:29:36 continue now, and the members
14 16:29:37 of the tribunal would like to explore the further
15 16:29:41 steps and can start considering deadlines so we can
16 16:29:46 issue a procedural timetable up to the submissions of
17 16:29:51 the costs. So I understand you would have liked to review the
18 16:29:59 timetable after we make a decision on bifurcation, but
19 16:30:02 this will not be the case. We're going all the way
20 16:30:06 through until at least our decision on whether to buy
21 16:30:12 furcate or not. So we need a date for the hearing
22 16:30:14 submissions. So maybe claimant and if there is any
23 16:30:20 other aspect of the procedural timetable, apart from the decision that the
24 16:30:24 tribunal just made as to as to how to the path to
25 16:30:30 determine the the bifurcation, any other procedural

01 16:30:34 aspects, such as reviewing the transcript, any other

02 16:30:38 aspects, please feel free. And then we're going to

03 16:30:40 compute all this.

04 16:30:42 MS SOLDATENKOVA: Yeah.

05 16:30:43 MR NEFEDIEV: Thank you, Madam President. President,

06 16:30:44 that is very clear. We are.

07 16:30:50 MR HAUGENEDER: We agree that 10 weeks for the

08 16:30:53 post-hearing briefs is doable for us. We just

09 16:30:56 would ask that we start counting these 10 weeks from

10 16:31:01 the finalization of the transcripts and the we would suggest that we reserve two

11 16:31:13 weeks. We reserve two

12 16:31:15 weeks after. After receiving the

13 16:31:19 transcripts, we reserve two weeks for review of the

14 16:31:26 transcript and then another week for the parties to

15 16:31:30 exchange their

16 16:31:33 suggested corrections of the transcript, and then to

17 16:31:38 make a submission of agreed changes or in case we are

18 16:31:43 not able to fully agree on all changes to to make

19 16:31:46 applications for corrections. So that would be in

20 16:31:48 total three weeks. And from

21 16:31:52 that date we would start the 10, the 10 weeks.

22 16:31:58 PRESIDENT: So three plus 10. And that is in parallel to

23 16:31:58 the submissions of the

24 16:31:59 on bifurcation. That is run in parallel. Have you

25 16:32:05 had a chance to discuss this with the respondent.

26 16:32:09 MR TALANOV: Not yet.

01 16:32:09 PRESIDENT: Not yet responded.

02 16:32:10 MR TALANOV: Not yet. We believe that the deadline of

03 16:32:15 the 5th of June is very reasonable, and we would be

04 16:32:19 happy to stick to that. And we strongly believe that

05 16:32:25 the transcript in the current form is very close to

06 16:32:29 what the parties may agree upon. So we would like to

07 16:32:35 potentially seek not to add such long period for the

08 16:32:40 parties to agree on the transcript. Maybe a week could be added

09 16:32:45 for these

10 16:32:45 purposes, but that

11 16:32:48 should suffice.

12 16:32:51 PRESIDENT: So you you would say one week plus 10 weeks.

13 16:32:54 MR TALANOV: There could be.

14 16:32:58 PRESIDENT: When are you when are we going to receive?

15 16:33:05 The. Are you going to work on the transcript, the

16 16:33:08 daily transcript you have received or are you

17 16:33:10 expecting a final draft? What was the arrangement

18 16:33:16 made?

19 16:33:17 MR TALANOV: I think the transcript is shared daily on a

20 16:33:19 daily basis.

21 16:33:20 PRESIDENT: Yes, but that's that's the 1st draft. So do

22 16:33:24 you are you expecting.

23 16:33:27 MR HAUGENEDER: I think.

24 16:33:28 PRESIDENT: A final a final.

25 16:33:32 DR REINER: We have provided the final transcript. But

01 16:33:35 of course, if there are corrections, we will issue.

02 16:33:37 Okay.

03 16:33:38 PRESIDENT: So we're not expecting another one. Another

04 16:33:42 transcript. So final transcript today would mean in

05 16:33:50 three weeks we would have then that would be the 15th

06 16:33:55 of April to 15 of April and counting. 10 weeks would

07 16:34:00 be help me. 1, two, two. That pushes.

08 16:34:18 MR HAUGENEDER: Yes, we believe it's it's the 26th of

09 16:34:22 June.

10 16:34:22 MR WAY: Which is. Started on.

11 16:34:34 MS HOFFMANN: 2, three, four.

12 16:34:37 MR WAY: Yes.

13 16:34:38 MS HOFFMANN: That's good.

14 16:35:01 PRESIDENT: You see, let's see from the respondent. So

15 16:35:06 26 of June because you see if the parties reach an

16 16:35:10 agreement this is this is fine with the tribunal.

17 16:35:12 This is the party's agreement. If there is a

18 16:35:15 disagreement, we have to determine it. But we also

19 16:35:19 have to to see our respective timetable in order to

20 16:35:25 make decisions and meet. So 26 of June is little bit late

21 16:35:36 to. It might

22 16:35:38 have a huge impact on, on. So I'm just. But I understand

23 16:35:44 this is two week hearing. There is a long

24 16:35:47 review of the transcripts. Do. It may be

25 16:35:51 burdensome, but the timetable was indicative of six to

01 16:35:58 10 weeks from the closing of
02 16:36:00 the
03 16:36:00 submission. And we've reduced the scope to. So I'm
04 16:36:07 just concerned. Is there do you want.
05 16:36:11 Let's take a five-minute break. You discuss it among
06 16:36:14 yourselves and you let us know if you can agree
07 16:36:16 on a date, because your view is
08 16:36:21 the 5th of June. The claimants
09 16:36:22 view is the 26th of June.
10 16:36:25 It's not very far apart, but if.
11 16:36:29 MR TALANOV: You potentially could agree on, say, the
12 16:36:34 19th to make our positions meet.
13 16:36:37 PRESIDENT: Just let's take a five-minute break and you
14 16:36:39 come back to us if you have an agreement, because this
15 16:36:43 is bargaining deadlines. And I think it's, it's
16 16:36:45 better if you can have a reach, an agreement, if you
17 16:36:47 can't reach an agreement, then we'll give you a date.
18 16:36:50 MS SOLDATENKOVA: Let's take the.
19 16:39:07 PRESIDENT: Claimant. I heard there was an agreement.
20 16:39:09 MR HAUGENEDER: Yes. We agree with with 19th of June.
21 16:39:14 We would also propose to to clarify that there should
22 16:39:22 be no new factual submit exhibits. No new. Legal exhibits except
23 16:39:40 those that could not have been reasonably
24 16:39:46 submitted before. And no new arguments. And of
25 16:39:56 course, the development of arguments that has

01 16:39:58 been made, but no new arguments that have not been
02 16:40:01 made.
03 16:40:12 PRESIDENT: Respondent agreed. We agreed. 19th the 19.
04 16:40:15 MR TALANOV: We agree on the 19th we agree that the
05 16:40:18 post-hearing submission shall not contain any new
06 16:40:21 factual exhibits, legal exhibits. We believe any new
07 16:40:24 legal exhibits shall be subject to a separate
08 16:40:27 application as the procedure that has been followed in the
09 16:40:32 course of these hearings as well. And we also
10 16:40:36 agree that no new arguments should be raised by
11 16:40:39 the parties in the post-hearing submissions.
12 16:40:41 PRESIDENT: And again, the hearing submissions are we are
13 16:40:45 we have decided to split the scope of the posterior
14 16:40:50 submissions we have. This is pending any decision as to
15 16:40:56 whether a partial award should be rendered or not.
16 16:40:59 This is not. This is not a split of. This is
17 16:41:07 without
18 16:41:07 prejudice to any decision
19 16:41:08 we may make on on whether to to bifurcate or
20 16:41:15 not.
21 16:41:20 The. On the page limit. Now, have you considered page
22 16:41:24 limit? And have you discussed because we mentioned
23 16:41:30 earlier this week page limit. So is there oh,
24 16:41:35 page
25 16:41:36 word limit. Sorry. Is there

01 16:41:39 any view.

02 16:41:43 MR HAUGENEDER: We we believe we, we should not have a

03 16:41:47 page limit simply because we, we don't know how, how

04 16:41:55 the,

05 16:41:56 what length of argument is, is necessary. We recognise that it is

06 16:42:03 in

07 16:42:03 our interest to be as

08 16:42:05 succinct as possible, but then will never know how in

09 16:42:09 advance how how many pages are necessary. So in the

10 16:42:12 case of this complexity, we would rather not have a

11 16:42:14 page limit responded.

12 16:42:16 MR TALANOV: We believe that the page limit is absolutely

13 16:42:19 necessary, given the volume of submissions already on

14 16:42:22 the record, and we believe that a page limit of, say,

15 16:42:28 150 pages or 75,000 words would suffice. Both parties

16 16:42:34 and the development of the argumentation referred to by the claimant.

17 16:42:40 PRESIDENT: You see the problem with okay word limit, we

18 16:42:43 can have 75,000, we can have 90,000. There are cases

19 16:42:47 where tribunals do request page limit or

20 16:42:52 word limit. And there are cases where the parties do

21 16:42:58 agree to word limit. So. Unless the parties agree, we we want to go for efficiency.
We encourage the

22 16:43:13 parties to to consider that this is an additional

23 16:43:17 submission that does not introduce any new facts or

24 16:43:23 elements of legal elements. So everything is already on record.

25 16:43:27 Now there is a request for efficiency from the

01 16:43:31 tribunal so that we're able to read actually the the
02 16:43:35 submissions. But at the same time, we acknowledge
03 16:43:38 that the parties are free to present their case
04 16:43:40 the
05 16:43:40 way they want to present their case. So I would I would suggest to the parties
06 16:43:47 that the footnotes be limited
07 16:43:51 to addressing only references to legal
08 16:43:57 exhibits and factual exhibit with a hyperlink, a
09 16:44:01 hyperlink to the to the to the to the record and the transcript, and that there have
10 16:44:10 been no developments in the footnotes so that all the
11 16:44:15 developments are in the briefs, in, in the
12 16:44:18 submissions
13 16:44:18 to make, to make, to simplify our reading, we would
14 16:44:24 also
15 16:44:24 ask you. To
16 16:44:30 provide us, which was not always provided in the submissions. A detailed table
17 16:44:38 of contents of the submissions. That means any
18 16:44:43 subheading that is added in the
19 16:44:45 text be incorporated into the table of contents. And
20 16:44:52 with this in mind, we encourage you not to exceed
21 16:44:58 90 words. This is an encouragement from the tribunal.
22 16:45:02 This is not a word limit. 390,000 sorry, I could see
23 16:45:10 I said something wrong, but 90,000 words to my
24 16:45:15 understanding is 300 page. But this is an
25 16:45:20 encouragement from the tribunal. This is

01 16:45:21 not a word count. I think we've addressed
02 16:45:30 most of the format we had in mind. What would also
03 16:45:35 be helpful in the footnote, and that
04 16:45:37 will be in the procedural order, is that in addition to the
05 16:45:42 reference to the e table reference, so
06 16:45:47 that the the bundle reference were provided with the
07 16:45:52 original reference to the exhibits. And we have
08 16:45:56 noted
09 16:45:57 that some exhibits have been submitted three times,
10 16:46:01 sometimes as an attachment to an expert
11 16:46:04 report, sometimes as an attachment as a
12 16:46:07 legal authority. So it would be good to have
13 16:46:11 those
14 16:46:12 references as well. So if some regulation was
15 16:46:16 submitted three times, it's important when we to be able to to see that it's
16 16:46:21 actually the same document by now we know it, but it
17 16:46:24 would simplify our reading of the additional
18 16:46:27 submission. With this in mind, I just want to ask my
19 16:46:30 co-arbitrators if they have anything. So we're back on record. We want to
20 16:50:58 cover everything. We want to make sure everything is is
21 16:51:01 covered. 1 final
22 16:51:04 point. The claimant's application for bifurcation is submitted together with a chart
23 16:51:15 and
24 16:51:15 the
25 16:51:15 chart is entitled claimants table. Undisputed quantum
25 16:51:20 parameters. So in order to make sure what the

01 16:51:26 scope of the postering submission to be filed by
02 16:51:30 the
03 16:51:31 party will cover, I will. We're asking the claimant
04 16:51:36 to explain very carefully in
05 16:51:38 their application for bifurcation.
06 16:51:40 What is, in the claimant's view, to be covered in a
07 16:51:45 partial award and what would remain to be covered in a
08 16:51:50 final
09 16:51:50 award on calculation of quantum. If the
10 16:51:59 claimant's
11 16:51:59 table undisputed quantum
12 16:52:01 parameter can be of any use, then this should be
13 16:52:06 submitted together. If a. If a new table needs to be
14 16:52:09 submitted, then a new table should be made so that the
15 16:52:13 respondent has an opportunity to comment on the
16 16:52:18 scope
17 16:52:19 of the partial award, which is to be bifurcated or not, and
18 16:52:27 if bifurcated, wishes to be
19 16:52:28 bifurcated. But the. The
20 16:52:30 question is, we would not want the parties to be faced
21 16:52:35 with the dispute of what should be in the
22 16:52:39 post-hearing submissions, and that we discovered
23 16:52:43 that
24 16:52:43 some items are covered by the claimant and some items
25 16:52:47 are not covered by the respondent. So at some point,

01 16:52:51 irrespective of the decision of
02 16:52:53 the tribunal, to to to bifurcate, it would be good
03 16:52:59 that the parties confer and try to reach an agreement as to
04 16:53:06 what, in your view, I mean is should be in in that
05 16:53:11 by should be those bifurcated issues and identify on
06 16:53:15 your
07 16:53:15 part what you agree is, is, is, is, is if it was to be
08 16:53:22 bifurcated, should be inserted in it or not, because
09 16:53:25 it will be
10 16:53:27 relevant for the completion of the post-hearing
11 16:53:30 briefs
12 16:53:32 step phase one and then phase two. We don't want the
13 16:53:35 parties to miss one argument in the 1st phase because
14 16:53:39 they they think it could be in the 2nd phase. I'm explaining this maybe a little bit in a
15 16:53:45 complex way, but we want to ensure that there is
16 16:53:49 communication by the parties and that you don't
17 16:53:51 leave this room thinking,
18 16:53:52 oh, I understand what principles
19 16:53:57 of quantifications are. And actually, there may be a
20 16:54:01 gap between the parties respective understanding. So
21 16:54:06 communications with the parties is encouraged. And in
22 16:54:10 particular, if the parties can agree or propose to
23 16:54:16 each other tables, then the tables will be useful and they
24 16:54:22 may be annexed to the submissions. And we can you may
25 16:54:25 want to start with the claimant's table

01 16:54:28 that is in the slides. It may be a different fresh
02 16:54:32 table that the parties will will work on, but we will have
03 16:54:37 time to adjust any difference between
04 16:54:41 the
05 16:54:42 parties after the round of submissions, which will
06 16:54:45 take one month, and the submissions of the
07 16:54:48 post-hearing briefs if there is any disputed area.
08 16:54:53 Claimant, was I clear?
09 16:54:55 MR HAUGENEDER: Yes, absolutely.
10 16:54:57 PRESIDENT: Respondent was I clear?
11 16:54:58 MR TALANOV: Yes. Thank you.
12 16:54:59 PRESIDENT: Okay. Submission on cost deadlines.
13 16:55:06 MR HAUGENEDER: We would propose then, in accordance with
14 16:55:09 the timetable, two weeks after the post-hearing
15 16:55:13 briefs, that would be three July. And then comments
16 16:55:20 on cost submissions, 17 July. And we would propose that the cost submissions are
17 16:55:30 made in table format only. That is, without
18 16:55:37 supporting invoices unless they are specifically
19 16:55:44 questions by a party.
20 16:55:46 PRESIDENT: For fees or costs.
21 16:55:48 MR HAUGENEDER: Both.
22 16:55:48 MS SOLDATENKOVA: Both.
23 16:55:53 PRESIDENT: Respondent's. What are your views?
24 16:55:54 MR TALANOV: We are agreeable with these terms. As for
25 16:55:57 the table format, we would be happy to consider the

01 16:56:01 format the claimant deems fit and agree on the format
02 16:56:04 that the parties will use.
03 16:56:06 PRESIDENT: Right, but no underlying invoice bills or
04 16:56:11 statement of fees or expenses unless there is a
05 16:56:16 specific request in that respect.
06 16:56:17 MR TALANOV: Agreed?
07 16:56:19 PRESIDENT: Yes.
08 16:56:19 MR TALANOV: Agreed.
09 16:56:20 PRESIDENT: Agreed. Submission. It's not a statement.
10 16:56:29 In your submission. You should. Okay. Please go
11 16:56:35 ahead.
12 16:56:35 DR REINER: I was just trying to clarify that when you
13 16:56:39 say table format, you will still set out the
14 16:56:41 principles of allocation you think should be followed.
15 16:56:42 Yes, yes.
16 16:56:43 MR HAUGENEDER: Okay. The the costs will be.
17 16:56:46 DR REINER: Yes. Just making sure it's not just a table,
18 16:56:48 you know, giving us the fees and costs and then say
19 16:56:49 here, deal with it. Okay. Thank you. I've seen it.
20 16:56:53 I've seen it. That's why I'm asking.
21 16:57:03 PRESIDENT: Claimant.
22 16:57:03 MR HAUGENEDER: We would just like to to just recall the
23 16:57:08 dates that we've agreed upon just to have that. Sure.
24 16:57:12 So the application for bifurcation will be made on, on
25 16:57:16 10 April. The response to the application on

01 16:57:23 24 April, the post-hearing submissions on 19th of June
02 16:57:28 cost submissions three July and then replies to cost
03 16:57:33 submission, 17 July.
04 16:57:38 MR TALANOV: That is agreed.
05 16:57:40 PRESIDENT: And when should we receive step one the
06 16:57:44 comments you exchange comments among yourselves on the
07 16:57:48 transcript and if there is any modification, we will
08 16:57:52 receive the information from Tabela if there is any
09 16:57:56 change. But I just want to make sure you have agreed
10 16:58:00 on a deadline among yourselves that may not involve
11 16:58:03 the tribunal.
12 16:58:06 MR HAUGENEDER: We I think we said two weeks from now.
13 16:58:09 PRESIDENT: From now.
14 16:58:10 MR HAUGENEDER: Okay.
15 16:58:11 DR REINER: Yes.
16 16:58:11 MS SOLDATENKOVA: It's fine on our side. 2 weeks.
17 16:58:13 PRESIDENT: So. So that's April 10 as well. Okay.
18 16:58:16 MR HOLLAND: And on that subject, we're told at least we
19 16:58:20 understand that in order for the audio of the hearing
20 16:58:23 to be made available to the hearing provider, the
21 16:58:27 tribunal is asked to authorise that. I think that's
22 16:58:30 right.
23 16:58:31 PRESIDENT: It is true that it is for us to authorise
24 16:58:35 that unless any party object. We have no objection
25 16:58:39 to. We actually authorise access to the audio, but

01 16:58:45 not to the video. If there has been a video
02 16:58:49 recording. Are you okay with that? And okay.
03 16:58:53 MR HAUGENEDER: Just to be clear on the cost submissions,
04 16:58:55 so two weeks, a two week deadline to exchange our
05 16:59:02 suggested corrections bilaterally, and then another
06 16:59:05 week to agree and to make the submission to the
07 16:59:09 tribunal.
08 16:59:10 PRESIDENT: So that would be the 17th of April. So two
09 16:59:12 weeks, 10 April to exchange and one week to review
10 16:59:19 your respective comments and to agree and to send this
11 16:59:23 to tabela. So that means 17 April, that process is
12 16:59:28 finished. And in the meantime, you will have
13 16:59:33 submitted your application for bifurcation and the
14 16:59:36 respondent will have a will on 24 April, submit its response. Anything else from
15 16:59:53 the claimant side responded.
16 16:59:56 MR TALANOV: No, nothing from our side.
17 16:59:59 PRESIDENT: So on behalf of the tribunal, we would like
18 17:00:04 to thank you very much. Both teams. We appreciate
19 17:00:08 the effort of all the teams. It was nice actually, to
20 17:00:11 meet with all the team members and we
21 17:00:16 really appreciate the hard work, the efficiency
22 17:00:20 and the presentations that were made to
23 17:00:22 us.
24 17:00:22 Thank you very much for organizing the hearing in
25 17:00:27 these premises, which are wonderful premises, and

01 17:00:31 thank you for hiring Lloyd Michaud. And thank you for
02 17:00:35 the Lloyd Michaud team. We we have listened to your
03 17:00:42 arguments. We have listened to the
04 17:00:47 professional work you have provided the tribunal
05 17:00:49 with. We have seen your efforts from the
06 17:00:53 lead counsel to all the team members. We want to to tell you that we will work now
07 17:01:02 efficiently on providing you with the determination of
08 17:01:07 this dispute. We have worked on our timetable. We have already
09 17:01:15 arranged for time to meet, study the case and work on
10 17:01:21 the writing of the award. We will keep you
11 17:01:25 informed. We are not able at
12 17:01:27 this moment to provide you with the date for an
13 17:01:31 estimate. Time to submit the award to the court. We
14 17:01:38 will provide you with updates as we go along so
15 17:01:42 you will not be in the dark asking yourself when
16 17:01:46 will we get an award? We believe it is important that
17 17:01:51 after providing us years of work, we follow up on now on our side with what you
18 17:01:57 expect from us, which is a decision. With
19 17:02:02 this in mind, we are going back to work, but
20 17:02:07 we have one final point is, is there any
21 17:02:11 reservation on the way? The hearing was conducted
22 17:02:14 by the tribunal from the part of the the
23 17:02:18 claimant.
24 17:02:19 MR HAUGENEDER: Thank you madam. Madam President,
25 17:02:22 members of the tribunal, we would like to thank the

01 17:02:26 tribunal for the fair
02 17:02:29 conduct of the hearing to be. To be clear, we
03 17:02:33 maintain our objection regarding
04 17:02:36 the admission of. Of Dr Gert as counsel, but we said that
05 17:02:41 already out. We also would like to thank everyone who
06 17:02:49 has assisted in the organisation of this hearing.
07 17:02:52 Technical support the court reporter and our respective team members,
08 17:02:59 without whom this hearing
09 17:03:02 certainly could not have been organised.
10 17:03:05 And, of
11 17:03:06 course, the secretary of the tribunal who has attended
12 17:03:12 online. Thank you.
13 17:03:16 MR TALANOV: So to answer your question specifically, no
14 17:03:19 reservations and nothing else but for the. Thanks.
15 17:03:23 Very many thanks for being
16 17:03:25 with us through these two hard weeks, and very many
17 17:03:30 thanks to everyone who made this possible. Thank you.
18 17:03:32 MS SOLDATENKOVA: Thank you very much to the technical
19 17:03:33 team. Thank you.
20 17:03:36 PRESIDENT: Thank you. This closes the hearing. Thank
21 17:03:38 you very much and have a safe trip back home.